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TITLE 3—THE PRESIDENT

PROCLAMATION 3261

VETERANS DAY, 1958

BY THE PRESIDENT OF THE UNITED STATES OF AMERICA

A PROCLAMATION

WHEREAS the people of this Nation are deeply conscious of our obligation to the veterans of our armed services, who have contributed immeasurably to the realization of those ideals of a free society which we cherish; and

WHEREAS it is fitting and proper that on one special day each year we should give nationwide expression to our high and enduring esteem for these veterans; and

WHEREAS the Congress by an Act approved June 1, 1954 (68 Stat. 168), expanded the significance of November 11, theretofore declared a legal holiday and observed as Armistice Day, by designating it as Veterans Day in honor of our veterans:

NOW, THEREFORE, I, DWIGHT D. EISENHOWER, President of the United States of America, do hereby call upon our citizens to observe Tuesday, November 11, 1958, as Veterans Day. On that day let us pay tribute to the men and women who have served in our Armed Forces, and let us rededicate ourselves to the preservation of our freedom and our way of life, which these veterans have so valiantly defended.

I also direct the appropriate officials of the Government to arrange for the display of the flag of the United States on all public buildings on Veterans Day.

IN WITNESS WHEREOF, I have hereunto set my hand and caused the Seal of the United States of America to be affixed.

DONE at the City of Washington this 17th day of October in the year of our Lord nineteen hundred and fifty-eight, and of the Independence of the United States of America the one hundred and eighty-second.

[SEAL]

DWIGHT D. EISENHOWER

By the President:

JOHN FOSTER DULLES,
Secretary of State.

[P. R. Doc. 58-8728; Filed, Oct. 17, 1958; 2:39 p. m.]

PROCLAMATION 3262

NATIONAL FARM-CITY WEEK, 1958

BY THE PRESIDENT OF THE UNITED STATES OF AMERICA

A PROCLAMATION

WHEREAS it is appropriate that the Nation give recognition to the efforts and accomplishments of American agriculture in achieving and maintaining our excellent standard of living—the highest in the world; and

WHEREAS the food and fiber produced on our farms and ranches are the raw materials which are used by vast segments of our industry, business, and commerce; and

WHEREAS it is important that there be continued mutual understanding among those who produce this bountiful supply of farm products, those who process these products, and those who consume them; and

WHEREAS mutual understanding of the needs, problems, and opportunities of rural and urban citizens contributes to the maintenance of the internal strength of our Nation; and

WHEREAS the Congress, by a joint resolution approved September 2, 1958 (72 Stat. 1741), has designated the week beginning November 21 and ending November 27, 1958, as National Farm-City Week, and has authorized and requested the President to issue a proclamation calling for suitable observance of that week:

NOW, THEREFORE, I, DWIGHT D. EISENHOWER, President of the United States of America, do hereby call upon the people throughout the country to participate fully in the observance of the period from November 21 to November 27, 1958, as National Farm-City Week; and I request the Department of Agriculture, the land-grant colleges, the Agricultural Extension Service, and all other appropriate agencies and officials of the Government to cooperate with National, State, and local farm organizations and other groups in the several States and counties in preparing and carrying out programs for the appropriate observance of National Farm-City Week, including plans for public meetings, discussions, exhibits, pageants, and press, radio, and television features, with special emphasis on notable achieve-

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ments by rural groups and individuals and on the enrichment of American country living through adequate cultural, spiritual, educational, recreational, and health facilities for both rural youth and rural adults.

I also request urban groups to join in this observance, along with farm groups, as evidence of our appreciation of all those on the farms and in the cities of this Nation who have worked so well in providing us with the food, the fiber, and the products that we need and enjoy.

IN WITNESS WHEREOF, I have hereunto set my hand and caused the Seal of the United States of America to be affixed.

DONE at the City of Washington this 17th day of October in the year of our Lord nineteen hundred and [SEAL] fifty-eight, and of the Independence of the United States of America the one hundred and eighty-third.

DWIGHT D. EISENHOWER

By the President:

JOHN FOSTER DULLES,
Secretary of State.

[F. R. Doc. 58-8729; Filed, Oct. 17, 1958; 2:39 p. m.]

EXECUTIVE ORDER 10785

CHANGE IN THE MEMBERSHIP OF THE PRESIDENT'S COUNCIL ON YOUTH FITNESS

By virtue of the authority vested in me as President of the United States, it is ordered as follows:

1. The President's Council on Youth Fitness shall hereafter be composed of the Secretary of the Interior, who shall be the Chairman of the Council, the Secretary of Defense, the Secretary of Agriculture, the Secretary of Commerce, the Secretary of Labor, the Secretary of Health, Education, and Welfare, and the Housing and Home Finance Administrator.

2. Section 1 of Executive Order No. 10673 of July 16, 1956, which established the President's Council on Youth Fitness and designated the members thereof, and which was amended by Executive Orders No. 10704 of March 25, 1957, and No. 10740 of November 21, 1957, is further amended accordingly.

DWIGHT D. EISENHOWER

THE WHITE HOUSE,
October 17, 1958.

[F. R. Doc. 58-8730; Filed, Oct. 17, 1958; 2:39 p. m.]

RULES AND REGULATIONS

TITLE 6—AGRICULTURAL CREDIT

Chapter IV—Commodity Stabilization Service and Commodity Credit Corporation, Department of Agriculture

Subchapter B—Loans, Purchases, and Other Operations

[1958 C. C. C. Grain Price Support Bulletin 1, Supp. 1, Amdt. 2, Flaxseed]

PART 421—GRAINS AND RELATED COMMODITIES

SUBPART—1958-CROP FLAXSEED LOAN AND PURCHASE AGREEMENT PROGRAM

SETTLEMENT

The regulations issued by the Commodity Credit Corporation and the Commodity Stabilization Service published in 23 F. R. 3647 and 6771, and containing the specific requirements for the 1958-Crop Flaxseed Price Support Program are amended as follows:

Section 421.3486 is amended by redesignating paragraph (h) *Method of payment under purchase agreement settlements* as paragraph (i), and inserting a new paragraph (h) *Payment because of reduced rail freight as follows:*

§ 421.3486 *Settlement.* * * *

(h) *Payment because of reduced rail freight.* A payment per bushel, as provided below, which represents the county average reduction in rail freight subsequent to the calculation of support rates, shall be made to the producer by the county office for flaxseed acquired under loans and purchase agreements by the Commodity Credit Corporation at the county support rate in the following State and county:

CALIFORNIA	*Amount per bushel (cents)*
County	
Imperial	7

(Sec. 4, 62 Stat. 1070, as amended; 15 U. S. C. 714b. Interprets or applies sec. 5, 62 Stat. 1072, secs. 301, 401, 63 Stat. 1053, 1054, as amended; 15 U. S. C. 714c, 7 U. S. C. 1447, 1421)

Issued this 15th day of October 1958.

[SEAL] CLARENCE D. PALMBY,
Acting Executive Vice President, Commodity Credit Corporation.

[F. R. Doc. 58-8707; Filed, Oct. 20, 1958; 8:48 a. m.]

[1958 CCC Cotton Bulletin 1, Amdt. 4]

PART 427—COTTON

SUBPART—1958 COTTON LOAN PROGRAM REGULATIONS

SETOFFS

In order to conform to the setoff regulations promulgated by the Office of the Secretary of Agriculture, § 427.914 of the regulations issued by Commodity Credit Corporation and Commodity Stabilization Service, published in 23 F. R. 3609 and containing the instructions and requirements with respect to the 1958 Cotton Loan Program, is hereby amended to read as follows:

§ 427.914 *Setoffs.* (a) If any installment or installments on any loan made available by CCC on farm-storage facilities or mobile drying equipment are payable, under the provisions of the note evidencing such loan, out of any amount due the producer under the program provided for in this subpart, the producer must designate CCC or the lending agency holding such note as payee of such amount to the extent of such installments, but not to exceed that portion of the amount remaining after deduction of service charges, clerk's fees, and amounts due prior lienholders.

(b) If the producer is indebted to CCC, or if the producer is indebted to any other agency of the United States, and such indebtedness is listed on the county debt record, amounts due the producer under the program provided for in this subpart, after deduction of amounts payable on farm-storage facilities or mobile drying equipment and other amounts provided in paragraph (a) of this section, shall be applied, as provided in the Secretary's Setoff Regulations, Title 7, Part 13, CFR (23 F. R. 3757), to such indebtedness.

(c) In any case referred to in (a) and (b), the producer must go to the county office in the county in which he is listed on the debt record and have his loan documents completed by a clerk in the county office.

(d) Compliance with the provisions of this section shall not deprive the producer of any right he might otherwise have to contest the justness of the indebtedness involved in the setoff action either by administrative appeal or by legal action.

(Sec. 4, 62 Stat. 1070, as amended; 15 U. S. C. 714b. Interprets or applies sec. 5, 62 Stat. 1072, secs. 101, 401, 63 Stat. 1051, as amended, 1054, as amended; 15 U. S. C. 714c, 7 U. S. C. 1441, 1421)

Issued this 14th day of October 1958.

[SEAL] CLARENCE D. PALMBY,
Acting Executive Vice President, Commodity Credit Corporation.

[F. R. Doc. 58-8705; Filed, Oct. 20, 1958; 8:48 a. m.]

[1958 CCC Cottonseed Bulletin 1, Amdt. 1]

PART 443—OILSEEDS

SUBPART—1958 COTTONSEED LOAN PROGRAM REGULATIONS

SETOFFS

In order to conform to the setoff regulations promulgated by the Office of the Secretary of Agriculture, § 443.1410 of the regulations issued by Commodity Stabilization Service, published in 23 F. R. 2579 and containing the instructions and requirements with respect to the 1958 Cottonseed Loan Program, is hereby amended as follows:

§ 443.1410 *Setoffs.* (a) If any installment or installments on any loan made available by CCC on farm-storage facilities or mobile drying equipment are payable, under the provisions of the note evidencing such loan, out of any amount due the producer under the program provided for in this subpart, the producer must designate CCC or the lending agency holding such note as payee of such amount to the extent of such installments, but not to exceed that portion of the amount remaining after

deduction of service charges and amounts due prior lienholders.

(b) If the producer is indebted to CCC, or if the producer is indebted to any other agency of the United States, and such indebtedness is listed on the county debt record, amounts due the producer under the program provided for in this subpart, after deduction of amounts payable on farm-storage facilities or mobile drying equipment and other amounts provided in paragraph (a) of this section, shall be applied, as provided in the Secretary's Setoff Regulations, Title 7, Part 13, CFR (23 F. R. 3757), to such indebtedness.

(c) Compliance with the provisions of this section shall not deprive the producer of any right he might otherwise have to contest the justness of the indebtedness involved in the setoff action either by administrative appeal or by legal action.

(Sec. 4, 62 Stat. 1070, as amended; 15 U. S. C. 714b. Interprets or applies sec. 5, 62 Stat. 1072, secs. 301, 401, 63 Stat. 1053, 1054, as amended, sec. 203, 70 Stat. 212; 15 U. S. C. 714c, 7 U. S. C. 1447, 1421, 1446d)

Issued this 14th day of October 1958.

[SEAL] CLARENCE D. PALMBY,
Acting Executive Vice President,
Commodity Credit Corporation.

[F. R. Doc. 58-8706; Filed, Oct. 20, 1958; 8:48 a. m.]

[1958 CCC Cottonseed Bulletin 2, Amdt. 1]

PART 443—OILSEEDS

SUBPART—1958 COTTONSEED PURCHASE PROGRAM REGULATIONS

SETOFFS

In order to make the setoff provisions of this subpart conform to the setoff regulations promulgated by the Office of the Secretary of Agriculture, § 443.1447 of the regulations issued by Commodity Stabilization Service, published in 23 F. R. 2583 and containing the instructions and requirements with respect to the 1958 Cottonseed Purchase Program, is hereby amended as follows:

§ 443.1447 *Setoffs.* (a) If any installment or installments on any loan made available by CCC on farm-storage facilities or mobile drying equipment are payable, under the provisions of the note evidencing such loan, out of any amount due the producer under the program provided for in this subpart, the producer must designate CCC or the lending agency holding such note as payee of such amount to the extent of such installments, but not to exceed that portion of the amount remaining after deduction of service charges and amounts due prior lienholders.

(b) If the producer is indebted to CCC, or if the producer is indebted to any other agency of the United States, and such indebtedness is listed on the county debt record, amounts due the producer under the program provided for in this subpart, after deduction of amounts payable on farm-storage facilities or mobile drying equipment and other amounts provided in paragraph (a) of this section, shall be applied, as provided in the Secretary's Setoff Regulations, Title 7, Part 13, CFR (23 F. R. 3757), to such indebtedness.

(c) Compliance with the provisions of this section shall not deprive the producer of any right he might otherwise have to contest the justness of the indebtedness involved in the setoff action either by administrative appeal or by legal action.

(Sec. 4, 62 Stat. 1070, as amended; 15 U. S. C. 714b. Interprets or applies sec. 5, 62 Stat. 1072, secs. 301, 401, 63 Stat. 1053, 1054, as amended; 15 U. S. C. 714c, 7 U. S. C. 1447, 1421)

Issued this 15th day of October 1958.

[SEAL] CLARENCE D. PALMBY,
Acting Executive Vice President,
Commodity Credit Corporation.

[F. R. Doc. 58-8708; Filed, Oct. 20, 1958; 8:48 a. m.]

TITLE 7—AGRICULTURE

Chapter IX—Agricultural Marketing Service (Marketing Agreements and Orders), Department of Agriculture

PART 931—MILK IN CEDAR RAPIDS-IOWA CITY MARKETING AREA

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AUTHORITY: §§ 931.0 to 931.101 issued under sec. 5, 49 Stat. 753, as amended; 7 U. S. C. 608c.

§ 931.0 *Findings and determinations.* The findings and determinations hereinafter set forth are supplementary and in addition to the findings and determinations previously made in connection with the issuance of the aforesaid order and of the previously issued amendments thereto; and all of said previous findings and determinations are hereby ratified and affirmed, except insofar as such findings and determinations may be in conflict with the findings and determinations set forth herein.

(a) *Findings upon the basis of the hearing record.* Pursuant to the provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.), and the applicable rules of practice and procedure governing the formulation of marketing agreements and marketing orders (7 CFR Part 900), a public hearing was held upon certain proposed amendments to the tentative marketing agreement and to the order regulating the handling of milk in the Cedar Rapids-Iowa City marketing area. Upon the basis of the evidence introduced at such hearing and the record thereof, it is found that:

(1) The said order as hereby amended, and all of the terms and conditions thereof, will tend to effectuate the declared policy of the act;

(2) The parity prices of milk, as determined pursuant to section 2 of the act, are not reasonable in view of the price of feeds, available supplies of feeds, and other economic conditions which affect market supply and demand for milk in the said marketing area, and the minimum prices specified in the order as hereby amended, are such prices as will reflect the aforesaid factors, insure a sufficient quantity of pure and wholesome milk, and be in the public interest;

(3) The said order as hereby amended, regulates the handling of milk in the same manner as, and is applicable only to persons in the respective classes of industrial or commercial activity specified in, a marketing agreement upon which a hearing has been held.

(b) *Additional findings.* It is necessary in the public interest to make this order amending the order effective not later than November 1, 1958.

The provisions of the said order are known to handlers. The recommended decision of the Deputy Administrator of the Agricultural Marketing Service was issued August 25, 1958, and the decision of the Assistant Secretary containing all amendment provisions of this order, was issued October 2, 1958. The changes effected by this order will not require extensive preparation or substantial alteration in method of operation for handlers. In view of the foregoing, it is hereby found and determined that good cause exists for making this order amending the order effective November 1, 1958, and that it would be contrary to the public interest to delay the effective date of this amendment for 30 days after its publication in the FEDERAL REGISTER. (See section 4 (c), Administrative Procedure Act, 5 U. S. C. 1001 et seq.)

(c) *Determinations.* It is hereby determined that:

(1) The refusal or failure of handlers (excluding cooperative associations specified in section 8c (9) of the act) of more than 50 percent of the milk, which is marketed within the marketing area, to sign a proposed marketing agreement, tends to prevent the effectuation of the declared policy of the act;

(2) The issuance of this order, amending the order, is the only practical means pursuant to the declared policy of the act of advancing the interests of producers as defined in the order as hereby amended; and

(3) The issuance of the order amending the order is approved or favored by at least two-thirds of the producers who during the determined representative period were engaged in the production of milk for sale in the marking area:

Order relative to handling. It is therefore ordered, that on and after the effective date hereof, the handling of milk in the Cedar Rapids-Iowa City marketing area shall be in conformity to and in compliance with the terms and conditions of the aforesaid order, as hereby amended, and the aforesaid order is hereby amended to read as follows:

DEFINITIONS

§ 931.1 *Act.* "Act" means Public Act No. 10, 73d Congress, as amended and as reenacted and amended by the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.).

§ 931.2 *Secretary.* "Secretary" means the Secretary of Agriculture of the United States or any other officer or employee of the United States authorized to exercise the powers or to perform the duties of the said Secretary of Agriculture.

§ 931.3 *Department.* "Department" means the United States Department of Agriculture or any other Federal agency authorized to perform the price reporting functions of the United States Department of Agriculture.

§ 931.4 *Person.* "Person" means any individual, partnership, corporation, association, or other business unit.

§ 931.5 *Cooperative association.* "Cooperative association" means any cooperative marketing association which the Secretary determines, after application by the association:

(a) To be qualified under the provisions of the act of Congress of February 18, 1922, as amended, known as the "Capper-Volstead Act"; and

(b) To have full authority in the sale of milk of its members and to be engaged in making collective sales of or marketing milk or its products for its members.

§ 931.6 *Cedar Rapids-Iowa City marketing area.* "Cedar Rapids-Iowa City marketing area", hereinafter called the "marketing area", means all the territory within the corporate limits of the cities of Cedar Rapids and Iowa City, both in the State of Iowa.

§ 931.7 *Producer.* "Producer" means any person, except a producer-handler, who produces milk in compliance with Grade A inspection requirements of a duly constituted health authority, which milk is received at a pool plant.

§ 931.8 *Distributing plant.* "Distributing plant" means a plant in which any Grade A fluid milk product is processed or packaged and disposed of during the month on routes (including routes operated by vendors) or through plant stores to retail or wholesale outlets (except pool plants) located in the marketing area.

§ 931.9 *Supply plant.* "Supply plant" means a plant from which Grade A milk, skim milk or cream is shipped during the month to a pool plant qualified pursuant to § 931.10 (a).

§ 931.10 *Pool plant.* "Pool plant" means:

(a) A distributing plant from which a volume of Class I milk equal to not less than 35 percent of the Grade A milk received at such plant from dairy farmers and from other plants is disposed of during the month on routes (including routes operated by vendors) or through plant stores to retail or wholesale outlets (except pool plants) and not less than 15 percent of such receipts are so disposed of to such outlets in the marketing area.

(b) A supply plant from which the volume of fluid milk products shipped during the month to pool plants qualified pursuant to paragraph (a) of this section is not less than 35 percent of the Grade A milk received at such plant from dairy farmers during such month: *Provided*, That if such shipments are not less than 50 percent of the receipts of Grade A milk at such plant during the immediately preceding period of September through November, such plant may, upon written application to the market administrator on or before March 1 of any year, be designated as a pool plant for the months of March through June of such year.

(c) A cooperative association with respect to Grade A milk received from dairy farmers at their farms in a tank truck owned or operated by such cooperative association and delivered in such tank truck to a pool plant: *Provided*, That such milk shall be deemed to have been received by the cooperative association at the location of the pool plant to which it is delivered by the tank truck and such location shall be deemed to be the location of such cooperative association in its capacity as the operator of a pool plant.

(d) A plant that is operated by a cooperative association whose members are the majority of the total number of producers shipping to pool plants: *Provided*, That the total quantities of producer milk received from members of the cooperative association at pool plants during the month is not less than 50 percent of the total pounds of producer milk received at all pool plants during the month: *Provided further*, That if written application is filed with the market administrator on or before the 5th day of any month such plant may be designated a nonpool plant for such month and for any subsequent months: *And provided further*, That such plant shall be a nonpool plant during any month in which it would be subject to the classification and pricing provisions of another order issued pursuant to the act unless a greater volume of fluid milk products is disposed of from such plant to retail or wholesale outlets and pool plants in the Cedar Rapids-Iowa City marketing area than in the marketing area regulated pursuant to such other order.

§ 931.11 *Nonpool plant.* "Nonpool plant" means any plant other than a pool plant that receives milk from dairy farmers or is a milk manufacturing, processing, or bottling plant.

§ 931.12 *Handler.* "Handler" means:

(a) Any person in his capacity as the operator of one or more pool plants or in his capacity as the operator of a distributing plant that is not a pool plant, and

(b) A cooperative association with respect to producer milk diverted by the association for its account pursuant to § 931.14.

§ 931.13 *Producer-handler.* "Producer-handler" means any person who operates a dairy farm and a distributing plant but who receives no milk from other dairy farmers or from a cooperative association in its capacity as the operator of a pool plant pursuant to § 931.10 (c).

§ 931.14 *Producer milk.* "Producer milk" means the skim milk and butterfat contained in milk received at a pool plant directly from producers: *Provided*, That milk diverted from a pool plant to a nonpool plant for the account of either the operator of the pool plant or a cooperative association shall be deemed to have been received by the diverting handler at the plant from which diverted: *And provided further*, That in any of the months of July through March milk diverted from the farm of a producer on more than the number of days that milk

was delivered to a pool plant from such farm during the month shall not be deemed to have been received by the diverting handler at the plant from which diverted on such days.

§ 931.15 *Fluid milk product.* "Fluid milk product" means milk, skim milk, buttermilk, milk drinks (plain or flavored), cream or any mixture in fluid form of skim milk and cream (except aerated cream products, ice cream mix, evaporated or condensed milk and sterilized products packaged in hermetically sealed containers).

§ 931.16 *Other source milk.* "Other source milk" means all skim milk and butterfat contained in:

(a) Receipts during the month in the form of fluid milk products except (1) fluid milk products received from pool plants, (2) producer milk, or (3) inventory at the beginning of the month; and

(b) Products other than fluid milk products from any source (including those produced at the plant) which are reprocessed or converted to another product in the plant during the month.

§ 931.17 *Chicago butter price.* "Chicago butter price" means the simple average as computed by the market administrator of the daily wholesale selling prices (using the midpoint of any range as one price) per pound of 92-score bulk creamery butter at Chicago as reported during the month by the Department.

MARKET ADMINISTRATOR

§ 931.20 *Designation.* The agency for the administration of this part shall be a market administrator, selected by the Secretary, who shall be entitled to such compensation as may be determined by, and shall be subject to removal at the discretion of, the Secretary.

§ 931.21 *Powers.* The market administrator shall have the following powers with respect to this part:

(a) To administer its terms and provisions;

(b) To receive, investigate, and report to the Secretary complaints of violations;

(c) To make rules and regulations to effectuate its terms and provisions; and

(d) To recommend amendments to the Secretary.

§ 931.22 *Duties.* The market administrator shall perform all duties necessary to administer the terms and provisions of this part, including but not limited to the following:

(a) Within 30 days following the date on which he enters upon his duties, or such lesser period as may be prescribed by the Secretary, execute and deliver to the Secretary a bond, effective as of the date on which he enters upon his duties and conditioned upon the faithful performance of such duties, in an amount and with surety thereon satisfactory to the Secretary;

(b) Employ and fix the compensation of such persons as may be necessary to enable him to administer its terms and provisions;

(c) Obtain a bond in a reasonable amount, and with reasonable surety thereon, covering each employee who handles funds entrusted to the market administrator;

(d) Pay out of the funds provided by § 931.87: (1) The cost of his bond and of the bonds of his employees, (2) his own compensation, and (3) all other expenses, except those incurred under § 931.88, necessarily incurred by him in the maintenance and functioning of his office and in the performance of his duties.

(e) Keep such books and records as will clearly reflect the transactions provided for in this part, and upon request by the Secretary, surrender the same to such other person as the Secretary may designate;

(f) Publicly announce, unless otherwise directed by the Secretary, by posting in a conspicuous place in his office and by such other means as he deems appropriate the name of any person who within 10 days after the date upon which he is required to perform such acts, has not made reports pursuant to §§ 931.30 and 931.31, or payments pursuant to §§ 931.80, 931.84, 931.86, 931.87 and 931.88;

(g) Submit his books and records to examination by the Secretary and furnish such information and reports as may be required by the Secretary;

(h) Verify all reports and payments of each handler by audit of such handler's records and of the records of any other handler or person upon whose utilization the classification of skim milk or butterfat for such handler depends, or by such investigation as the market administrator deems necessary;

(i) Prepare and disseminate to the public such statistics and such information as he deems advisable and as do not reveal confidential information;

(j) Publicly announce on or before:

(1) The 5th day of each month, the minimum price for Class I milk pursuant to § 931.50 (a) and the Class I butterfat differential pursuant to § 931.51 (a) both for the current month; and the minimum price for Class II milk pursuant to § 931.50 (b) and the Class II butterfat differential pursuant to § 931.51 (b), both for the preceding month; and

(2) The 10th day after the end of each month the uniform price pursuant to § 931.71 and the producer butterfat differential pursuant to § 931.81; and

(k) On or before the 10th day after the end of each month, report to each cooperative association which so requests, the percentage of the milk caused to be delivered by the cooperative association or its members to the pool plant(s) of each handler during the month, which was utilized in each class. For the purpose of this report, the milk so delivered shall be allocated to each class for each handler in the same ratio as all producer milk received by such handler during the month.

REPORTS, RECORDS AND FACILITIES

§ 931.30 *Reports of receipts and utilization.* On or before the 7th day after the end of each month, each handler, except a producer-handler, shall report for such month to the market administrator in the detail and on forms prescribed by the market administrator:

(a) The quantities of skim milk and butterfat contained in receipts of producer milk;

(b) The quantities of skim milk and butterfat contained in fluid milk products received from other pool plants;

(c) The quantities of skim milk and butterfat contained in other source milk;

(d) The quantities of skim milk and butterfat contained in producer milk diverted to nonpool plants pursuant to § 931.14;

(e) Inventories of fluid milk products on hand at the beginning and end of the month;

(f) The utilization of all skim milk and butterfat required to be reported pursuant to this section, including a separate statement of the disposition of Class I milk outside the marketing area; and

(g) Such other information with respect to his utilization of butterfat and skim milk as the market administrator may prescribe.

§ 931.31 *Other reports.* (a) Each producer-handler shall make reports to the market administrator at such time and in such manner as the market administrator may prescribe.

(b) Each handler, except a producer-handler, shall report to the market administrator in the detail and on forms prescribed by the market administrator on or before the 20th day after the end of the month for each of his pool plants his producer payroll for such month which shall show for each producer:

(1) His name and address,

(2) The total pounds of milk received from such producer,

(3) The number of days, if less than the entire month, for which milk was received from such producer,

(4) The average butterfat content of such milk, and

(5) The net amount of such handler's payment together with the price paid and the amount and nature of any deductions.

§ 931.32 *Records and facilities.* Each handler shall maintain and make available to the market administrator or to his representative during the usual hours of business such accounts and records of his operations, together with such facilities as are necessary for the market administrator to verify or establish the correct data with respect to:

(a) The receipt and utilization of all skim milk and butterfat handled in any form during the month;

(b) The weights and butterfat and other content of all milk, skim milk, cream and other milk products handled during the month;

(c) The pounds of skim milk and butterfat contained in or represented by all milk products on hand at the beginning and end of each month; and

(d) Payments to producers and cooperative associations.

§ 931.33 *Retention of records.* All books and records required under this subpart to be made available to the market administrator shall be retained by the handler for a period of three years to begin at the end of the month to

which such books and records pertain: *Provided*, That if, within such three-year period, the market administrator notifies the handler in writing that the retention of such books and records is necessary in connection with a proceeding under section 8c (15) (A) of the act or a court action specified in such notice the handler shall retain such books and records, or specified books and records, until further written notification from the market administrator. In either case, the market administrator shall give further written notification to the handler promptly upon the termination of the litigation or when the records are no longer necessary in connection therewith.

CLASSIFICATION

§ 931.40 *Skim milk and butterfat to be classified.* The skim milk and butterfat which are required to be reported pursuant to § 931.30 shall be classified each month by the market administrator, pursuant to the provisions of §§ 931.41 through 931.46.

§ 931.41 *Classes of utilization.* Subject to the conditions set forth in § 931.44 the classes of utilization shall be as follows:

(a) *Class I milk.* Class I milk shall be all skim milk (including concentrated and reconstituted skim milk) and butterfat (1) disposed of in the form of a fluid milk product and (2) not accounted for as Class II milk.

(b) *Class II milk.* Class II milk shall be all skim milk and butterfat (1) used to produce any product other than a fluid milk product; (2) contained in inventory of fluid milk products on hand at the end of the month; and (3) in shrinkage allocated to receipts of producer milk (except milk diverted to a nonpool plant pursuant to § 931.14) and other source milk (received in the form of a fluid milk product in bulk) but not in excess of 2 percent of such receipts of skim milk and butterfat, respectively.

§ 931.42 *Shrinkage.* The market administrator shall allocate shrinkage over a handler's receipts as follows:

(a) Compute the total shrinkage of skim milk and butterfat for each handler; and

(b) Prorate the resulting amounts between the receipts of skim milk and butterfat contained in producer milk and in other source milk that was received in the form of a fluid milk product in bulk.

§ 931.43 *Responsibility of handlers and reclassification of milk.* All skim milk and butterfat shall be Class I milk unless the handler who first receives such skim milk or butterfat can prove to the market administrator that such skim milk or butterfat should be classified otherwise.

§ 931.44 *Transfers.* Skim milk and butterfat disposed of each month from a pool plant shall be classified:

(a) As Class I milk, if transferred in the form of a fluid milk product to the pool plant of another handler, unless utilization in another class is claimed by both handlers in their reports submitted for the month to the market administrator pursuant to § 931.30: *Provided*, That the skim milk or butterfat so assigned to Class II milk shall be limited to the amount thereof remaining in Class II milk in the plant of the transferee-handler after the subtraction of other source milk pursuant to § 931.46 and any additional amounts of such skim milk or butterfat shall be classified as Class I milk: *And provided further*, That if either or both handlers have received other source milk, the skim milk or butterfat so transferred shall be classified at both plants so as to allocate the greatest possible Class I utilization to the producer milk of both handlers;

(b) As Class I milk, if transferred to a producer-handler in the form of a fluid milk product;

(c) As Class I milk, if transferred or diverted in the form of a fluid milk product to a nonpool plant located more than 300 miles, by the shortest highway distance as determined by the market administrator, from the nearer of the city halls of Cedar Rapids and Iowa City, Iowa; and

(d) As Class I milk, if transferred or diverted in the form of a fluid milk product in bulk to a nonpool plant located not more than 300 miles, by the shortest highway distance as determined by the market administrator, from the nearer of the city halls of Cedar Rapids and Iowa City, Iowa, unless:

(1) The transferring or diverting handler claims classification in Class II milk in his report submitted to the market administrator pursuant to § 931.30 for the month within which such transactions occurred;

(2) The operator of such nonpool plant maintains books and records showing the utilization of all skim milk and butterfat received at such plant which are made available if requested by the market administrator for the purpose of verification; and

(3) The skim milk and butterfat in the fluid milk products (except in ungraded cream disposed of for manufacturing uses) disposed of from such nonpool plant do not exceed the receipts of skim milk and butterfat in milk received during the month directly from Grade A dairy farms that the market administrator determines constitute the regular source of supply for such plant: *Provided*, That any skim milk or butterfat in fluid milk products (except in ungraded cream disposed of for manufacturing uses) disposed of from the nonpool plant which is in excess of receipts from such dairy farms shall be assigned to the fluid milk products so transferred or diverted and classified as Class I milk: *And provided further*, That if the total skim milk and butterfat which were transferred or diverted during the month to such nonpool plant from all plants subject to the classification and pricing provisions of this order and other orders issued pursuant to the act is less than the skim milk and butterfat available for assignment to Class I milk pursuant to the preceding proviso hereof, the assignment to Class I milk at a pool plant shall be not less than that obtained by prorating the assignable Class I milk at the transferee plant over the receipts at such plant from all plants subject to the classification and pricing provisions of this and other orders issued pursuant to the act.

§ 931.45 *Computation of the skim milk and butterfat in each class.* For each month, the market administrator shall correct for mathematical and for other obvious errors the reports of receipts and utilization for the pool plant(s) of each handler and shall compute the pounds of butterfat and skim milk in each class for such handler: *Provided*, That if any of the water contained in the milk from which a product is made is removed before the product is utilized or disposed of by a handler, the pounds of skim milk disposed of in such product shall be considered to be an amount equivalent to the nonfat milk solids contained in such product plus all of the water reasonably associated with such solids in the form of whole milk.

§ 931.46 *Allocation of skim milk and butterfat classified.* After making the computations pursuant to § 931.45 the market administrator shall determine the classification of producer milk received at the pool plant(s) of each handler each month as follows:

(a) Skim milk shall be allocated in the following manner:

(1) Subtract from the total pounds of skim milk in Class II milk the pounds of skim milk assigned to producer milk pursuant to § 931.41 (b) (3);

(2) Subtract from the remaining pounds of skim milk in each class, in series beginning with Class II milk, the pounds of skim milk in other source milk received in the form of fluid milk products which were not subject to the Class I pricing provisions of an order issued pursuant to the act;

(3) Subtract from the remaining pounds of skim milk in each class, in series beginning with Class II milk, the pounds of skim milk in other source milk other than that received in the form of fluid milk products;

(4) Subtract from the remaining pounds of skim milk in Class II milk an amount equal to such remainder, or the product obtained by multiplying the pounds of skim milk in producer milk by 0.05, whichever is less;

(5) Subtract from the remaining pounds of skim milk in each class in series beginning with Class II milk, the pounds of skim milk in other source milk received in the form of fluid milk products which are subject to the Class I pricing provisions of another order issued pursuant to the act.

(6) Add to the pounds of skim milk remaining in Class II milk the pounds of skim milk subtracted pursuant to subparagraph (4) of this paragraph;

(7) Subtract from the remaining pounds of skim milk in each class the skim milk in fluid milk products received from the pool plants of other handlers according to the classification of such products as determined pursuant to § 931.44 (a);

(8) Subtract from the remaining pounds of skim milk in each class, in series beginning with Class II milk, the

pounds of skim milk contained in inventory of fluid milk products on hand at the beginning of the month; and

(9) Add to the pounds of skim milk remaining in Class II milk the pounds of skim milk subtracted pursuant to subparagraph (1) of this paragraph and if the remaining pounds of skim milk in both classes exceed the pounds of skim milk contained in producer milk, subtract such excess from the remaining pounds of skim milk in series beginning with Class II. Any amount of excess so subtracted shall be called "overage".

(b) Butterfat shall be allocated in accordance with the same procedure prescribed for skim milk in paragraph (a) of this section.

(c) Determine the weighted average butterfat content of producer milk remaining in each class computed pursuant to paragraphs (a) and (b) of this section.

MINIMUM PRICES

§ 931.50 *Class prices.* Subject to the provisions of §§ 931.51 and 931.52 the class prices per hundredweight for the month shall be as follows:

(a) *Class I milk price.* The Class I milk price shall be the price for Class I milk established under Federal Order No. 41, as amended, regulating the handling of milk in the Chicago, Illinois, marketing area, plus 15 cents.

(b) *Class II milk price.* The Class II milk price shall be the average of the basic or field prices reported to have been paid or to be paid per hundredweight for milk of 3.5 percent butterfat content received from farmers during the month at the following plants or places for which prices have been reported to the market administrator or to the Department:

Present Operator and Plant Location

Amboy Milk Products Co., Amboy, Ill.
Borden Co., Dixon, Ill.
Carnation Co., Morrison, Ill.
Carnation Co., Oregon, Ill.
Carnation Co., Waverly, Iowa.
United Milk Products Co., Argo Fay, Ill.

§ 931.51 *Butterfat differentials to handlers.* For milk containing more or less than 3.5 percent butterfat, the class prices for the month calculated pursuant to § 931.50 shall be increased or decreased, respectively, for each one-tenth percent butterfat at the appropriate rate, rounded to the nearest one-tenth cent, determined as follows:

(a) *Class I price.* Multiply the Chicago butter price for the preceding month by 0.120.

(b) *Class II price.* Multiply the Chicago butter price for the current month by 0.110.

§ 931.52 *Location differentials to handlers.* For that milk which is received from producers at a pool plant located 50 miles or more from the Cedar Rapids and Iowa City, Iowa, City Halls, by the shortest hard surfaced highway distance as determined by the market administrator, and which is classified as Class I milk, the price specified in § 931.50 (a) shall be reduced by 10 cents for the first 65 miles or less and by 1.5 cents for each additional 10 miles or fraction thereof that such plant is from the nearer of the Cedar Rapids and Iowa City City Halls: *Provided*, That for the purpose of calculating the location differential adjustment applicable pursuant to this section, fluid milk products which are transferred in bulk between pool plants shall be assigned to any remainder of Class II milk in the transferee plant after making the calculations prescribed in § 931.46 (a) (5) and the comparable steps in § 931.46 (b) for such plant, such assignment to transferor plants to be made in sequence according to the location differential applicable to each plant, beginning with the plant having the largest differential.

§ 931.53 *Use of equivalent prices.* If for any reason a price quotation required by this part for computing class prices or for other purposes is not available in the manner described, the market administrator shall use a price determined by the Secretary to be equivalent to the price which is required.

APPLICATION OF PROVISIONS

§ 931.60 *Producer-handler.* Sections 931.40 to 931.46, 931.50 to 931.52, 931.70, 931.71, and 931.80 to 931.88, shall not apply to a producer-handler.

§ 931.61 *Plants subject to other Federal orders.* The provisions of this part shall not apply to a distributing plant or a supply plant during any month in which such plant would be subject to the classification and pricing provisions of another order issued pursuant to the act unless such plant is qualified as a pool plant pursuant to § 931.10 and a greater volume of fluid milk products is disposed of from such plant to retail or wholesale outlets and to pool plants in the Cedar Rapids-Iowa City marketing area than in the marketing area regulated pursuant to such other order: *Provided*, That the operator of a distributing plant or a supply plant which is exempt from the provisions of this order pursuant to this section shall, with respect to the total receipts and utilization or disposition of skim milk and butterfat at the plant, make reports to the market administrator at such time and in such manner as the market administrator may require (in lieu of the reports required pursuant to § 931.30) and allow verification of such reports by the market administrator.

§ 931.62 *Handlers operating nonpool plants.* None of the provisions from §§ 931.44 to 931.52, inclusive, or from §§ 931.70 to 931.85, inclusive, shall apply in the case of a handler in his capacity as the operator of a nonpool plant, except that such handler shall, on or before the 13th day after the end of each month pay to the market administrator for deposit into the producer-settlement fund an amount calculated by multiplying the total hundredweight of butterfat and skim milk disposed of as Class I milk from such plant to retail or wholesale outlets (including sales by vendors and plant stores) in the marketing area during the month, by the rate determined pursuant to § 931.63.

§ 931.63 *Rate of payment on unpriced milk.* The rate of payment per hundredweight to be made by handlers on unpriced other source milk allocated to Class I milk shall be any plus amount obtained by subtracting from the Class I price adjusted by the Class I butterfat and location differentials applicable at a pool plant of the same location as the nonpool plant supplying such other source milk:

(a) During the months of December through June, the Class II price adjusted by the Class II butterfat differential; and

(b) During the months of July through November, the uniform price adjusted by the Class I butterfat differential.

DETERMINATION OF UNIFORM PRICE

§ 931.70 *Computation of value of milk for each handler.* The value of producer milk received during each month by each handler shall be a sum of money computed by the market administrator as follows:

(a) Multiply the pounds of milk in each class by the applicable class price and add together the resulting amounts;

(b) Add the amounts computed by multiplying the pounds of overage deducted from each class pursuant to § 931.46 (a) (9) and the corresponding step of § 931.46 (b) by the applicable class prices;

(c) Add the amount obtained in multiplying the difference between the Class II price for the preceding month and the Class I price for the current month by the lesser of (1) the hundredweight of producer milk classified in Class II less shrinkage during the preceding month or (2) the hundredweight of milk subtracted from Class I pursuant to § 931.46 (a) (8) and the corresponding step of § 931.46 (b);

(d) Add an amount calculated by multiplying the hundredweight of skim milk and butterfat subtracted from Class I milk pursuant to § 931.46 (a) (2) and (3) and the corresponding step of § 931.46 (b) by the rate of payment on unpriced milk determined pursuant to § 931.63 at the nearest nonpool plant(s) from which an equivalent amount of other source skim milk or butterfat was received: *Provided*, That if the source of any Class I products at a pool plant is not clearly established or if such skim milk is in the form of nonfat dry milk, they shall be considered to have been received from a source at the location of the pool plant where they are classified.

§ 931.71 *Computation of uniform price.* For each of the months the market administrator shall compute a uniform price for producer milk of 3.5 percent butterfat content f. o. b. pool plants located within 50 miles of the City Hall of Cedar Rapids or Iowa City, as follows:

(a) Combine into one total the values computed pursuant to § 931.70 for all handlers who made the reports prescribed in § 931.30 for such month, except those in default of payments required pursuant to § 931.84 for the preceding month;

(b) Add or subtract for each one-tenth percent that the average butterfat content of producer milk represented by the values included under paragraph (a) of this section is less or more, respectively, than 3.5 percent, an amount com-

puted by multiplying such differences by the butterfat differential to producers, and multiplying the result by the total hundredweight of producer milk;

(c) Add an amount equal to the sum of the location differential deductions to be made pursuant to § 931.82;

(d) Add an amount equal to one-half of the unobligated cash balance in the producer-settlement fund;

(e) Divide the resulting amount by the total hundredweight of producer milk included in these computations; and

(f) Subtract not less than 4 cents nor more than 5 cents from the price computed pursuant to paragraph (e) of this section.

PAYMENT FOR MILK

§ 931.80 *Time and method of payment.* Each handler shall make payment as follows:

(a) On or before the 15th day after the end of each month during which the milk was received, to each producer for milk received from him and for which payment is not made to a cooperative association pursuant to paragraph (b) of this section, at not less than the uniform price computed in accordance with § 931.71, subject to the butterfat differential computed pursuant to § 931.81 and less location differential deductions pursuant to § 931.82.

(b) On or before the 12th day after the end of each month during which the milk was received, to a cooperative association for milk which it caused to be delivered to such handler from producers, if such cooperative association is authorized to collect such payments for its member producers and exercises such authority, an amount equal to the sum of the individual payments otherwise payable to such producers.

(c) On or before the 11th day after the end of each month during which milk was received at a pool plant from a cooperative association in its capacity as the operator of a pool plant pursuant to § 931.10 (c), at not less than the applicable class prices for such milk plus an amount equal to that payable on the same quantity of producer milk pursuant to § 931.87.

§ 931.81 *Butterfat differentials to producers.* The applicable uniform prices to be paid each producer pursuant to § 931.80 shall be increased or decreased for each one-tenth of one percent which the butterfat content of his milk is above or below 3.5 percent, respectively, at the rate determined by multiplying the total pounds of butterfat in the producer milk allocated to Class I and Class II milk during the month pursuant to § 931.46 by the respective butterfat differential for each class, dividing the sum of such values by the total pounds of such butterfat, and rounding the resultant figure to the nearest one-tenth of a cent.

§ 931.82 *Location differentials to producers.* The uniform price to be paid producers for milk received at a pool plant located 50 miles or more from the Cedar Rapids and Iowa City, Iowa, City Halls, by the shortest hard-surfaced highway distance as determined by the market administrator shall be reduced by 10 cents for the first 65 miles or less and by 1.5 cents for each additional 10 miles or fraction thereof that such plant is from the nearer of the Cedar Rapids and Iowa City, City Halls.

§ 931.83 *Producer-settlement fund.* The market administrator shall establish and maintain a separate fund known as the "producer-settlement fund" into which he shall deposit all payments made by handlers pursuant to §§ 931.62, 931.84 and 931.86, and out of which he shall make all payments to handlers pursuant to §§ 931.85 and 931.86.

§ 931.84 *Payments to the producer-settlement fund.* On or before the 12th day after the end of each month, each handler shall pay to the market administrator the amount by which the value of milk for such handler pursuant to § 931.70 for such month exceeds the obligation pursuant to § 931.80 of such handler to producers for milk received during the month.

§ 931.85 *Payments out of the producer-settlement fund.* On or before the 12th day after the end of each month the market administrator shall pay to each handler the amount by which the obligation pursuant to § 931.80 of such handler to producers for milk received during the month exceeds the value of milk for such handler computed pursuant to § 931.70: *Provided*, That if the balance in the producer-settlement fund is insufficient to make all payments pursuant to this paragraph, the market administrator shall reduce uniformly such payments and shall complete such payments as soon as the necessary funds are available. A handler who has not received the balance of such payments from the market administrator shall not be considered in violation of § 931.80 if he reduces his payments to producers by not more than the amount of the reduction in payment from the producer-settlement fund.

§ 931.86 *Adjustment of accounts.* Whenever audit by the market administrator of any handler's reports, books, records, or accounts discloses errors resulting in money due (a) the market administrator from such handler, (b) such handler from the market administrator, or (c) any producer or cooperative association from such handler, the market administrator shall promptly notify such handler of any amount so due; and payment thereof shall be made on or before the next date for making payment set forth in the provisions under which such error occurred.

§ 931.87 *Expense of administration.* As his pro rata share of the expense of the administration of the order, each handler shall pay to the market administrator on or before the 12th day after the end of each month 4 cents per hundredweight or such lesser amount as the Secretary may prescribe, with respect to butterfat and skim milk contained in (a) producer milk, (b) other source milk at a pool plant which is allocated to Class I milk pursuant to § 931.46, and (c) Class I milk disposed of in the marketing area (except to a pool plant) from a nonpool plant not subject to the classification and pricing provisions of another order issued pursuant to the act.

§ 931.88 *Marketing services.* (a) Except as set forth in paragraph (b) of this section, each handler in making payments to each producer pursuant to § 931.80 shall deduct 5 cents per hundredweight or such lesser amount as the Secretary may prescribe with respect to all milk received by such handler from such producer (except such handler's own farm production) during the month, and shall pay such deductions to the market administrator not later than the 12th day after the end of the month. Such money shall be used by the market administrator to verify or establish weights, samples, and tests of milk received by handlers from such producers during the month and to provide such producers with market information.

(b) In the case of producers for whom a cooperative association is actually performing, as determined by the Secretary, the services set forth in paragraph (a) of this section, each handler shall, in lieu of the deductions specified in paragraph (a) of this section, make such deductions as are authorized by such producers and, on or before, the 12th day after the end of each month, pay over such deductions to the association rendering such services.

§ 931.89 *Termination of obligations.* The provisions of this section shall apply to any obligation under this subpart for the payment of money, irrespective of when such obligation arose, except an obligation involved in an action instituted before August 1, 1949, under section 8c (15) (A) of the Act or before a court.

(a) The obligation of any handler to pay money required to be paid under the terms of this subpart shall, except as provided in paragraphs (b) and (c) of this section, terminate two years after the last day of the calendar month during which the market administrator receives the handler's utilization report on the milk involved in such obligation, unless within such two-year period the market administrator notifies the handler in writing that such money is due and payable. Service of such notice shall be complete upon mailing to the handler's last known address, and it shall contain but need not be limited to, the following information:

(1) The amount of the obligation;

(2) The month(s) during which the milk, with respect to which the obligation exists, was received or handled; and

(3) If the obligation is payable to one or more producers or to an association of producers, the name of such producer(s) or association of producers, or if the obligation is payable to the market administrator, the account for which it is to be paid.

(b) If a handler fails or refuses, with respect to any obligation under this subpart, to make available to the market administrator or his representatives all books and records required by this subpart to be made available, the market administrator may, within the two-year period provided for in paragraph (a) of this section, notify the handler in

writing of such failure or refusal. If the market administrator so notifies a handler, the said two-year period with respect to such obligation shall not begin to run until the first day of the calendar month following the month during which all such books and records pertaining to such obligation are made available to the market administrator or his representatives.

(c) Notwithstanding the provisions of paragraphs (a) and (b) of this section, a handler's obligation under this subpart to pay money shall not be terminated with respect to any transactions involving fraud or willful concealment of a fact, material to the obligation, on the part of the handler against whom the obligation is sought to be imposed.

(d) Any obligation on the part of the market administrator to pay a handler any money which such handler claims to be due him under the terms of this subpart shall terminate two years after the end of the calendar month during which the milk involved in the claim was received if an underpayment is claimed, or two years after the end of the calendar month during which the payment (including deduction or set-off by the market administrator) was made by the handler if a refund on such payment is claimed, unless such handler, within the applicable period of time, files pursuant to section 8c (15) (A) of the act, a petition claiming such money.

EFFECTIVE TIME, SUSPENSION OR TERMINATION

§ 931.90 *Effective time.* The provisions of this subpart, or any amendment to this subpart, shall become effective at such time as the Secretary may declare and shall continue in force until suspended or terminated.

§ 931.91 *Suspension or termination.* The Secretary shall, whenever he finds this subpart, or any provision hereof, obstructs or does not tend to effectuate the declared policy of the act, terminate or suspend the operation of this subpart or any such provision of this subpart.

§ 931.92 *Continuing obligations.* If, upon the suspension or termination of any or all provisions of this subpart, there are any obligations hereunder the final accural or ascertainment of which require further acts by any person (including the market administrator), such further acts shall be performed notwithstanding such suspension or termination.

§ 931.93 *Liquidation.* Upon the suspension or termination of provisions of this subpart, except this section, the market administrator, or such other liquidating agent as the Secretary may designate, shall, if so directed by the Secretary, liquidate the business of the market administrator's office, dispose of all property in his possession or control, including accounts receivable, and execute and deliver all assignments or other instruments necessary or appropriate to effectuate any such disposition. If a liquidating agent is so designated all accounts, books, and records of the market administrator shall be transferred promptly to such liquidating agent. If, upon such liquidation the funds on hand exceed the amounts required to pay outstanding obligations of the office of the market administrator and to pay necessary expenses of liquidation and distribution, such excess shall be distributed to contributing handlers and producers in an equitable manner.

MISCELLANEOUS PROVISIONS

§ 931.100 *Agents.* The Secretary may, by designation in writing, name any officer or employee of the United States to act as his agent or representative in connection with any of the provisions of this subpart.

§ 931.101 *Separability of provisions.* If any provision of this subpart or its application to any person or circumstance is held invalid, the application of such provision and of the remaining provisions of this subpart to other persons or circumstances shall not be affected thereby.

Issued at Washington, D. C., this 15th day of October to be effective on and after the 1st day of November 1958.

[SEAL] E. L. PETERSON,
Acting Secretary.

[F. R. Doc. 58-8700; Filed, Oct. 20, 1958; 8:47 a. m.]

[Lemon Reg. 760, Amdt. 1]

PART 953—LEMONS GROWN IN CALIFORNIA AND ARIZONA

LIMITATION OF HANDLING

(a) *Findings.* (1) Pursuant to the marketing agreement, as amended, and Order No. 53, as amended (7 CFR Part 953), regulating the handling of lemons grown in California and Arizona, effective under the applicable provisions of the Agricultural Marketing Agreement Act of 1937, as amended (7 U. S. C. 601 et seq.; 68 Stat. 906, 1047), and upon the basis of the recommendation and information submitted by the Lemon Administrative Committee, established under the said amended marketing agreement and order, and upon other available information, it is hereby found that the limitation of handling of such lemons as hereinafter provided will tend to effectuate the declared policy of the act.

(2) It is hereby further found that it is impracticable and contrary to the public interest to give preliminary notice, engage in public rule-making procedure, and postpone the effective date of this amendment until 30 days after publication hereof in the FEDERAL REGISTER (60 Stat. 237; 5 U. S. C. 1001 et seq.) because the time intervening between the date when information upon which this amendment is based became available and the time when this amendment must become effective in order to effectuate the declared policy of the Agricultural Marketing Agreement Act of 1937, as amended, is insufficient, and this amendment relieves restriction on the handling of lemons grown in California and Arizona.

(b) *Order, as amended.* The provisions in paragraph (b) (1) (ii) of § 953.867 (Lemon Regulation 760, 23 F. R. 7882) are hereby amended to read as follows:

(ii) District 2: 162,750 cartons.

(Sec. 5, 49 Stat. 753, as amended; 7 U. S. C. 608c)

Dated: October 16, 1958.

[SEAL] S. R. SMITH,
Director, Fruit and Vegetable Division, Agricultural Marketing Service.

[F. R. Doc. 58-8703; Filed, Oct. 20, 1958; 8:47 a. m.]

TITLE 14—CIVIL AVIATION

Chapter II—Civil Aeronautics Administration, Department of Commerce

[Amdt. 8]

PART 507—AIRWORTHINESS DIRECTIVES

MISCELLANEOUS AMENDMENTS

This amendment to Part 507 contains the Airworthiness Directives amended or issued during September 1958. Individual notice of the Airworthiness Directives contained herein has been given to operators and other interested persons who are subscribers to a Civil Aeronautics Administration mailing service.

In the interest of safety, compliance with the notice, procedures and effective date provisions of section 4 of the Administrative Procedure Act is impracticable and contrary to the public interest, and therefore, is not required.

Section 507.10 (a) is amended as follows:

1. 58-8-3 Douglas and Lockheed as it appeared in 23 F. R. 3587 is revised by amending item (1) to read: "The bromochloromethane (CB) fire extinguisher agent must be replaced with a quantity of Freon 13B1 (Bromo-tri or CF_3Br), equal to 0.8 times the installed weight of bromochloromethane (CB) and a suitable breathing oxygen supply must be provided for the crew as specified in CAR 4b.651."

2. The following new airworthiness directives are added:

58-18-1 HAMILTON STANDARD. Applies to All Hamilton Standard Propellers Controlled by 5U18 Governors and Installed on TC18DA and TC18EA Series Engines.

Compliance required at first governor overhaul after December 1, 1958, but not later than June 1, 1959.

Adverse environmental conditions in the propeller governor resulting from certain types of engine failure have caused improper operation of the governor in such a manner as to result in propeller overspeeding, failure to feather and reversing when feathering was initiated. In order to minimize the possibility of such occurrences, provide a means for feathering that will be independent of the low pressure relief and pilot valves incorporated in the 5U18 governors. Installation of the Deterjet Model DJ-1025 governor by pass valve or replacement of the 5U18 governor by the Hamilton Standard 5AA22 governor are considered acceptable means to accomplish the desired objective. (Installation of Deterjet Model DJ-1025 on Douglas DC-7C approved under Supplemental Type Certificate SA4-507.)

(Deterjet Service Buletin No. 1 and Hamilton Standard Bulletin No. 561 cover this same subject.)

58-18-2 VICKERS. Applies to All Viscount 700 Series Aircraft To Vickers Modification D.953 Standard.

Compliance required as indicated.

Vickers Modification D.2081 has been introduced in several parts and revises the attachment of the skin structure to main spar.

Aircraft to Modification D.953 standard are affected by D.2081 part (e) only as follows:

(1) The oversize skin to spar attachment bolts for the inner and outer top booms (unbushed) introduced by part (e) of Modification D.2081 must be fitted before 10,000 flying hours. The oversize bolts are either 1/32" or 3/16" oversize as required, depending on the state of the holes; this is determined by the inspections detailed in the Modification Leaflet. Thickol is used as a sealant when the oversize bolts are fitted.

The British Air Registration Board considers this mandatory. The CAA concurs with this action and considers compliance therewith mandatory.

(Vickers-Armstrongs PTL No. 197 and Modification D.2081 cover this subject.)

58-18-3 VICKERS. Applies to All Viscount 700 Series Aircraft.

Compliance required by November 1, 1958.

Following a recent case of damage to Nos. 1 and 2 flaps, beams and telescopic rods caused by a flap chain tensioner barrel becoming completely unscrewed on No. 1 flap chain, Vickers-Armstrongs recommends the wire-locking of flap chain tensioners on Nos. 1, 2 and 3 flaps.

The British Air Registration Board considers this mandatory. The CAA concurs with this action and considers compliance therewith mandatory.

(Vickers-Armstrongs Modification D.2554 covers this subject.)

58-19-1 GRUMMAN. Applies to All TBF-1, TBF-1C, TBM-1, TBM-1C, TBM-3, TBM-3E Aircraft Certificated in the Limited or Restricted Category.

Compliance required as soon as possible but not later than December 1, 1958.

As a result of a recent accident involving a powerplant fire caused by a broken aluminum flammable fluid carrying line, additional fire protection is required. In order to correct this condition, the following must be accomplished:

Replace the two (2) carburetor vapor return lines, the one fuel pressure line, and the one oil pressure line within the powerplant zone with fire resistant flexible hose assemblies.

58-19-2 HAMILTON STANDARD. Applies to All Hamilton Standard 2J17 Hollow Steel Propeller Blades Installed on Boeing 377 Aircraft.

Compliance required as indicated.

Operators that are using or have used these blades learned through adverse experiences that exceptional maintenance procedures and repair techniques are required to assure the continued airworthiness of these blades. In order to preclude the possibility of additional adverse experiences occurring either under the supervision of the present operators or other operators who will acquire some of the involved aircraft, the following shall apply:

(1) Not later than August 1, 1959, remove from service all 2J17 series propeller blades.

(2) Prior to August 1, 1959, no operator who has not had previous experience in the overhaul and maintenance of 2J17 series propeller blades shall be issued a certificate of airworthiness for aircraft on which these blades are installed.

58-19-3 MOONEY. Applies to Mooney Mark 20A Aircraft, Items 1 and 3 to Serial Nos. 1201 Through 1275, Items 2 and 4 to Serial Nos. 1201 Through 1257, Item 5 to Serial Nos. 1201 Through 1259.

Compliance required by December 1, 1958.

Several cases have occurred in which the carburetor air box cross vanes P/N 6235 have cracked and broken off. This type failure could cause loss of power if the vanes are drawn into the carburetor opening.

Cracking of carburetor air boxes around the neck has also been reported. The following rework is therefore necessary:

(1) Remove the carburetor air box and inspect for cracks. Repair as required by welding.

(2) Add an aluminum brace to each side of the air box neck.

(3) Remove cross vanes located in air box neck.

(4) Shorten fuel overflow drain tube on bottom of air box.

(5) Enlarge fuel overflow drain tube hole in bottom of cowl and replace existing grommet.

(Mooney Service Letter 20-37 covers this same subject.)

(Sec. 205, 52 Stat. 984; 49 U. S. C. 425. Interprets or applies secs. 601, 603, 52 Stat. 1007, 1009, as amended; 49 U. S. C. 551, 553)

[SEAL] WILLIAM B. DAVIS,
Acting Administrator of Civil Aeronautics.

OCTOBER 13, 1958.

[F. R. Doc. 58-8683; Filed, Oct. 20, 1958; 8:45 a. m.]

TITLE 15—COMMERCE AND FOREIGN TRADE

Chapter III—Bureau of Foreign Commerce, Department of Commerce

Subchapter B—Export Regulations

[9th Gen. Rev. of Export Regs., Amdt. 4 [1]]

PART 371—GENERAL LICENSES

PART 372—PROVISIONS FOR INDIVIDUAL AND OTHER VALIDATED LICENSES

PART 373—LICENSING POLICIES AND RELATED SPECIAL PROVISIONS

PART 377—TIME LIMIT (TL) LICENSE

PART 379—EXPORT CLEARANCE AND DESTINATION CONTROL

PART 380—AMENDMENTS, EXTENSIONS, TRANSFERS

PART 382—DENIAL OF EXPORT PRIVILEGES

MISCELLANEOUS AMENDMENTS

1. Section 371.51 *Supplement 1; Commodities subject to General License GHK or GLSA* is amended by adding the following entries:

Dept. of Commerce Schedule B No.	Commodity	Symbol
08090	Sperm and whale oil	H
08099	Animal oils, inedible, n. e. c.	H
08199	Fish oils and fish liver oils, inedible, n. e. c.	H
08490	Stearic acid	H
09999	Cantharides powder	H
21800	Chicle and other chewing gum bases, natural and synthetic, including compounds or mixtures	H
21860	Shellac, dry	H
21895	Natural gums and resins, crude, refined, or modified in condition, n. e. c.	H
22798	Essential oils, natural, n. e. c.	H

[1] This amendment was published in Current Export Bulletin 805, dated October 16, 1958.

Dept. of Commerce Schedule B No.	Commodity	Symbol
46081	Esparto pulp, flax pulp, rag pulp, re-pulped waste paper and straw pulp	H
48030	Chalk overlay	H
48090	Graph paper, base stock	H
48376	Baggage tag stock, file folder stock, and rope tag stock	H
48660	Gummed paper except cellophane tape, gummed	H
48680	Corrugated paper sheets and rolls	H
48715	Specialty bags, including liner bags	H
48990	Paper, paper board and products, n. e. c. except processed paper for dielectric use	H
70630	Filament bulbs (lamps) up to and including ¾ inch base except sealed beam automotive headlamps	H
71482	Gasoline outboard motors, 15 horsepower and under	H
71590	Parts and accessories specially fabricated for gasoline outboard motors 15 horsepower and under	H
81700	Elixirs, fluid extracts, tinctures, and similar liquid solutions, n. e. c.	H
82001	Nicotine sulfate, 40 percent basis	H
82010	Copper sulfate, normal and basic	H
82030	Lead arsenate	H
82080	Calcium arsenate	H
82920	Leather dressings, oils, polishings and stains	H
96809	Closures for thermostatic containers	H
98405	Knitting machine needles	H

2. Section 372.2 *Definition of validated licenses*, paragraph (f) *Time Limit license* is amended to read as follows:

(f) *Time Limit license.* A "Time Limit (TL) license" is a validated license authorizing the exportation of an unlimited quantity of commodities to one or more ultimate consignees located in a Group O country. (See Part 377 of this chapter.)

3. Section 372.4 *Applications for validated licenses*, paragraph (a) *Who may apply*, subparagraph (2) *Order party* is amended to read as follows:

(2) *Order party.* (i) Where the applicant did not receive the order directly from the foreign purchaser or ultimate consignee named in the application, or through his or their agents abroad, (except as provided in subdivision (iii) of this subparagraph) the application must also be signed by the person in the United States who originally received the order (the order party) as well as by the applicant. The "order party" is that person in the United States who conducted the direct negotiations or correspondence with the foreign purchaser or ultimate consignee and who, as a result of these negotiations, received the order from the foreign purchaser or ultimate consignee.

(ii) The order party should not be shown as an applicant in the space provided for the applicant on the application form. The license, when issued, will show as licensee only the party shown as applicant on the application form.

(iii) (*a*) The signature of the order party is not required in cases where: (*1*) Maintenance, repair, or operating supplies are to be exported for use and consumption by the ultimate consignee and not for resale; and (*2*) the applicant has complete records and information concerning the transaction(s), including all correspondence between the foreign consignee and the person in the United States who originally received the order;

and (3) the application is supported by the following certification from the ultimate consignee:

I (We) certify that _____ (Applicant) has received and will continue to receive all records and information, including correspondence, regarding the negotiations between _____ and _____ (Order Party) (Ultimate Consignee) relating to the export order for _____ maintenance, repair and operating supplies to be used and consumed, but not resold, by the undersigned and upon which the application for an export license dated on _____ is based. Any material changes in the information transmitted to the applicant will be promptly communicated to him.

_____ (Date of signing)

_____ (Ultimate Consignee)

(b) If the consignee prefers, he may submit the following multiple certification, in original and one copy, covering all such orders placed by him with the applicant within a period ending on June 30 of the year following the year in which the certification is executed unless an earlier termination date is specified.

I (We) certify that _____ (Applicant) has received, and will continue to receive, all records and information, including correspondence, regarding the negotiations between _____ and _____ (Order Party) (Ultimate Consignee) relating to the export orders for _____ maintenance, repair, and operating supplies to be used and consumed but not resold, by the undersigned and which are the basis for all applications for export licenses placed by the applicant on or before _____ (Enter date not later than June 30 of next year). Any material changes in the information transmitted to the applicant will also be promptly communicated to him.

_____ (Date of signing)

_____ (Ultimate Consignee)

(c) An application supported by a multiple order certification need not be signed by the order party but shall contain the following certification:

Instead of an order party signature, this application is supported by a multiple order certification dated _____ from the named consignee to this applicant and submitted in support of Application No. _____ (BFC Case No.)

(d) An application supported by a single order certification covering a purchase order for commodities which require more than one application shall contain the following certification:

Instead of an order party signature, this application is supported by a single order certification dated _____ from the named consignee to the applicant and submitted in support of Application No. _____ (BFC Case No.) The shipment set forth on this application is covered by that certification.

4. Section 373.2 *Confirmation of country of ultimate destination and verification of actual delivery*, paragraph (g) *Submission of delivery verification*, subparagraph (2) *Submission to the Bureau of Foreign Commerce* is amended to read as follows:

(2) *Submission to the Bureau of Foreign Commerce.* When notified to do so by the Bureau of Foreign Commerce, any person issued a license covering shipments within the scope of this section shall:

(i) Transmit to the foreign importer a written request for delivery verification at the time of making each shipment under the license (whenever possible, this request shall be submitted together with the related Bill of Lading or Air Waybill). The request shall include the number of the import certificate for the particuar transaction which is referred to in the Notification of Delivery Verification Requirement (Form FC–863). In addition, the request shall also notify the foreign importer that this same import certificate number should be shown on the delivery verification;

(ii) Obtain from the named importer a Delivery Verification which has been issued to the importer by his government covering the commodities described on the particular export license, or so much thereof (when complete shipment against the license will not be made) as the licensee will have shipped; and

(iii) Send the original copy of the Delivery Verification to the Bureau of Foreign Commerce within a reasonable time after clearance of the last exportation made under the license. If a Delivery Verification is required with respect to commodities covered by a license and the licensee makes partial shipments against the license, the licensee shall obtain a Delivery Verification for each partial shipment and retain it in his files until all Delivery Verifications respecting shipments against the license have been received by him. The licensee shall then send the original copies of all such Delivery Verifications to the Bureau of Foreign Commerce in one parcel.

5. Part 377 is amended to read as follows:

PART 377—TIME LIMIT (TL) LICENSE

Sec.

377.1 Time Limit (TL) license.
377.2 Commodities subject to TL license.
377.3 Consideration of applications.
377.4 Reexportation.
377.5 Application requirements.
377.6 Issuance of licenses.
377.7 Export clearance.
377.8 Amendment of license.
377.9 Application for other validated licenses.
377.10 Effect of other provisions.

AUTHORITY: §§ 377.1 to 377.10 issued under sec. 3, 63 Stat. 7; 50 U. S. C. App. 2023. E. O. 9630, 10 F. R. 12245, 3 CFR, 1945 Supp., E. O. 9919, 13 F. R. 59, 3 CFR, 1948 Supp.

§ 377.1 *Time Limit (TL) license.* This part establishes a procedure for obtaining a Time Limit (TL) license which, if issued, authorizes the exportation in unlimited quantities of the licensed commodity or commodities to one or more named ultimate consignees in a Country Group O destination for a period of one year from issuance of the license. (See § 371.3 of this chapter for list of Country Group O destinations.) Reexportation by the foreign consignee(s) to importers in other Country Group O destinations may also be made in accordance with the provisions of § 377.4.

§ 377.2 *Commodities subject to TL license.* The commodities which may be exported under the Time Limit (TL) license procedure are all RO commodities on the Positive List of Commodities (§ 399.1 of this chapter).

§ 377.3 *Consideration of applications*—(a) *General.* Application for TL licenses will be considered for approval when the commodities proposed to be exported are intended for consumption or resale within the particular country of ultimate destination or for reexportation by the foreign consignee to another Group O country. However, reexportation may not be effected until such time as approval is received from the Bureau of Foreign Commerce in accordance with § 377.4.

(b) *Applicant-consignee relationship.* An applicant for a TL license must have an established business relationship with each ultimate consignee named on the application for a period of two years immediately preceding the date of filing the application, and must have exported the commodities covered by the application to each ultimate consignee in an amount totaling at least $2,000 during these two years, part of which was exported during each of the two years. For example, if the application is filed on April 10, 1959, this relationship must have existed during the years April 10, 1958, through April 9, 1959, and April 10, 1957, through April 9, 1958. In addition, an applicant for a TL license shall have in his possession, at the time the application is filed, documentary evidence of the existence of the prescribed relationship with each ultimate consignee. The documents or records shall be retained by the applicant for three years from the date of receipt of the application, as shown on the Acknowledgement Card (Form FC–116), and shall be kept available for inspection, upon demand, by the Bureau of Foreign Commerce.

(c) *Waiver of order requirements.* An applicant for a TL license is not required to hold an export order from the foreign consignee or purchaser for the commodities subject to this procedure. The provisions of § 372.4 (f) of this chapter relating to export orders are, therefore, waived with respect to applications for TL licenses.

§ 377.4 *Reexportation.* (a) Reexportation may be made between ultimate consignees named on outstanding TL licenses, issued to the same licensee, without the necessity of obtaining specific approval from the Bureau of Foreign Commerce. Approval for reexportation to other importers in Country Group O may be obtained in accordance with the procedure described below.

(b) Requests for reexportation approval may be made either with the license application or subsequent to the issuance of the TL license. In order to obtain such approval, Form IT– or FC–917, Request for and Notice of Approval for Reexportation, shall be sub-

mitted, in triplicate, to the Bureau of Foreign Commerce.[1] Items 1 through 9 of the form may be completed by the United States exporter who shall then transmit Form IT– or FC–917 to his foreign consignee for completion of item 10 and for any other information on the form not completed by the United States exporter. The Bureau of Foreign Commerce will approve or deny the request by completing the bottom portion of one copy of the form and returning it to the U. S. exporter. Reexportation requests, if approved, will be continuing until rescinded by the Bureau of Foreign Commerce.

§ 377.5 *Application requirements*—(a) *Application form.* An application for a Time Limit (TL) license shall be prepared and submitted on Form FC–419, Application for Export License, with Acknowledgment Card, Form FC–116, attached, in accordance with instructions contained in § 372.5 of this chapter, with the following specific modifications.

(b) *Preparation of application and consignee list.* In preparing a license application (Form FC–419), the applicant shall:

(1) Enter the words "Time Limit License" across the top of the Form FC–419, immediately above the printed words "United States of America."

(2) Where there is more than one ultimate consignee, enter in the "Ultimate consignee in foreign country" space of Form FC–419 "See attached list of consignees." This list showing the names and addresses of the proposed consignees must be submitted in duplicate, plus an additional copy for each added license required under the provisions of § 377.7.

(3) Leave blank the spaces of Form FC–419 captioned "Quantity to be Shipped," "Unit Price," and "Total Price."

(c) *Certification of applicant-consignee business relationship.* Each application for a TL license shall include the following certification signed by the applicant:

This is to certify that (I) (we) have had a business relationship with _____ (Name(s) of _____ extending over a ultimate consignee(s))
period of two years preceding the date of submission of this application and have exported to the named consignee(s) the commodities applied for under this application in an amount totaling at least $2,000 during these two years, part of which was exported during each of the two years.

(d) *Multiple transactions statement.* Each application for a TL license shall be supported by a Multiple Transactions Statement by Consignee and Purchaser (Form FC–843),[1] completed by each ultimate consignee named on the application in accordance with the provisions of § 373.65 (c) of this chapter.

[1] Form IT– or FC–917 or Form FC–843 may be obtained from all Department of Commerce field offices, from the Bureau of Foreign Commerce, Department of Commerce, Washington 25, D. C., and from U. S. consulates, embassies and other posts in Group O countries.

§ 377.6 *Issuance of licenses*—(a) *Form of issuance.* TL licenses will be issued on Form FC–628, Export License, and will bear the identifying words "Time Limit License" below the validation stamp. Where more than one ultimate consignee is approved, the list of ultimate consignees submitted in accordance with the instructions contained in § 377.5 (b) will be attached to and will become a part of the license.

(b) *Validity period.* A TL license will be valid for a period of one year from date of issuance, and the expiration date will be indicated on the license form.

(c) *Rejection of consignees.* If in processing an application covering more than one ultimate consignee the Bureau of Foreign Commerce finds that it will require an extended period of time to process the application because of the necessity for prolonged consideration of one or more proposed ultimate consignees, a Time Limit license may be issued excluding such consignee(s). By this method, undue delay will be avoided in issuing the license. The Bureau of Foreign Commerce in such instances will notify the applicant that an individual license application may be submitted to cover each excluded consignee.

§ 377.7 *Export clearance*—(a) *Presentation of license to Customs.* (1) The TL license shall be deposited with the Collector of Customs at the port of exit through which the greater portion of shipments thereunder will move.

(2) Upon request of the licensee, Collectors may authorize movement of the commodity from another port in accordance with the procedure established in § 379.2 (e) of this chapter. As an alternative, the applicant may obtain an additional license for deposit with the Collector at each additional port of exit through which substantial shipments will move. Under the alternative procedure, the applicant shall indicate on the license application the ports of exit through which substantial shipments will move. If, subsequent to issuance of the license, additional licenses are required under the alternative procedure, the licensee may make such request by letter to the Bureau of Foreign Commerce, indicating the Bureau of Foreign Commerce case number, name(s) of ultimate consignee(s), and ports through which substantial shipments will move.

(b) *Shipments by mail.* Shipments may be made by mail, without the necessity of obtaining additional licenses to effect such shipments, in accordance with the procedure described in § 379.1 (b) of this chapter.

§ 377.8 *Amendment of license*—(a) *Extension of validity period.* Amendments of a TL license involving extension of the validity period will not be granted. In order to assure the continuity of an outstanding license, exporters may submit an additional application for a TL license, 30 days prior to the expiration date of the outstanding license. Where special circumstances exist (for example, lead time in long-cycle production commodities), an additional license application may be submitted 90 days prior to the expiration date of the outstanding license, provided that the reason(s) for such early submission are included with the application.

(b) *Addition of new ultimate consignee.* A request for an amendment of an outstanding Time Limit license to add a new ultimate consignee shall be submitted on Form IT– or FC–763 (see § 380.2 of this chapter) and shall be supported by a consignee/purchaser statement, Form FC–843 (see § 377.5 (d)) and a certification of applicant-consignee business relationship (see § 377.5 (c)).

§ 377.9 *Application for other validated licenses.* An exporter holding a Time Limit license shall not apply for, nor will the Bureau of Foreign Commerce issue to him, an individual or other type of validated license for any transaction involving a commodity and consignee covered by such Time Limit license.

§ 377.10 *Effect of other provisions.* Insofar as consistent with the provisions of this part, all of the provisions of the Export Regulations shall apply equally to applications for and licenses issued under this part.

6. Section 379.2 *Presentation and use of validated license,* paragraph (e) *Simultaneous or subsequent shipments from other ports,* subparagraph (1) *Transmittal of approval* is amended to read as follows:

(1) *Transmittal of approval.* If part of the licensed shipment is to be made from another port, the licensee shall request the Collector holding the license to transmit to the Collector at the intended port of exit approval for the intended shipment. Upon granting the approval, the Collector holding the license will endorse the license to record the facts as to the intended shipment. On any shipment made pursuant to such approval, duly executed declarations shall be presented to the Collector at the port from which the shipment is to be made, as provided in this part. The Collector of Customs receiving the approval releases may permit the quantity covered by the release to be exported in one or more shipments. In case full or partial shipment is not made from the intended port (in accordance with the approval), the licensee or his agent may initiate action for the modification or deletion of the Collector's endorsement of the intended shipment. Such action may be initiated in the following manner:

(i) *License in possession of Collector.* If the license is still in the possession of the Collector (whether or not the license would have been completed by the intended shipment), the licensee or his agent shall request the Collector to whom the approval was sent to notify the Collector holding the license to make an amendment of his previous endorsement of the intended shipment.

(ii) *License returned by Collector to the Bureau of Foreign Commerce.* If the license has been returned by the Collector to the Bureau of Foreign Commerce, an application for a new license may be submitted to the Bureau of For-

eign Commerce covering the quantity not shipped, together with a letter explaining the facts and identifying the Collector to whom the approval was sent.

7. Section 379.10 *Destination control*, paragraph (c) *Statement regarding ultimate destination on Declaration, Bill of Lading, and commercial invoice*, subparagraph (4) is amended to read as follows:

(4) No carrier shall release custody of commodities covered by the provisions of this paragraph to any party (including an agent, on-carrier, or any other person) without surrender by that party, to the carrier, of a copy of the Bill of Lading bearing on its face the applicable destination control statement set forth in subparagraph (1) of this paragraph, unless either:

(i) Simultaneously with the release of the commodities, the carrier delivers to such party, in writing, a copy of the destination control statement, as contained in the copy of the Bill of Lading in the carrier's possession, covering the shipment, and identification of the shipment by Bill of Lading number, name of carrier, voyage number, date, and port of arrival. In addition, the carrier shall secure either a signed receipted copy of the written statement or other equivalent written evidence that the statement has been delivered by the carrier; or,

(ii) The regulations of the importing country require the carrier to deliver the commodities directly into the physical possession and control of Customs or other government agency for delivery to the consignee or his agent. Under these circumstances the carrier need not give to or receive from the Customs or other government agency, or the consignee or his agent, any document bearing the destination control statement.

8. Section 380.2 *Amendments or alterations of licenses*, paragraph (d) *Changes by amendment*, subparagraph (2) is amended to read as follows:

(2) Ultimate consignee, if the change is made (i) to identify correctly the same ultimate consignee named in the license, or (ii) to add one or more new consignees to an outstanding project license, Periodic Requirements (PRL) license, Blanket (BLT) license, or Time Limit license or (iii) to designate a new consignee when the purchaser instructs that shipment be made direct to the ultimate user, provided that all documents required from the ultimate user, such as a consignee/purchaser statement, are submitted to the Bureau of Foreign Commerce either with the original application or with the amendment request.

9. Section 382.51 *Supplement 1; Table of denial and probation orders currently in effect*, paragraph (b) *Table of denial and probation orders* is amended in the following respects:

a. The following entries are added to the list:

Name and address	Effective date of order	Expiration date of order	Export privileges affected	Federal Register citation
Bakanowski Corp. Ltd., 2 Doughty St., London W. C. 2, England.	9-23-58	Indefinite	General and validated licenses, all commodities, any destination, also exports to Canada.	23 F. R. 7556, 9-27-58.
Botez, Alexander, aka Allessandro Doniel Botez, A. B. Gamboa, Alexander Botez Gamboa, 11 Rue Emile Yung and 22 Ave. Pierre Odier, Geneva, Switzerland.	8-11-58	do	do	23 F. R. 6270, 8-14-58. 23 F. R. 7145, 9-16-58.
Engler, Ltd., Stadthausquai 7, Zurich, Switzerland.	10- 1-58	10-31-58	do	23 F. R. 7712, 10-4-58.
Farner, Willi, aka Willi Farner Moser, Grenchen, Switzerland and Sagrera 44-58, Barcelona, Spain.	8-11-58	Indefinite	do	23 F. R. 6270, 8-14-58. 23 F. R. 7145, 9-16-58.
Farner Werke A. G., Grenchen, Switzerland.	8-11-58	do	do	23 F. R. 6270, 8-14-58. 23 F. R. 7145, 9-16-58.
Gamboa, Alexander Botez, aka A. B. Gamboa, Alexander Botez, Allessandro Doniel Botez, 11 Rue Emile Yung and 22 Ave. Pierre Odier, Geneva, Switzerland.	8-11-58	do	do	23 F. R. 6270, 8-14-58. 23 F. R. 7145, 9-16-58.
Moser, Willi Farner, aka Willi Farner, Grenchen, Switzerland, and Sagrera 44-58, Barcelona, Spain.	8-11-58	do	do	23 F. R. 6270, 8-14-58. 23 F. R. 7145, 9-16-58.
Oriental Purchasing Co., Bank of East Asia Bldg., Hong Kong.	7-10-58	Duration	General and validated licenses, all commodities, any destination, also exports to Canada. (Firm related to Overseas Trading Co. (H. K.) Ltd., which see.)	23 F. R. 5400, 7-16-58.

b. The following entries are amended to read as follows:

Name and address	Effective date of order	Expiration date of order	Export privileges affected	Federal Register citation
Eigler, Georg, d/b/a Industrie-Warenverkehr, Karlsgasse 20, Vienna IV, Austria.	8-4-58	Duration	General and validated licenses, all commodities, any destination, also exports to Canada.	23 F. R. 6002, 8-7-58.
Industrie-Warenverkehr, Karlsgasse 20, Vienna IV, Austria.	8-4-58	do	do	23 F. R. 6002, 8-7-58.

This amendment shall become effective as of October 16, 1958, unless otherwise indicated.

(Sec. 3, 63 Stat. 7; 50 U. S. C. App. 2023. E. O. 9630, 10 F. R. 12245, 3 CFR, 1945 Supp., E. O. 9919, 13 F. R. 59, 3 CFR, 1948 Supp.)

LORING K. MACY,
Director,
Bureau of Foreign Commerce.

[F. R. Doc. 58-8695; Filed, Oct. 20, 1958; 8:47 a. m.]

[9th Gen. Rev. of Export Regs., Amdt. P. L. 4 [1]]

PART 399—POSITIVE LIST OF COMMODITIES AND RELATED MATTERS

COMMODITY INTERPRETATIONS; ARMS, AMMUNITION AND IMPLEMENTS OF WAR

Section 399.2 *Appendix B—Commodity interpretations* is amended by revising *Interpretation 12: Arms, ammunition, and implements of war* to read as follows:

INTERPRETATION 12: ARMS, AMMUNITION, AND IMPLEMENTS OF WAR

Arms, ammunition, and implements of war, as defined in the United States Munitions List (see § 370.4 (a) of this chapter), are under the jurisdiction of the Department of State. However, when these arms, ammunition, and implements of war are shipped as "scrap" they are under the jurisdiction of the Bureau of Foreign Commerce.

For the purpose of export control, arms, ammunition, and implements of war shall be considered to be "scrap" only if they have been rendered useless by means of mangling, crushing, or cutting beyond the possibility of restoration to their original identity. If such commodities have been rendered useless by means of excessive heating, by removal of component parts, or by any method other than mangling, crushing or cutting, they remain under the licensing jurisdiction of the Department of State.

Exporters should consult the Office of Munitions Control, Department of State, Washington 25, D. C., when in doubt as to whether a commodity covered by the Munitions List has been rendered useless, before applying to the Bureau of Foreign Commerce for a license to export the item as metal scrap.

This amendment shall become effective as of October 16, 1958.

(Sec. 3, 63 Stat. 7; 50 U. S. C. App. 2023. E. O. 9630, 10 F. R. 12245, 3 CFR, 1945 Supp., E. O. 9919, 13 F. R. 59, 3 CFR, 1948 Supp.)

LORING K. MACY,
Director,
Bureau of Foreign Commerce.

[F. R. Doc. 58-8696; Filed, Oct. 20, 1958; 8:47 a. m.]

[1] This amendment was published in Current Export Bulletin 805, dated October 16, 1958.

TITLE 17—COMMODITY AND SECURITIES EXCHANGES

Chapter II—Securities and Exchange Commission

PART 240—GENERAL RULES AND REGULATIONS, SECURITIES EXCHANGE ACT OF 1934

EXEMPTION OF CERTAIN SECURITIES

The Securities and Exchange Commission has announced that it has adopted a new rule under the Securities Exchange Act of 1934, designated Rule 15a–3, which exempts from section 15 (a) of the act securities bought or sold off the floor of an exchange in a block by the specialist in such security when the transaction is approved by the exchange and is effected under its rules to help the specialist to maintain a fair and orderly market on the exchange. The proposal to adopt this rule was published on August 11, 1958, in Securities Exchange Act Release No. 5750.

Section 15 (a) of the act provides that no broker or dealer shall use the mails or any federal instrumentality to effect any transaction in a security (other than an exempted security) otherwise than on a national securities exchange unless he is registered as a broker-dealer with this Commission or his business is exclusively intrastate. Section 3 (a) (12) of the act defines the term "exempted security" to include a security which the Commission, by rules and regulations deemed necessary or appropriate in the public interest or for the protection of investors, exempts from the operation of any one or more provisions of the act which by their terms do not apply to an "exempted security". The rules of some national securities exchanges provide that a specialist in a particular security may buy or sell blocks of such security off the floor of the exchange when it appears that such transactions will help the specialist to perform his function of maintaining a fair and orderly market in such security on the exchange and the transactions are approved by the exchange. Rule 15a–3 exempts from the provisions of section 15 (a) of the act the securities involved in these exchange-regulated transactions and makes it unnecessary for a specialist who effects no other over-the-counter transactions in non-exempt securities to become registered as a broker-dealer. However, a specialist who effects any other transaction in a non-exempt security otherwise than on a national securities exchange would still have to register as a broker-dealer.

Statutory basis. The Commission, acting pursuant to the provisions of the Securities Exchange Act of 1934, particularly sections 3 (a) (12), 15 (a) and 23 (a) thereof, and deeming such action necessary and appropriate in the public interest and for the protection of investors and necessary for the execution of its functions under the act, hereby adopts Rule 15a–3 in the form stated below. The Commission finds, in accordance with the provisions of section 4 (c) of the Administrative Procedure Act, that this action has the effect of granting exemption and that this rule may be and is hereby declared effective October 10, 1958.

§ 240.15a–3 *Exemption of specialist's block purchases and sales.* Securities registered or exempt from registration on a national securities exchange are hereby exempted from the operation of section 15 (a) of the Act when they are bought or sold off the floor of such exchange in a block by a specialist registered in such security and the transaction involving such securities has been approved by such exchange pursuant to its rules to assist the specialist to maintain a fair and orderly market in such security on such exchange.

(Sec. 23, 48 Stat. 901, as amended; 15 U. S. C. 78w)

By the Commission.

[SEAL] ORVAL L. DUBOIS, *Secretary.*

OCTOBER 10, 1958.

[F. R. Doc. 58–8693; Filed, Oct. 20, 1958; 8:47 a. m.]

TITLE 20—EMPLOYEES' BENEFITS

Chapter V—Bureau of Employment Security, Department of Labor

PART 606—REGULATIONS TO IMPLEMENT TITLE IV OF THE VETERANS' READJUSTMENT ASSISTANCE ACT OF 1952 (ALL STATES EXCEPT PUERTO RICO AND THE VIRGIN ISLANDS)

PART 607—REGULATIONS TO IMPLEMENT TITLE IV OF THE VETERANS' READJUSTMENT ASSISTANCE ACT OF 1952 IN PUERTO RICO AND THE VIRGIN ISLANDS

MISCELLANEOUS AMENDMENTS

Since the promulgation of the regulations contained in Parts 606 and 607 of Title 20, Code of Federal Regulations, laws have been enacted which directly and indirectly affect the rights of veterans to compensation under Title IV of the Veterans' Readjustment Assistance Act of 1952 (66 Stat. 684; 38 U. S. C. 991 et seq.). These laws are the Ex-Servicemen's Unemployment Compensation Act of 1958 (Pub. Law 85–848; 72 Stat. 1087) providing that an individual who becomes entitled to compensation under that act shall not thereafter be entitled to compensation under Title IV of the Veterans' Readjustment Assistance Act of 1952; amendments to this latter act prescribing the termination date for payment of compensation under Title IV (69 Stat. 376; 38 U. S. C. 999); Title XV of the Social Security Act relating to the employment compensation program for Federal civilian employees (68 Stat. 1130, 42 U. S. C. 1361 et seq.), and the Hawaii Agricultural Unemployment Compensation Law (Act 74, approved May 13, 1957) and the Puerto Rico Employment Security Act (29 L. P. R. A. 701 et seq.) which are not unemployment compensation laws approved under section 3304 of the Internal Revenue Code of 1954 (68A Stat. 443; 26 U. S. C. 3304).

The purpose of the amendments hereinafter made is to adapt the regulations contained in Parts 606 and 607 to these recent statutory provisions.

Now, therefore, pursuant to the authority vested in me by section 406 of the Veterans' Readjustment Assistance Act of 1952 (66 Stat. 687; 38 U. S. C. 996) and section 1509, Title XV, of the Social Security Act (68 Stat. 1135; 42 U. S. C. 1369), Parts 606 and 607 of Title 20, Code of Federal Regulations, are hereby amended in the manner indicated below.

1. The blanket citation immediately preceding § 606.1 is amended to read as follows:

AUTHORITY: §§ 606.1 to 606.13 issued under sec. 406, 66 Stat. 687, sec. 1509, 68 Stat. 1135; 38 U. S. C. 996, 42 U. S. C. 1369. Interpret or apply secs. 401–405, 407–409, 66 Stat. 684–688, Pub. Law 85–848; 38 U. S. C. 991–995, 997–999.

2. Section 606.1 (e) is amended to read as follows:

(e) "State law" means a State unemployment compensation or employment security law approved under section 3304 of the Internal Revenue Code of 1954 (68A Stat. 433; 26 U. S. C. 3304).

3. Section 606.1 (f) is amended to read as follows:

(f) "Federal law" means the Railroad Unemployment Insurance Act (52 Stat. 1094; 45 U. S. C. 351 et seq.) and the act entitled "Unemployment Compensation for Federal Employees" (68 Stat. 1130; 42 U. S. C. 1361 et seq.) relating to civilian employees.

4. Section 606.7 is amended by adding the following paragraph (d):

(d) Notwithstanding any other provisions of this part, a veteran: (1) Who meets the wage and employment requirements for benefits under the unemployment compensation law of the State (or, in the case of Puerto Rico or the Virgin Islands, the law of the District of Columbia) to which his Federal military service and Federal military wages as defined in § 614.1 of this chapter have been assigned, but would not meet such requirements except by the use of such Federal military service and Federal military wages; or (2) whose weekly benefit amount computed according to the applicable State unemployment compensation law is increased by the use of such Federal military service and Federal military wages, shall not thereafter be entitled to compensation under Title IV.

5. The following section is added to Part 606:

§ 606.13 *Expiration of program.* No compensation under Title IV shall be paid to a veteran for any week of unemployment beginning more than three years after the effective date of his discharge or release from active service, except that in no event shall such compensation be paid to a veteran for any day of unemployment after January 31, 1960.

6. The blanket citation immediately preceding § 607.1 is amended to read as follows:

AUTHORITY: §§ 607.1 to 607.30 issued under sec. 406, 66 Stat. 687, sec. 1509, 68 Stat. 1135; 38 U. S. C. 996, 42 U. S. C. 1369. Interpret or apply secs. 401–405, 407–409, 66 Stat. 684–688, Pub. Law 85–848; 38 U. S. C. 991–995, 997–999.

7. Section 607.1 (c) is amended to read as follows:

(c) "State law" means a State unemployment compensation or employment security law approved under section 3304 of the Internal Revenue Code of 1954 (68A Stat. 443; 26 U. S. C. 3304).

8. Section 607.1 (d) is amended to read as follows:

(d) "Federal law" means the Railroad Unemployment Insurance Act (52 Stat. 1094, 45 U. S. C. 351 et seq.) as amended, and the act entitled "Unemployment Compensation for Federal Employees" (68 Stat 1130, 42 U. S. C. 1361 et seq.) relating to civilian employees.

9. Section 607.8 is amended by adding the following paragraph:

(d) Notwithstanding any other provisions of this part, a veteran: (1) Who meets the wage and employment requirements for benefits under the unemployment compensation law of the State (or, in the case of Puerto Rico or the Virgin Islands, the law of the District of Columbia) to which his Federal military service and Federal military wages as defined in § 614.1 of this chapter have been assigned but would not meet such requirements except by the use of such Federal military service and Federal military wages; or (2) whose weekly benefit amount computed according to the applicable State unemployment compensation law is increased by the use of such Federal military service and Federal military wages, shall not thereafter be entitled to compensation under Title IV.

10. The following section is added to Part 607:

§ 607.31 *Expiration of program.* No compensation under Title IV shall be paid to a veteran for any week of unemployment beginning more than three years after the effective date of his discharge or release from active service, except that in no event shall such compensation be paid to a veteran for any day of unemployment after January 31, 1960.

Since these amendments relate to public grants and benefits, and are, therefore, within the exceptions for such grants and benefits contained in section 4 of the Administrative Procedure Act (60 Stat. 238, 5 U. S. C. 1003), they shall become effective October 27, 1958.

(Sec. 406, 66 Stat. 687, sec. 1509, 68 Stat. 1135; 38 U. S. C. 996, 42 U. S. C. 1369. Interpret or apply secs. 401–405, 407–409, 66 Stat. 684–688, Pub. Law 85–848; 38 U. S. C. 991–995, 997–999)

Signed at Washington, D. C., this 17th day of October 1958.

JAMES P. MITCHELL,
Secretary of Labor.

[F. R. Doc. 58-8747; Filed, Oct. 20, 1958; 9:48 a. m.]

PART 609—REGULATIONS TO IMPLEMENT THE UNEMPLOYMENT COMPENSATION FOR FEDERAL CIVILIAN EMPLOYEES PROGRAM UNDER TITLE XV OF THE SOCIAL SECURITY ACT: RESPONSIBILITIES OF FEDERAL AGENCIES

PART 610—REGULATIONS TO IMPLEMENT THE UNEMPLOYMENT COMPENSATION FOR FEDERAL CIVILIAN EMPLOYEES PROGRAM UNDER TITLE XV OF THE SOCIAL SECURITY ACT: RESPONSIBILITIES OF STATE AGENCIES

PART 611—REGULATIONS TO IMPLEMENT THE UNEMPLOYMENT COMPENSATION FOR FEDERAL CIVILIAN EMPLOYEES PROGRAM UNDER TITLE XV OF THE SOCIAL SECURITY ACT: RESPONSIBILITIES OF THE PUERTO RICO AND VIRGIN ISLANDS AGENCIES

MISCELLANEOUS AMENDMENTS

The purpose of these amendments is to make the changes in these regulations necessitated by the enactment of the Ex-Servicemen's Unemployment Compensation Act of 1958 (Pub. Law 85–848; 72 Stat. 1087) as a part of Title XV of the Social Security Act (68 Stat. 1130; 42 U. S. C. 1361), and, where necessary, to distinguish rights based on Federal civilian service from those based on Federal military service.

Pursuant to authority vested in me by section 1509, Title XV, of the Social Security Act (68 Stat. 1136; 42 U. S. C. 1369), Parts 609, 610, and 611 of Title 20, Code of Federal Regulations, are amended in the manner indicated below.

1. The blanket citation immediately preceding § 609.1 is amended to read as follows:

AUTHORITY: §§ 609.1 to 609.9 issued under sec. 1509, 68 Stat. 1135; 42 U. S. C. 1369. Interpret or apply secs. 1501–1508, 68 Stat. 1130–1135, Pub. Law 85–848; 42 U. S. C. 1361–1368.

2. The part designation of Part 609 is amended to read as set forth above.

3. Section 609.1 (a) is amended to read as follows:

(a) "Federal agency" means any department, agency, or governmental body of the United States (including any instrumentality wholly owned by the United States) employing persons in Federal civilian service as defined in this section.

4. Section 609.1 (b) is amended to read as follows:

(b) "Federal civilian employee" means an individual who has performed Federal civilian service as defined in this section.

5. So much of § 609.1 (c) as appears before subparagraph (1) is amended to read as follows:

(c) "Federal civilian service" means service performed after December 31, 1952, in the employ of the United States or any instrumentality wholly owned by the United States, except that the term shall not include service to which section 1511 of the Social Security Act applies or service performed:

6. Section 609.1 (d) is amended to read as follows:

(d) "Federal civilian wages" means all remuneration for Federal civilian service, including cash allowances and remuneration in any medium other than cash.

7. Section 609.1 (e) is amended to read as follows:

(e) "Official station" means the State or country (if outside the United States) designated on the Federal civilian employee's notification of personnel action terminating his Federal civilian service (Standard Form 50 or its equivalent) as his "headquarters," or "duty station" if it differs from his "headquarters." If the form of notification does not specify his "headquarters" or "duty station", his official station shall be the State or country of employment designated on such form.

8. Section 609.1 (h) is amended to read as follows:

(h) "Title XV" means the part of Title XV of the Social Security Act relating to civilian employees entitled "Unemployment Compensation for Federal Employees".

9. Section 609.1 (i) is amended to read as follows:

(i) "Findings" mean the facts found by a Federal agency with respect to: (1) Whether the claimant has performed Federal civilian service for that agency during the base period specified on the Form ES–931; (2) the claimant's Federal civilian wages for such base period, by quarters or weeks, as requested; and (3) the reasons for the termination of his Federal civilian service.

10. The headnote of § 609.2 is amended to read as follows: "§ 609.2 *Information to Federal civilian employees.*"

11. Section 609.2 (b) is amended to read as follows:

(b) Complete Standard Form 8, "Notice to Federal Employee About Unemployment Compensation," in accordance with instructions thereon, and furnish a completed copy of such form to each of its employees at the time of separation from Federal civilian service, when transferred from one payroll office to another or when the office responsible for distribution of the form is advised that the individual is on nonpay status for seven consecutive days or more.

12. Section 609.6 is amended to read as follows:

§ 609.6 *Assignment of Federal civilian service and Federal civilian wages.* (a) When the completed Form ES–931 has been returned to the State agency or Secretary, as the case may require, the claimant's Federal civilian service and Federal civilian wages for the period shown on the form shall be deemed to have been assigned within the meaning of section 1504 of Title XV. Unless this assignment is in error, the Federal civilian wages and Federal civilian service so assigned may not be reassigned to another State.

(b) Each Federal agency shall maintain a control of assignments of Federal civilian service and Federal civilian wages. When an assignment is made the Federal agency shall indicate on the basic document on which it maintains a

record of each employee's Federal civilian wages (such as the "Individual Pay Card"), the fact that wages have been assigned, the period concerned, and the State to which assigned.

(Sec. 1509, 68 Stat. 1135; 42 U. S. C. 1369. Interpret or apply secs. 1501, 1502, 1504–1508, 68 Stat. 1130–1135, Pub. Law 85–848; 42 U. S. C. 1361, 1362, 1364–1368)

13. The blanket citation immediately preceding § 610.1 is amended to read as follows:

AUTHORITY: §§ 610.1 to 610.8 issued under sec. 1509, 68 Stat. 1135; 42 U. S. C. 1369. Interpret or apply secs. 1501, 1502, 1504–1508, 68 Stat. 1130–1135, Pub. Law 85–848; 42 U. S. C. 1361, 1362, 1364–1368.

14. The part designation of Part 610 is amended to read as set forth above.

15. Section 610.1 (b) is amended to read as follows:

(b) "Compensation" means the amount payable to Federal civilian employees under Title XV with respect to their unemployment, including any portion thereof payable with respect to dependents; provided, however, that "compensation" shall not include any amounts payable under any temporary disability law.

16. Section 610.1 (c) is amended to read as follows:

(c) "Federal agency" means any department, agency, or governmental body of the United States (including any instrumentality wholly owned by the United States) employing persons in Federal civilian service as defined in this section.

17. Section 610.1 (d) is amended to read as follows:

(d) "Federal civilian employee" means an individual who has performed Federal civilian service as defined in this section.

18. Section 610.1 (e) is amended to read as follows:

(e) "Federal civilian service" means any service performed after 1952 in the employ of the United States or of any wholly owned instrumentality thereof except services to which section 1511 of the Social Security Act applies and services excluded by section 1501 (a).

19. Section 610.1 (f) is amended to read as follows:

(f) "Federal civilian wages" means all remuneration for Federal civilian service, including cash allowances and remuneration in any medium other than cash.

20. Section 610.1 (g) is amended to read as follows:

(g) "Official station" means the State or country (if outside the United States) designated on the Federal civilian employee's notification of personnel action terminating his Federal civilian service (Standard Form 50 or its equivalent) as his "headquarters", or "duty station" if it differs from his "headquarters". If the form of notification does not specify his "headquarters" or "duty station", his official station shall be the State or country of employment designated on such form.

21. Section 610.1 (k) is amended to read as follows:

(k) "Title XV" means the part of Title XV of the Social Security Act relating to civilian employees entitled "Unemployment Compensation for Federal Employees".

22. Section 610.1 (l) is amended to read as follows:

(l) "Findings" mean the facts found by a Federal agency with respect to: (1) Whether the claimant has performed Federal civilian service for that agency during the base period specified on the Form ES–931; (2) the claimant's Federal civilian wages for such base period, by quarters or weeks, as requested; and (3) the reasons for the termination of his Federal civilian service.

23. Section 610.3 is amended to read as follows:

§ 610.3 *Assignment of Federal civilian service and Federal civilian wages*—(a) *State to which assigned.* Federal civilian service and Federal civilian wages shall be assigned to the State in which the Federal civilian employee had his last official station prior to filing his first claim for a benefit year (whether or not a benefit year is established), unless: (1) at the time he files such claim he resides in another State in which, after he was separated from Federal civilian service, he performed service covered under the unemployment compensation law of such State even though such service was performed within the period with respect to which he is receiving or has received a terminal annual leave payment (in this event his Federal civilian service and Federal civilian wages shall be assigned to the latter State); or (2) prior to the filing of such claim his last official station in Federal civilian service was outside the United States, in which event his Federal civilian service and Federal civilian wages shall be assigned to the State in which he resides when he files such claim; as used in this paragraph "United States" includes the 48 States, Alaska, Hawaii, and the District of Columbia; or (3) at the time he files such claim he resides in Puerto Rico or the Virgin Islands, in which event his Federal civilian service and Federal civilian wages shall be assigned to Puerto Rico or the Virgin Islands, as the case may be. Federal civilian service and Federal civilian wages assigned to a State in error may be reassigned by that State for use by the proper State. The reassigning State agency shall keep an appropriate record of the reassignment.

(b) *Allocation of terminal annual leave payments.* The lump-sum terminal leave payment of a claimant constitutes Federal civilian wages for the period with respect to which they are allocated under § 609.5 of this chapter.

(c) *Service and wages to be assigned.* (1) As soon as a claimant files a claim for compensation the State agency shall request information on Form ES–931 from each Federal agency for whom the claimant worked in his base period. The State agency shall specify on the Form ES–931 the claimant's base period and whether his Federal civilian wages are to be reported by quarters or weeks. Only Federal civilian service and Federal civilian wages in the specified base period shall be assigned to the State. "Base period" as used in this paragraph means the base period prescribed by the State unemployment compensation law at the time the claimant files his first claim for compensation whether or not it becomes a valid claim or a benefit year is established.

(2) Federal civilian service and Federal civilian wages shall be deemed to have been assigned to the State when the State agency receives the completed Form ES–931 from the Federal agency.

(3) Federal civilian service and Federal civilian wages assigned to a State shall be used only by that State (or by another State to which they have been transferred in accordance with the interstate wage combining plans or reassigned to correct an error) in determining entitlement to compensation.

(d) *United States considered as single employer.* Federal civilian service performed for all Federal agencies shall be considered for purposes of the State unemployment compensation law as employment with a single employer.

24. Section 610.5 (a) and (b) are amended to read as follows:

(a) *Entitlement.* The agency of the State to which a Federal civilian employee's Federal civilian service and Federal civilian wages have been assigned (or of another State to which they have been transferred in accordance with the interstate wage combining plans or reassigned to correct an error) shall determine the claimant's entitlement to compensation and shall pay such compensation in the same amounts, on the same terms, and subject to the same conditions as the benefits which would be payable to such claimant under the employment compensation law of the State if the Federal civilian service and Federal civilian wages of such claimant had been included as employment and wages under such law, with the following exceptions: (1) That no compensation shall be paid to a claimant for any period to which payment of civilian or military terminal leave is allocated in accordance with § 609.5 or § 614.12 of this chapter; (2) a claimant who is eligible to receive a mustering-out payment under Title V of the Veterans' Readjustment Assistance Act of 1952 (66 Stat. 688; 38 U. S. C. 1011 et seq.) shall not be eligible to receive compensation with respect to weeks of unemployment completed within 30 days after his discharge or release if he receives $100.00 in such mustering-out payment; within 60 days after his discharge or release if he receives $200.00 in such mustering-out payment; or within 90 days after his discharge or release if he receives $300.00 in such mustering-out payment. The notice of determination given to the claimant pursuant to the unemployment compensation law of the State shall include the findings made by the Federal agency and shall inform the claimant of his right to

additional information or reconsideration and correction of such findings. The State agency shall set forth the findings of the Federal agency in sufficient detail to enable the claimant to determine whether he wishes to request reconsideration or correction of any such findings, to the extent that such information has been furnished by the Federal agency.

(b) *Application of interstate plans.* The Interstate Benefit Payment Plan and the Interstate Wage Combining Plan shall be applicable, where appropriate, to claimants who have Federal civilian service and Federal civilian wages. For the purpose of these plans Federal civilian wages are considered as wages under the law of the State to which they are assignable.

25. Section 610.5 (d) is hereby deleted.

26. Section 610.6 is amended to read as follows:

§ 610.6 *Overpayments*—(a) *Fraud.* If, after a determination and an opportunity for a fair hearing thereon, a State agency or a court of competent jurisdiction finds that a Federal civilian employee has received an overpayment of compensation as a result of false statements knowingly made or material facts knowingly withheld, he shall be liable to repay any such outstanding overpayment. In the discretion of the State agency, such amounts may be deducted from future benefits payable to him under Title XV, as amended by the Ex-Servicemen's Unemployment Compensation Act of 1958 (Pub. Law 85–848; 72 Stat. 1087), during the two-year period following the date on which such finding was made, as provided in section 1508 (b) of the Social Security Act.

(b) *Absence of fraud.* In cases of overpayment, where there has been no finding by a State agency or court of competent jurisdiction that there has been an intent to defraud, the determinations specified below shall be made under the State unemployment compensation law: (1) Whether a Federal civilian employee who has received an overpayment of compensation which he has not repaid shall receive any future benefits payable under Title XV, as amended by the Ex-Servicemen's Unemployment Compensation Act of 1958, or (2) whether he shall be liable to repay such overpayment, or (3) whether he shall be permitted to offset any future benefits payable to him under Title XV, as amended by the Ex-Servicemen's Unemployment Compensation Act of 1958, against such outstanding overpayment, or (4) whether a waiver of such overpayment may be permitted.

(Sec. 1509, 68 Stat. 1135; 42 U. S. C. 1369. Interpret or apply secs. 1501, 1502, 1504–1508, 68 Stat. 1130–1135, Pub. Law 85–848; 42 U. S. C. 1361, 1362, 1364–1368)

27. The part designation of Part 611 is amended to read as set forth above.

28. The blanket citation immediately preceding § 611.1 is amended to read as follows:

AUTHORITY: §§ 611.1 to 611.12 issued under sec. 1509, 68 Stat. 1135; 42 U. S. C. 1369. Interpret or apply secs. 1501, 1502, 1504–1508, 68 Stat. 1130–1135, Pub. Law 85–848; 42 U. S. C. 1361, 1362, 1364–1368.

29. Section 611.1 (c) is amended to read as follows:

(c) "Compensation" means the amount payable to Federal civilian employees under Title XV with respect to their unemployment.

30. Section 611.1 (e) is amended to read as follows:

(e) "Federal agency" means any department, agency, or governmental body of the United States (including any instrumentality wholly owned by the United States) employing persons in Federal civilian service as defined in this section.

31. Section 611.1 (f) is amended to read as follows:

(f) "Federal civilian employee" means an individual who has performed Federal civilian service as defined in this section.

32. Section 611.1 (g) is amended to read as follows:

(g) "Federal civilian service" means any service performed after 1952 in the employ of the United States or of any wholly owned instrumentality thereof except services to which section 1511 of the Social Security Act applies and services excluded in section 1501 (a).

33. Section 611.1 (h) is amended to read as follows:

(h) "Federal civilian wages" means all remuneration for Federal civilian service, including cash allowances and remuneration in any medium other than cash.

34. Section 611.1 (j) is amended to read as follows:

(j) "Title XV" means the part of Title XV of the Social Security Act relating to civilian employees entitled "Unemployment Compensation for Federal Employees".

35. Section 611.3 is amended to read as follows:

§ 611.3 *Assignment of Federal civilian service and Federal civilian wages*—(a) *Assignment to Puerto Rico or the Virgin Islands.* When a claimant files his first claim for compensation for a benefit year in Puerto Rico or the Virgin Islands, Federal civilian service and Federal civilian wages shall be assigned to Puerto Rico or the Virgin Islands, as the case may be (whether or not a benefit year is established).

(b) *Allocation of terminal annual leave payments.* The lump-sum terminal annual leave payment of a claimant constitutes Federal civilian wages for the period with respect to which it is allocated under § 609.5 of this chapter.

(c) *Service and wages to be assigned.* (1) As soon as a claimant files a claim for compensation the agency shall request information on Form ES–931 from each Federal agency for whom the claimant worked in his base period. The agency shall specify on the Form ES–931 the claimant's base period and the quarters for which his Federal civilian wages are to be reported. Only Federal civilian service and Federal civilian wages in the specified base period shall be assigned to Puerto Rico or the Virgin Islands, as the case may be. "Base period" as used in this paragraph means the base period prescribed by the District of Columbia Unemployment Compensation Act at the time the claimant files his first claim for compensation whether or not it becomes a valid claim or a benefit year is established.

(2) Federal civilian service and Federal civilian wages shall be deemed to have been assigned to Puerto Rico or the Virgin Islands, as the case may be, when the agency receives the completed Form ES–931 from the Federal agency.

(3) Federal civilian service and Federal civilian wages assigned to Puerto Rico or the Virgin Islands shall be used only by Puerto Rico or the Virgin Islands, as the case may be, in determining entitlement to compensation.

(4) Federal civilian service and Federal civilian wages assigned to Puerto Rico or the Virgin Islands in error may be reassigned.

(d) *United States considered as single employer.* Federal civilian service performed for all Federal agencies shall be considered for purposes of the District of Columbia Unemployment Compensation Act as employment with a single employer.

36. Section 611.4 is amended to read as follows:

§ 611.4 *Effect of Federal agency's findings.* The findings of a Federal agency as to whether the individual has performed Federal civilian service, during his base period specified on the Form ES–931, the individual's Federal civilian wages in such base period, and the reasons for termination of such service, shall be final and conclusive, unless the claimant applies for reconsideration and correction of such findings in accordance with § 609.7 (b) of this chapter or requests additional information in accordance with §609.7 (a) of this chapter.

37. Section 611.5 (a) (1) is amended to read as follows:

(1) Where a Federal civilian employee's Federal civilian service and Federal civilian wages have been assigned to Puerto Rico or the Virgin Islands, the agency of Puerto Rico or the Virgin Islands, as the case may be shall promptly determine the claimant's entitlement to compensation in the same amounts, on the same terms, and subject to the same conditions as the benefits which would be payable to such claimant under the District of Columbia Unemployment Compensation Act if the Federal civilian service and Federal civilian wages of such claimant had been included as employment and wages under such law, with the following exceptions: (i) That no compensation shall be paid to a claimant for any period to which payment of civilian or military terminal leave is allocated in accordance with § 609.5 or § 614.12 of this chapter; (ii) a claimant who is eligible to receive a mustering-out payment under Title V of the Veterans' Readjustment Assistance Act of 1952 (66 Stat. 688; 38 U. S. C. 1011 et seq.),

shall not be eligible to receive compensation with respect to weeks of unemployment completed within 30 days after his discharge or release if he receives $100.00 in such mustering-out payment; within 60 days after his discharge or release if he receives $200.00 in such mustering-out payment; or within 90 days after his discharge or release if he receives $300.00 in such mustering-out payment; and (iii) if a claimant, without regard to his Federal civilian service and Federal civilian wages, and Federal military service and Federal military wages (as defined in § 614.1 of this chapter), has employment or wages sufficient to qualify for any benefits during the benefit year under the District of Columbia Unemployment Act, then payments of benefits under Title XV, as amended by the Ex-Servicemen's Unemployment Compensation Act of 1958 (Public Law 85-848; 72 Stat. 1087), shall be made only on the basis of his Federal civilian service and Federal civilian wages and Federal military service and Federal military wages.

38. Section 611.5 (e) is hereby deleted.

39. Section 611.6 is amended to read as follows:

§ 611.6 *Overpayments*—(a) *Fraud.* If, after a determination and an opportunity for a fair hearing thereon, the agency or a court of competent jurisdiction finds that a Federal civilian employee has received an overpayment of compensation as a result of false statements knowingly made or material facts knowingly withheld, he shall be liable to repay any such outstanding overpayment. In the discretion of the agency, such amounts may be deducted from future benefits payable to him under Title XV, as amended by the Ex-Servicemen's Unemployment Compensation Act of 1958, during the two-year period following the date on which such finding was made, as provided in section 1508 (b) of the Social Security Act.

(b) *Absence of fraud.* In cases of overpayment, where there has been no finding by the agency or a court of competent jurisdiction that there has been an intent to defraud, the determinations specified below shall be made under the District of Columbia Unemployment Compensation Act: (1) Whether a Federal civilian employee who has received an overpayment of compensation which he has not repaid shall receive any future benefits payable under Title XV, as amended by the Ex-Servicemen's Unemployment Compensation Act of 1958, or (2) whether he shall be liable to repay such overpayment, or (3) whether he shall be permitted to offset any future benefits payable to him under Title XV, as amended by the Ex-Servicemen's Unemployment Compensation Act of 1958, against such outstanding overpayment, or (4) whether a waiver of such overpayment shall be permitted.

40. Section 6.11.8 (e) is amended to read as follows:

(e) *Evidence.* Oral or written evidence of any nature, whether or not conforming to the legal rules of evidence, may be accepted. Any official record of Puerto Rico or the Virgin Islands, including reports submitted in connection with the administration of Title XV, as amended by the Ex-Servicemen's Unemployment Compensation Act of 1958, may be included in the record: *Provided, however,* That the claimant is given an opportunity to examine and rebut the same. A written statement may be accepted, if under oath or affirmation, when it appears impossible or unduly burdensome to require the attendance of a witness, provided, the claimant is given an opportunity to examine such statement, to comment on or to rebut any or all thereof and whenever possible, to cross-examine a witness whose testimony has been introduced in written form by written questions to be answered in writing.

(Sec. 1509, 68 Stat. 1135; 42 U. S. C. 1369. Interpret or apply secs. 1501, 1502, 1504–1508, 68 Stat. 1130–1135, Pub. Law 85–848; 42 U. S. C. 1361, 1362, 1364–1368)

Since these amendments relate to public grants and benefits and are, therefore, within the exceptions for such grants and benefits contained in section 4 of the Administrative Procedure Act (60 Stat. 238; 5 U. S. C. 1003), they shall become effective October 27, 1958.

Signed at Washington, D. C., this 17th day of October 1958.

JAMES P. MITCHELL,
Secretary of Labor.

[F. R. Doc. 58-8748; Filed, Oct. 20, 1958; 9:48 a. m.]

PART 614—REGULATIONS TO IMPLEMENT THE EX-SERVICEMEN'S UNEMPLOYMENT COMPENSATION PROGRAM UNDER TITLE XV OF THE SOCIAL SECURITY ACT, AS AMENDED

Pursuant to section 1509, Title XV, of the Social Security Act, as amended (68 Stat. 1135; 42 U. S. C. 1369), Title 20 of the Code of Federal Regulations is hereby amended by adding thereto a new Part 614. This part shall contain regulations to implement the provisions of the Ex-Servicemen's Unemployment Compensation Act of 1958 (Pub. Law 85-848; 72 Stat. 1087).

Since these amendments relate to public grants and benefits and are, therefore, excepted from the requirements of section 4 of the Administrative Procedure Act (60 Stat. 238; 5 U. S. C. 1003), they shall become effective October 27, 1958.

The new part reads as follows:

Sec.
614.1 Definitions.
614.2 Effective date of program.
614.3 Information to ex-servicemen.
614.4 Assignment of Federal military service and Federal military wages.
614.5 Findings.
614.6 Correction of findings.
614.7 Finality.
614.8 Effect of "day(s) lost".
614.9 Determination of entitlement.
614.10 Restrictions on entitlement.
614.11 Application of interstate plans.
614.12 Allocation of terminal leave.
614.13 Overpayments.
614.14 Appeals.
614.15 Compensation under the act terminates right to veterans' benefits.
614.16 Transition period.

AUTHORITY: §§ 614.1 to 614.16 issued under sec. 1509, 69 Stat. 1135; 42 U. S. C. 1369. Interpret or apply secs. 1501–1503, 1505, 1508, 1511, 68 Stat. 1130–1133, 1135, Pub. Law 85–848; 42 U. S. C. 1361–1363, 1365, 1368.

§ 614.1 *Definitions.* As used in this part unless the context clearly indicates otherwise.

(a) "Act" means the Ex-Servicemen's Unemployment Compensation Act of 1958.

(b) "Benefit year" means the benefit year prescribed by the applicable State unemployment compensation law, except that if such State law does not define benefit year, then the term means the period specified in the agreement with such State.

(c) "Compensation" means the cash benefits payable to Federal military employees under the Act with respect to their unemployment, including any portion thereof payable with respect to dependents.

(d) "Federal military agency" means the Army, Navy, Air Force, Marine Corps, or Coast Guard of the United States.

(e) "Federal military employee" means an individual who has performed Federal military service as defined in this section.

(f) "Federal military service" means any period of active service which begins or continues after December 31, 1952, and which (1) was continuous for 90 days or more (excluding any period to which terminal leave pay is allocated pursuant to § 614.12), or was terminated earlier by reason of an actual service-incurred injury or disability, and (2) with respect to which the individual (i) has been discharged or released under conditions other than dishonorable, and (ii) was not given a bad conduct discharge, or if an officer, did not resign for the good of the service, but only if a period of such active service either begins after January 31, 1955, or terminates after October 27, 1958.

(g) "Federal military wages" means all remuneration for Federal military service computed on the basis of the individual's pay grade at the time of his discharge or release from his latest period of such service and the remuneration for such pay grade prescribed in the schedule of remuneration applicable at the time he files his first claim.

(h) "First claim" means the claim for benefits under Title XV or the unemployment compensation law of a State first filed by an individual after his last discharge or release from Federal military service whereby a benefit year is established in a State or in Puerto Rico or the Virgin Islands.

(i) "Military document or documents" mean the official document or documents issued to an individual by a Federal military agency relating to his active service and his discharge or release from such service.

(j) "Period of active service" means a period of continuous active duty (including active duty for training purposes) in a Federal military agency or agencies, beginning with the date of entry upon active duty and ending on the effective date of the first discharge

or release thereafter which is not qualified or conditional.

(k) "Secretary" means the Secretary of Labor of the United States.

(l) "Schedule of remuneration." means the schedule issued by the Secretary from time to time which specifies the remuneration for each pay grade of servicemen.

(m) "State" includes the forty-eight States, Alaska, Hawaii, and the District of Columbia.

(n) "State Agency" means the agency of a State administering the State unemployment compensation law and the agencies in Puerto Rico and the Virgin Islands cooperating with the United States Employment Service under the Wagner-Peyser Act (48 Stat. 113; 29 U. S. C. 49 et seq.).

(o) "Title XV" means Title XV of the Social Security Act, as amended, including the Ex-Servicemen's Unemployment Compensation Act of 1958.

(p) "Unemployment compensation law" means any unemployment compensation law approved under section 3304 of the Internal Revenue Code of 1954 (68A Stat. 443; 26 U. S. C. 3304).

§ 614.2 *Effective date of program.* Compensation shall be payable for weeks of unemployment ending after October 27, 1958.

§ 614.3 *Information to ex-servicemen.* Each Federal military agency shall furnish information to its military employees at the time of their discharge or release from active service explaining their rights and responsibilities under the Act.

§ 614.4 *Assignment of Federal military service and Federal military wages.* (a) Upon the filing of a first claim by an individual all of his Federal military service and Federal military wages shall be deemed to have been assigned to the State, or to Puerto Rico or the Virgin Islands, as the case may be, in which he files such first claim.

(b) An individual's Federal military service and Federal military wages assigned to a State or to Puerto Rico or the Virgin Islands, as the case may be, shall be used only by that State (or by another State to which they have been transferred in accordance with an interstate wage combining plan), or by Puerto Rico or the Virgin Islands, in determining his entitlement to compensation.

§ 614.5 *Findings.* (a) Information contained in military document or documents furnished to an individual by a Federal military agency as to: (1) Whether the individual has performed active service, (2) the beginning and ending dates of each period of such service and "day(s) lost", if any, during each such period, (3) the type of discharge or release terminating the individual's period or periods of active service, and (4) the individual's pay grade at the time of his discharge or release from the latest period of Federal military service, shall constitute findings within the meaning of section 1511 (d) of Title XV.

(b) (1) Where military document or documents furnished to an individual indicate that the individual's discharge or release from a period of active service was under conditions other than honorable (except a dishonorable or bad conduct discharge) or the individual's period of active service was less than 90 days, the United States Veterans Administration, when requested by a State agency, shall decide whether the individual was discharged or released: (i) Under conditions other than dishonorable, or (ii) in the case of an officer, by reason of his resignation for the good of the service, or (iii) by reason of an actual service-incurred injury or disability.

(2) The United States Veterans Administration shall also decide, upon request of a State agency, whether an individual's discharge or release from active service was qualified or conditional. Any decision made by the United States Veterans Administration pursuant to a request under this paragraph shall constitute a finding within the meaning of section 1511 (d) of Title XV.

§ 614.6 *Correction of findings.* (a) (1) If an individual believes that a finding specified in § 614.5 (a) is incorrect or that information regarding any finding has been omitted from his military document or documents, he may request the issuing Federal military agency to correct the document or documents. Information contained on a corrected military document or documents issued to an individual pursuant to his request shall constitute the findings of the Federal military agency under § 614.5 (a) if the individual notifies the State agency that he has made such request before the period for redetermination of entitlement or appeal under the applicable State unemployment compensation law has elapsed, and if he promptly notifies the State agency of the action of the Federal military agency.

(2) If at the time the individual notifies the State agency of the making of such request a determination of his entitlement has not been made, the State agency may postpone such determination until the individual has notified the State agency of the action of the Federal military agency on his request. If at the time the individual notifies the State agency of the making of such request a determination of his entitlement has been made, or if the individual notifies the State agency of the making of such a request prior to a determination of his entitlement but such determination is not postponed by the State agency, the individual may file a request for redetermination or an appeal in accordance with the applicable State unemployment compensation law, or may file an appeal in accordance with regulations of the Secretary, whichever is applicable. Except as provided in subparagraph (3) of this paragraph, no redetermination shall be made or hearing scheduled on an appeal until the individual has notified the State agency of the action of the Federal military agency on his request.

(3) Upon receipt of notice of the action of a Federal military agency, the State agency shall promptly (i) make a determination or redetermination of the individual's entitlement, and mail or deliver a copy thereof to the individual; or (ii) schedule a hearing on the individual's appeal; whichever is appropriate. If such notice is not received by the State agency within one year of the date the individual first filed a claim, or such notice is not given promptly by the individual, the State agency may, without further postponement, make such determination or redetermination, or schedule such hearing.

(4) Information with respect to any finding specified in § 614.5 (a) contained in corrected military document or documents issued by a Federal military agency on its own motion shall constitute the findings of such agency under § 614.5 (a) if notice thereof is received by the State agency before the period for redetermination of entitlement or appeal under the applicable State unemployment compensation law has elapsed. Upon timely receipt of such notice, the State agency shall take appropriate action in accordance with the applicable State unemployment compensation law to give effect to the corrected findings.

(b) (1) If an individual believes that a finding under § 614.5 (b) is incorrect, he may request reconsideration of such finding by applying therefor to the State agency before the period for redetermination of entitlement or appeal under the applicable State unemployment compensation law has elapsed. The State agency shall forward his request, together with any supporting information submitted by the individual, to the United States Veterans Administration.

(2) If at the time such request is filed a determination of the individual's entitlement has not been made, the State agency shall postpone such determination. If at the time such request is filed a determination of the individual's entitlement has been made, the individual may file a request for redetermination or an appeal in accordance with the applicable State unemployment compensation law, or may file an appeal in accordance with regulations of the Secretary, whichever is applicable. No determination or redetermination shall be made or hearing scheduled on an appeal until the State agency receives from the United States Veterans Administration its action on such request. If the United States Veterans Administration modifies its finding made pursuant to § 614.5 (b), such modified finding shall constitute its finding under that paragraph.

(3) Upon receipt of the action of the United States Veterans Administration, the State agency shall promptly (i) make a determination or redetermination of the individual's entitlement and mail or deliver a copy thereof to the individual; or (ii) schedule a hearing on the individual's appeal; whichever is appropriate.

(c) A Federal military agency or the United States Veterans Administration, as the case may be, shall promptly act on and reply to any request received pursuant to paragraph (a) or (b) of this section.

§ 614.7 *Finality.* The findings of a Federal military agency and the United States Veterans Administration with respect to an individual (including the reasons for his separation reflected therein), and schedules of remuneration

issued by the Secretary shall be final and conclusive.

§ 614.8 *Effect of "day(s) lost".* (a) The continuity of a period of active service shall be deemed not to be interrupted by any "day(s) lost" in such period.

(b) "Day(s) lost" are not days of active duty for the purpose of determining: (1) Whether an individual has performed Federal military service, (2) whether an individual meets the wage or employment requirements of the applicable State unemployment compensation law, or (3) the amount of an individual's Federal military wages.

§ 614.9 *Determination of entitlement.* (a) Except for the findings of the Federal military agency and the United States Veterans Administration and schedules of remuneration which are final and conclusive as provided in § 614.7, the State agency of the State or of Puerto Rico or the Virgin Islands to which an individual's Federal military service and Federal military wages have been assigned (or of another State to which they have been transferred in accordance with an interstate wage combining plan) shall determine the individual's entitlement to compensation and shall pay such compensation in the same amounts, on the same terms, and subject to the same conditions as the benefits (exclusive of temporary disability insurance) which would be payable to such individual under the unemployment compensation law of the State (or in the case of Puerto Rico or the Virgin Islands, the unemployment compensation law of the District of Columbia) if the Federal military service and Federal military wages of such individual had been included as employment and wages under such law: *Provided, however,* That, with respect to determinations made by the State agency of Puerto Rico or Virgin Islands, if an individual, without regard to his Federal military service and Federal military wages as defined in this part and Federal civilian service and Federal civilian wages as defined in § 611.1 of this chapter, has employment or wages sufficient to qualify for any benefits during the benefit year under the unemployment compensation law of the District of Columbia, then payments of benefits shall be made only on the basis of his Federal military service and Federal military wages and his Federal civilian service and Federal civilian wages, if any. Section 611.5 (b) and (d) of this chapter shall apply to this part.

(b) The notice of determination given to an individual pursuant to the applicable State unemployment compensation law shall include the findings of the Federal military agency and the findings, if any, made by the United States Veterans Administration, and shall inform the individual of his right to request a correction of any such findings.

§ 614.10 *Restrictions on entitlement.* Notwithstanding the provisions contained in § 614.9, no compensation shall be paid to any individual:

(a) For periods with respect to which payment for terminal leave is allocated by the State agency in accordance with § 614.12, or for periods with respect to which terminal annual leave is allocated in accordance with § 609.5 of this chapter;

(b) For periods with respect to which the individual is receiving education and training allowances under subsection (a), (b), (c) or (d) of section 232 of the Veterans' Readjustment Assistance Act of 1952 (66 Stat. 668; 38 U. S. C. 942);

(c) For periods with respect to which the individual is receiving subsistence allowances under Part VII or Part VIII of Veterans' Regulation Numbered 1 (a), as amended (38 U. S. C. Ch. 12A);

(d) For periods with respect to which the individual is receiving an educational assistance allowance under the War Orphans' Educational Assistance Act of 1956 (70 Stat. 411; 38 U. S. C. 1031 et seq.);

(e) For weeks of unemployment completed within 30 days after his discharge or release if mustering-out payments to the individual under Title V of the Veterans' Readjustment Assistance Act of 1952 are $100.00 (66 Stat. 688; 38 U. S. C. 1011 et seq.);

(f) For weeks of unemployment completed within 60 days after his discharge or release if mustering-out payments to the individual under Title V of the Veterans' Readjustment Assistance Act of 1952 are $200.00; and

(g) For weeks of unemployment completed within 90 days after his discharge or release if mustering-out payments to the individual under Title V of the Veterans' Readjustment Assistance Act of 1952 are $300.00.

§ 614.11 *Application of interstate plans.* (a) The interstate benefit payment plan and the interstate wage combining plans shall be applicable, where appropriate, to individuals filing claims under the Act. For the purpose of these plans, Federal military wages are considered as wages under the unemployment compensation law of the State to which they are assigned, or the unemployment compensation law of the District of Columbia if they are assigned to Puerto Rico or the Virgin Islands.

(b) Whenever it is appropriate under an interstate wage combining plan to transfer an individual's Federal military wages to another State (paying State) from the State to which they were assigned (transferring State), only so much of the Federal military wages shall be transferred as are in that portion of the base period of the transferring State which overlaps the base period of the paying State.

§ 614.12 *Allocation of terminal leave.* The State agency shall allocate to the period following an individual's discharge or release from active service any payment made to him under section 4 (c) of the Armed Forces Leave Act of 1946 (60 Stat. 964; 37 U. S. C. 33 (c)) by adding to the effective date of his discharge or release the number of days of leave specified in his military document(s). Such payment shall constitute Federal military wages of the individual if paid with respect to a period of Federal military service. Except for the purpose of determining whether an individual has met the condition specified in § 614.1 (f) (1), his active service shall be deemed to continue after his discharge or release for the number of days with respect to which such payment was allocated.

§ 614.13 *Overpayments.* (a) If, after a determination and an opportunity for a fair hearing thereon, a State agency or a court of competent jurisdiction finds that an individual has received an overpayment of compensation as a result of false statements knowingly made or material facts knowingly withheld, he shall be liable to repay any such outstanding overpayment. In the discretion of the State agency, such amounts may be deducted from future benefits payable to him under Title XV during the two-year period following the date on which such finding was made, as provided in section 1508 (b) of Title XV.

(b) In cases of overpayment, where there has been no finding by a State agency or court of competent jurisdiction that there has been an intent to defraud, the determinations specified below shall be made under the applicable State unemployment compensation law: (1) Whether an individual who has received an overpayment of compensation which he has not repaid shall receive any future benefits payable under Title XV; or (2) whether he shall be liable to repay such overpayment; or (3) whether he shall be permitted to offset any future benefits payable to him under Title XV against such outstanding overpayment, or (4) whether a waiver of such overpayment may be permitted.

§ 614.14 *Appeals.* Except for the findings of the Federal military agency and the United States Veterans Administration and schedules of remuneration which are final and conclusive as provided in § 614.7, a determination as to an individual's entitlement to compensation shall:

(a) When made by the State agency of a State, be subject to review in the same manner and to the same extent as other determinations under the States' unemployment compensation law;

(b) When made by the State agency of Puerto Rico, be subject to review in accordance with §§ 611.7, 611.8, 611.9, 611.10, and 611.12, of this chapter;

(c) When made by the State agency of the Virgin Islands, be subject to review in accordance with §§ 611.7, 611.8, 611.10, and 611.12, of this chapter.

§ 614.15 *Compensation under the act terminates right to veterans' benefits.* Any Federal military employee: (a) Who meets the wage and employment requirements for benefits under the unemployment compensation law of the State to which his Federal military service and Federal military wages have been assigned (or in the case of Puerto Rico or the Virgin Islands, the law of the District of Columbia), but would not meet such requirements except by the use of such Federal military service and Federal military wages; or (b) whose weekly benefit amount computed according to the unemployment compensation law of such State (or the law of the District of Columbia as the case may be) is increased by the use of such Federal mili-

tary service and Federal military wages, shall not thereafter be entitled to benefits under the provisions of Title IV of the Veterans' Readjustment Assistance Act of 1952 (66 Stat. 684; 38 U. S. C. 991 et seq.).

§ 614.16 *Transition period.* An individual who, on October 29, 1958, has an unexpired benefit year in a State, Puerto Rico, or the Virgin Islands, as the case may be, may request redetermination of the amount of his benefits if he has had Federal military service and Federal military wages in the applicable base period. When requesting such redetermination he shall file, together with his request, a claim for compensation under the Act. If he is determined to be a Federal military employee his Federal military service and Federal military wages shall be deemed to be assigned to the State, Puerto Rico, or the Virgin Islands, as the case may be, in which he filed such claim, if his maximum total amount of benefits in such benefit year will be increased by the use of his Federal military service and Federal military wages. The appropriate State agency shall redetermine the benefits payable to the individual for his unexpired benefit year, and shall use the schedule of remuneration applicable at the time he files such claim in determining the amount of his Federal military wages. Additional benefits payable under the act in accordance with such redetermination shall be only for weeks of unemployment ending after October 27, 1958.

Signed at Washington, D. C., this 17th day of October 1958.

JAMES P. MITCHELL,
Secretary of Labor.

[F. R. Doc. 58-8749; Filed, Oct. 20, 1958; 9:48 a. m.]

TITLE 21—FOOD AND DRUGS

Chapter I—Food and Drug Administration, Department of Health, Education, and Welfare

Subchapter C—Drugs

PART 146—GENERAL REGULATIONS FOR THE CERTIFICATION OF ANTIBIOTIC AND ANTIBIOTIC-CONTAINING DRUGS

ANIMAL FEED CONTAINING ANTIBIOTIC DRUGS

Under the authority vested in the Secretary of Health, Education, and Welfare by the Federal Food, Drug, and Cosmetic Act (sec. 507, 59 Stat. 463, as amended; sec. 701, 52 Stat. 1055, as amended; 21 U. S. C. 357, 371) and delegated to the Commissioner of Food and Drugs by the Secretary (22 F. R. 1045), the general regulations for the certification of antibiotic and antibiotic-containing drugs (23 F. R. 6421) are amended as indicated below:

1. In § 146.26 *Animal feed containing penicillin* * * *, paragraph (b) (18) is amended by adding thereto the following new subdivision:

(iv) It is also intended for use as an adjunct in reducing the tapeworm and large roundworm burden of chickens so treated, it contains 2,2'-dihydroxy-3,3',5,5'-tetrachlorodiphenyl sulfide (hithionol), and 4,6-diamino-1-(4-methylmercaptophenyl)-1,2-dihydro-2,2-dimethyl-1,3,5-triazine hydrochloride (methiotriazamine), in the amounts and under the conditions set forth in subdivision (i) of this subparagraph.

2. Section 146.26 (b) (18) (iii) is amended by changing the reference "(i) and (ii)" to read "(i), (ii), and (iv)".

Notice and public procedure are not necessary prerequisites to the promulgation of this order, and I so find, since it was drawn in collaboration with interested members of the affected industry, since it relaxes existing requirements, and since it would be against public interest to delay providing for these amendments.

I further find that animal feed containing antibiotic drugs and conforming with the conditions prescribed in the regulations need not comply with the requirements of sections 502 (l) and 507 of the Federal Food, Drug, and Cosmetic Act in order to insure their safety and efficacy.

Effective date. This order shall become effective upon publication in the FEDERAL REGISTER, since both the public and the affected industry will benefit by the earliest effective date and I so find.

(Sec. 701, 52 Stat. 1055, as amended; 21 U. S. C. 371. Interprets or applies sec. 502, 52 Stat. 1050, as amended, sec. 507, 59 Stat. 463, as amended; 21 U. S. C. 352, 357)

Dated: October 14, 1958.

[SEAL] GEO. P. LARRICK,
Commissioner of Food and Drugs.

[F. R. Doc. 58-8687; Filed, Oct. 20, 1958; 8:45 a. m.]

TITLE 43—PUBLIC LANDS: INTERIOR

Chapter I—Bureau of Land Management, Department of the Interior

Appendix—Public Land Orders

[Public Land Order 1747]

[1951696]

ARIZONA

AMENDING PUBLIC LAND ORDER NO. 127 OF MAY 22, 1943, AS AMENDED (ARMY ELECTRONICS PROVING GROUND, FORT HUACHUCA, ARIZONA)

By virtue of the authority vested in the President, and pursuant to Executive Order No. 10355 of May 26, 1952, it is ordered as follows:

1. Public Land Order No. 127 of May 22, 1943, as amended by Public Land Order No. 967 of May 21, 1954, which withdrew public lands in Arizona for use of the War Department as a bombing range, in connection with the Willcox Dry Lake Bombing Range, is hereby amended to substitute the words "Department of the Army" for the words "War Department" wherever they appear.

2. The Department of the Interior retains jurisdiction over the management of the surface and subsurface resources, including mineral resources, of the lands. No disposal of such resources will be made except under applicable public land laws with the concurrence of the Department of the Army and, where necessary, only after appropriate modification of the provisions of this order.

ROGER ERNST,
Assistant Secretary of the Interior.

OCTOBER 14, 1958.

[F. R. Doc. 58-8685; Filed, Oct. 20, 1958; 8:45 a. m.]

PROPOSED RULE MAKING

DEPARTMENT OF AGRICULTURE

Agricultural Research Service

[7 CFR Part 319]

FOREIGN QUARANTINE NOTICES

Notice is hereby given under section 4 of the Administrative Procedure Act (5 U. S. C. 1003) that the Director of the Plant Quarantine Division, pursuant to the authority contained in § 319.56-2 of the regulations supplemental to the Fruit and Vegetable Quarantine (Notice of Quarantine No. 56, 7 CFR 319.56-2) under sections 5 and 9 of the Plant Quarantine Act of 1912 (7 U. S. C. 159, 162), is considering the issuance of administrative instructions to be designated as 7 CFR 319.56-2*l* to read as follows:

§ 319.56-2*l* *Administrative instructions prescribing method of fumigation of field-grown grapes from specified countries.* Approved fumigation with methyl bromide at normal atmospheric pressure, in accordance with the following procedure, is hereby prescribed as a condition of entry under permit for all shipments of field-grown grapes from the continental countries of southern and middle Europe, North Africa, and the Near East listed in paragraph (a) of this section. This fumigation will be in addition to other conditions prescribed in the permit as conditions of entry for field-grown grapes from the areas named.

(a) *Continental countries of southern and middle Europe, North Africa, and the Near East.* As used in this section, the term "continental countries of southern and middle Europe, North Africa, and the Near East" means Algeria, Austria, Bulgaria, Cyprus, Egypt, France, Germany, Greece, Hungary, Israel, Italy,

Libya, Luxembourg, Portugal, Spain, Switzerland, Syria, and Union of Soviet Socialist Republics.

(b) *Ports of entry.* Grapes to be offered for entry must be shipped from the country of origin to New York or such other North Atlantic ports as may be named in the permit.

(c) *Precooling of fruit.* Grapes to be offered for entry must be shipped under refrigeration and the fruit may not be removed from the vessel until the inspector has satisfied himself that this requirement has been complied with and that the fruit can be moved promptly for treatment without danger of plant pest dissemination.[1]

(d) *Approved fumigation.* Approved fumigation shall consist of fumigation with methyl bromide at normal atmospheric pressure in a fumigation chamber that has been approved for that purpose by the Plant Quarantine Division. The fumigation may also be accomplished under tarpaulins in a manner satisfactory to the inspector that will insure adequate air and fruit temperatures, volatilization, distribution, and concentration of the fumigant. Such fumigation shall be in accordance with the following fumigation schedule:

Temperature, Deg. F.	Methyl bromide dosage in pounds per 1,000 cubic feet	Exposure time—hours
70-79	2	2½
60-69	2½	2½
50-59	3	2½
40-49	3½	2½

(e) *Supervision of fumigation.* Inspectors of the Plant Quarantine Division will supervise the fumigation of grapes and will prescribe such safeguards as may be necessary for unloading, handling, and transportation preparatory to fumigation or other treatment. The final release of the fruit for entry into the United States will be conditioned upon compliance with prescribed safeguards and required treatments.

(f) *Costs.* All costs of treatment and required safeguards and supervision, other than the services of the supervising inspector during regularly assigned hours of duty and at the usual place of duty, shall be borne by the owner of the grapes or his representative.

(g) *Department not responsible for damage.* The treatment prescribed in paragraph (d) is judged from experimental tests to be safe for use with field-grown grapes. However, the Department assumes no responsibility for any damage sustained through or in the course of such treatment or by compliance with requirements under paragraph (e) of this section or in the precooling of fruit required prior to unloading from the vessel.

[1] Grapes from countries where the Mediterranean fruit fly occurs are subject to the cold treatment as described in 7 CFR, 1957 Supp., 319.56-2d; P. Q. 583. Under certain conditions such treatment may be effected in transit or upon arrival at the port of New York.

The purpose of these instructions is to require the fumigation with methyl bromide of field-grown grapes imported under permit from certain continental countries of southern and middle Europe, North Africa, and the Near East. Heretofore, field-grown grapes have been approved for entry from Spain, Portugal, and Italy subject to the cold treatment as a precaution against the Mediterranean fruit fly. There have been no importations of grapes from these three countries for the past several years, but recent inquiries are indicative of their interest in exportation of grapes to the United States, particularly when our domestic crop is in short supply. The inspection of grapes from Europe, Africa, and the Near East, intercepted in passengers' baggage and encountered in ships' stores, has frequently disclosed them to be infested with larvae of a serious pest of grapes, the vine moth, Lobesia botrana (Schiff.). Fumigation with methyl bromide will provide an effective means of destroying the vine moth and it is deemed necessary to require such treatment as a condition of entry. This fumigation will be in addition to any other conditions, such as the cold treatment for the Mediterranean fruit fly, that may be prescribed in the permit for the importation of grapes from certain countries. The cold treatment is not known to be effective against the vine moth nor is this fumigation effective for the Mediterranean fruit fly.

All persons who desire to submit written data, views, or arguments in connection with this matter should file the same with the Director of the Plant Quarantine Division, Agricultural Research Service, United States Department of Agriculture, Washington 25, D. C., within 30 days after the date of the publication of this notice in the FEDERAL REGISTER.

(Sec. 9, 37 Stat. 318; 7 U. S. C. 162. Interprets or applies sec. 5, 37 Stat. 316; 7 U. S. C. 159)

Done at Washington, D. C., this 16th day of October 1958.

[SEAL] E. P. REAGAN,
Director,
Plant Quarantine Division.

[F. R. Doc. 58-8704; Filed, Oct. 20, 1958; 8:47 a. m.]

DEPARTMENT OF COMMERCE

Civil Aeronautics Administration

[14 CFR Part 514]

TECHNICAL STANDARD ORDERS FOR AIRCRAFT MATERIALS PARTS, PROCESSES, AND APPLIANCES

FLIGHT INSTRUMENTS

Proposed regulations §§ 514.14 through 514.18 establish minimum performance standards for instruments which will be used on civil aircraft of the United States. These regulations are being amended to incorporate changes in industry standards and reissue the regulations in the new format published in 21 F. R. 6508.

All interested persons who desire to submit comments and suggestions for consideration by the Administrator of Civil Aeronautics in connection with the proposed rules should send them to the Civil Aeronautics Administration, Washington 25, D. C., within 30 days after publication of this notice in the FEDERAL REGISTER.

Sections 514.14 through 514.18 (21 F. R. 6508) are amended to read as follows:

§ 514.14 *Bank and pitch instruments (indicating gyro-stabilized type) (gyroscopic horizon, attitude gyro)—TSO-C4c*—(a) *Applicability*—(1) *Minimum performance standards.* Minimum performance standards are hereby established for bank and pitch instruments (indicating gyro-stabilized type) (gyroscopic horizon, attitude gyro) which specifically are required to be approved for use on civil aircraft of the United States. New models of bank and pitch instruments (indicating gyro-stabilized type) (gyroscopic horizon, attitude gyro) manufactured for installation on civil aircraft on or after the effective date of this section shall meet the standards set forth in SAE Aeronautical Standard AS-396B, "Bank and Pitch Instruments (Indicating Stabilized Type) (Gyroscopic Horizon, Attitude Gyro)," dated July 15, 1958,[1] with the exceptions listed in subparagraph (2) of this paragraph. Bank and pitch instruments (indicating gyro-stabilized type) (gyroscopic horizon, attitude gyro) approved by the Civil Aeronautics Administration prior to the effective date of this section may continue to be manufactured under the provisions of their original approval.

(2) *Exceptions.* (i) Conformance with the following sections is not required: 3.1; 3.1.1; 3.1.2; 3.2; 4.3.5.

(ii) Substitute the following for section 7.: "Performance tests: The following tests, in addition to any others deemed necessary by the manufacturer, shall be the basis for determining compliance with the performance requirements of this standard."

(b) *Marking.* In lieu of the weight specified in paragraph (c) of § 514.3, the rating if applicable, i. e., electrical, vacuum, etc., shall be shown.

(c) *Data requirements.* One copy each of the manufacturer's operating instructions, schematic diagrams, and installation procedures shall be furnished the Chief, Aircraft Engineering Division, Civil Aeronautics Administration, Washington 25, D. C., with the statement of conformance.

§ 514.15 *Direction instrument, non-magnetic, gyro-stabilized type (directional gyro)—TSO-C5c*—(a) *Applicability*—(1) *Minimum performance standards.* Minimum performance standards are hereby established for direction instruments, non-magnetic, gyro-stabilized type (directional gyro) which specifically are required to be approved for use on civil aircraft of the United States. New models of direction instruments, non-magnetic gyro-

[1] Copies may be obtained from the Society of Automotive Engineers, Inc., 485 Lexington Avenue, New York 17, New York.

stabilized type (directional gyro) manufactured for installation on civil aircraft on or after the effective date of this section shall meet the standards set forth in SAE Aeronautical Standard AS-397A, "Direction Instrument, Non-Magnetic, Stabilized Type (Directional Gyro)," dated July 15, 1958,[1] with the exceptions listed in subparagraph (2) of this paragraph. Direction instruments, non-magnetic gyro-stabilized type (directional gyro) approved by the Civil Aeronautics Administration prior to the effective date of this section, may continue to be manufactured under the provisions of their original approval.

(2) *Exceptions.* (i) Conformance with the following sections is not required: 3.1, 3.1.1; 3.1.2; 3.2; 4.3.3.

(ii) Substitute the following for section 7.: "Performance tests: The following tests, in addition to any others deemed necessary by the manufacturer, shall be the basis for determining compliance with the performance requirements of this standard."

(b) *Marking.* In lieu of the weight specified in paragraph (c) of § 514.3, the following shall be shown:

(1) Instrument type (I or II)

(2) Rating if applicable, i. e., electrical, vacuum, etc.

(c) *Data requirements.* One copy each of the manufacturer's operating instructions, schematic diagrams, and installation procedures shall be furnished the Chief, Aircraft Engineering Division, Civil Aeronautics Administration, Washington 25, D. C., with the statement of conformance.

§ 514.16 *Direction instrument, magnetic (gyro-stabilized type)—TSO-C6c*—(a) *Applicability*—(1) *Minimum performance standards.* Minimum performance standards are hereby established for direction instruments, magnetic (gyro-stabilized type) which specifically are required to be approved for use on civil aircraft of the United States. New models of direction instruments, magnetic (gyro-stabilized type) manufactured for installation on civil aircraft on or after the effective date of this section shall meet the standards set forth in SAE Aeronautical Standard AS-399A, "Direction Instrument, Magnetic (Stabilized Type)," dated July 15, 1958,[1] with the exceptions listed in subparagraph (2) of this paragraph. Direction instruments, magnetic (gyro-stabilized type) approved by the Civil Aeronautics Administration prior to the effective date of this section may continue to be manufactured under the provisions of their original approval.

(2) *Exceptions.* (i) Conformance with the following sections is not required: 3.1; 3.1.1; 3.1.2; 3.2; 4.3.3.

(ii) Substitute the following for section 7.: "Performance tests: The following tests in addition to any others deemed necessary by the manufacturer, shall be the basis for determining compliance with the performance requirements of this standard."

[1] Copies may be obtained from the Society of Automotive Engineers, Inc., 485 Lexington Avenue, New York 17, New York.

(b) *Marking.* In lieu of the weight specified in paragraph (c) of § 514.3, the rating if applicable, i. e., electrical, vacuum, etc., shall be shown.

(c) *Data requirements.* One copy each of the manufacturer's operating instructions, schematic diagrams, and installation procedures shall be furnished the Chief, Aircraft Engineering Division, Civil Aeronautics Administration, Washington 25, D. C., with the statement of conformance.

§ 514.17 *Direction instrument, magnetic, non-stabilized type (magnetic compass)—TSO-C7c*—(a) *Applicability*—(1) *Minimum performance standards.* Minimum performance standards are hereby established for direction instruments, magnetic, non-stabilized type (magnetic compass) which specifically are required to be approved for use on civil aircraft of the United States. New models of direction instruments, magnetic, non-stabilized type (magnetic compass) manufactured for installation on civil aircraft on or after the effective date of this section shall meet the standards set forth in SAE Aeronautical Standard AS-398A, "Direction Instrument, Magnetic, Non-Stabilized Type (Magnetic Compass)," dated July 15, 1958,[1] with the exceptions listed in subparagraph (2) of this paragraph. Direction instruments, magnetic, non-stabilized type (magnetic compass) approved by the Civil Aeronautics Administration prior to the effective date of this section may continue to be manufactured under the provisions of their original approval.

(2) *Exceptions.* (i) Conformance with the following sections is not required: 3.1; 3.1.1; 3.1.2; 3.2; 4.3.3.

(ii) Substitute the following for section 7.: "Performance tests: The following tests in addition to any others deemed necessary by the manufacturer, shall be the basis for determining compliance with the performance requirements of this standard."

(b) *Marking.* In lieu of the weight specified in paragraph (c) of § 514.3, the following shall be shown:

(1) Instrument type (I or II)

(2) Rating if applicable, i. e., electrical, vacuum, etc.

(c) *Data requirements.* One copy each of the manufacturer's operating instructions, schematic diagrams, and installation procedures shall be furnished the Chief, Aircraft Engineering Division, Civil Aeronautics Administration, Washington 25, D. C., with the statement of conformance.

§ 514.18 *Rate of climb indicator, pressure actuated (vertical speed indicator)—TSO-C8b*—(a) *Applicability*—(1) *Minimum performance standards.* Minimum performance standards are hereby established for rate of climb indicators, pressure actuated (vertical speed indicator) which specifically are required to be approved for use on civil aircraft of the United States. New models of rate of climb indicators, pressure actuated (vertical speed indicator) manufactured for installation on civil aircraft on or after the effective date of this section shall meet the standards set forth in SAE Aeronautical Standard AS-394A, "Rate of Climb Indicator, Pressure Actuated (Vertical Speed Indicator)," dated July 15, 1958,[1] with the exceptions listed in subparagraph (2) of this paragraph. Rate of climb indicators, pressure actuated (vertical speed indicator) approved by the Civil Aeronautics Administration prior to the effective date of this section may continue to be manufactured under the provisions of their original approval.

(2) *Exceptions.* (i) Conformance with the following sections is not required: 3.1; 3.1.1; 3.1.2; 3.2; 4.2.1.

(ii) Substitute the following for section 7.: "Performance tests: The following tests in addition to any others deemed necessary by the manufacturer, shall be the basis for determining compliance with the performance requirements of this standard."

(b) *Marking.* In lieu of the weight specified in paragraph (c) of § 514.3, the following shall be shown:

(1) Instrument type (I, II, III or IV).

(2) Range (feet per minute climb and descent).

(c) *Data requirements.* One copy each of the manufacturer's operating instructions, schematic diagrams, and installation procedures shall be furnished the Chief, Aircraft Engineering Division, Civil Aeronautics Administration, Washington 25, D. C., with the statement of conformance.

(Sec. 205, 52 Stat. 984; 49 U. S. C. 425. Interpret or apply sec. 601, 52 Stat. 1007, as amended; 49 U. S. C. 551)

[SEAL] WILLIAM B. DAVIS,
Acting Administrator of Civil Aeronautics.

OCTOBER 13, 1958.

[F. R. Doc. 58-8684; Filed, Oct. 20, 1958; 8:45 a. m.]

DEPARTMENT OF LABOR

Bureau of Employees' Compensation

[20 CFR Part 01]

APPLICATION OF LONGSHOREMEN'S AND HARBOR WORKERS' COMPENSATION ACT TO CERTAIN CIVILIAN EMPLOYEES OF NONAPPROPRIATED FUND INSTRUMENTALITIES OF THE ARMED FORCES

NOTICE OF PROPOSED RULE MAKING

The recent enactment of 72 Stat. 397 amending the Act of June 19, 1952 (66 Stat. 139, 5 U. S. C. 150k-1), to apply the Longshoremen's and Harbor Workers' Compensation Act (44 Stat. 1424 as amended, 33 U. S. C. 901 et seq.) to disability or death resulting from injury occurring to a civilian employee of any nonappropriated fund instrumentality, and for other purposes, makes it necessary to supplement the regulations issued under the said Act (20 CFR, Part 01) to provide for review of decisions, processing of claims, and to prescribe appropriate forms.

Therefore, under the authority of General Order No. 46 (15 F. R. 3290), Reorganization Plan No. 19 of 1950 (15 F. R. 3178, 39 Stat. 742), and section 39 of the Longshoremen's and Harbor Workers' Compensation Act (44 Stat.

1442; 33 U. S. C. 939) as applied by 72 Stat. 397, 5 U. S. C. 150k–1, notice is hereby given that I propose to supplement the regulations in this chapter as follows:

1. Part 01 of Subchapter A of this chapter is hereby amended by adding a new Subpart I as follows:

SUBPART I—COMPENSATION FOR CIVILIAN EMPLOYEES OF NONAPPROPRIATED FUND INSTRUMENTALITIES

Sec.
01.81 Processing of claims.
01.82 Review of decisions.
01.83 Forms.

AUTHORITY: §§ 01.81 to 01.83 issued under sec. 39, 44 Stat. 1442, as amended; 33 U. S. C. 939. Interpret or apply 72 Stat. 397, 5 U. S. C. 150k–1.

§ 01.81 *Processing of claims.* The processing of claims of employees and defendants for compensation benefits payable according to the Longshoremen's and Harbor Workers' Compensation Act, as amended (44 Stat. 1424, 33 U. S. C. 901 et seq.) as extended by the Act of July 18, 1958 (72 Stat. 397; 5 U. S. C. 150k–1), to civilian employees of nonappropriated fund instrumentalities of the Armed Forces, is governed by § 01.11 of Subpart B of this subchapter.

§ 01.82 *Review of decisions.* Except as herein modified, review of compensation cases arising under the Longshoremen's and Harbor Workers' Compensation Act as extended by the Act of July 18, 1958 (72 Stat. 397; 5 U. S. C. 150k–1) to civilian employees of nonappropriated fund instrumentalities of the Armed Forces, is governed by § 01.12. Proceedings for judicial review (or for enforcement of payment of compensation in case of default as authorized under section 18 of the Longshoremen's Act), of a decision in a compensation case arising under the Longshoremen's Act, as thus extended, are required to be instituted with respect to any injury or death occurring outside the continental limits of the United States, in the District Court of the United States within the territorial jurisdiction of which is located the office of the deputy commissioner having jurisdiction in respect of such injury or death (or in the United States District Court for the District of Columbia if such office is located in such district). In all other cases the provisions of section 21 (b) (33 U. S. C. 921 (b)) of the Longshoremen's Act apply and they require judicial proceedings to be instituted in the United States District Court for the judicial district in which the injury occurred (or the United States District Court for the District of Columbia, if the injury occurred in the District of Columbia).

§ 01.83 *Forms.* The same forms prescribed for use in connection with the administration of the Longshoremen's Act are used in the administration of said Act of July 18, 1958, providing for payment of workmen's compensation benefits to civilian employees of nonappropriated fund instrumentalities of the Armed Forces as follows:

US–201 Employee's first notice to Deputy Commissioner of accident or occupational disease.
US–202 Employer's first report to Deputy Commissioner of accident or occupational disease.
US–202A Employer's first report of injury. (No time lost by employee.)
US–203 Employee's claim for compensation.
US–204 Attending Physician's report.
US–205 Physician's report on permanent eye disabilities.
US–206 Notice to the Deputy Commissioner that the payment of compensation has begun without awaiting award.
US–207 Notice to the Deputy Commissioner that claim will be controverted.
US–208 Notice to the Deputy Commissioner that the payment of compensation has been stopped or suspended.
US–209 Request to employee that he reply to the employer's objection to his right to compensation.
US–210–11 Employer's supplementary report of accident or occupational disease.
US–212 Notice to injured employee that case will be closed unless reports now on file are shown to be incorrect.
US–213 Notice of election to sue (disability or death claim).
US–214 Request for medical examination under United States Longshoremen's and Harbor Workers' Compensation Act.
US–215 Answer of employer or insurance carrier to employee's claim for compensation.
US–215A Notice to employer and insurance carrier that answer to claim for compensation should be made.
US–216 Request for additional reports.
US–221 Application for lump sum award (disability or death).
US–226 Subpoena.
US–226A Subpoena Duces Tecum.
US–226B Notice of Hearing.
US–260 Notice to Deputy Commissioner of Death (by dependents or on their behalf).
US–261 Supplemental report of employer in death case.
US–262 Claim for compensation in death case by widow and/or children under the age of eighteen.
US–263 Claim for compensation in death cases by dependents other than widow and children of deceased (each dependent or representative must file individual claim).
US–264 Proof of death (by Physician last in attendance on Deceased).
US–265 Proof of Burial and Funeral expenses—by Undertaker.
LSI–2 Application for Self-Insurance.
LSI–3 Decision granting authority to Act as Self-insurer.
LSI–4 Agreement and Undertaking of employer granted the privilege of paying compensation as self-insurer.
LSI–5c Indemnity Bond given by Self-insurer.
LSI–8 Pay-roll report.
LSI–9 Report of compensation payments.
LSI–10 Report of employer's injury experience.
LSI–11 Certificate of Authority.
US–239 Certificate that employer has secured payment of compensation (by obtaining insurance policy).
US–240 Certificate that employer has secured payment of compensation (by self-insurance).
US–241 Notice (compliance with Act by insuring with).
US–242 Notice (compliance with Act by self-insurance).

Prior to any final action on this proposal, consderation will be given to any data, views, or arguments pertaining thereto which are submitted in writing to the Director, Bureau of Employees' Compensation, United States Department of Labor, Washington 25, D. C., within 15 days from publication of this notice in the FEDERAL REGISTER.

Signed at Washington, D. C., this 15th day of October 1958.

WILLIAM MCCAULEY,
Director,
Bureau of Employees' Compensation.

[F. R. Doc. 58–8709; Filed, Oct. 20, 1958; 8:48 a. m.]

[20 CFR Parts 91–94]

APPLICATION OF THE LONGSHOREMEN'S AND HARBOR WORKERS' COMPENSATION ACT TO CIVILIAN EMPLOYEES OF NONAPPROPRIATED FUND INSTRUMENTALITIES OF THE ARMED FORCES

NOTICE OF PROPOSED RULE MAKING

The recent enactment of 72 Stat. 397 amending the Act of June 19, 1952 (66 Stat. 139, 5 U. S. C. 150k–1), to apply the Longshoremen's and Harbor Workers' Compensation Act (44 Stat. 1424, as amended, 33 U. S. C. 901 et seq.) to disability or death resulting from injury occurring to a civilian employee of any nonappropriated fund instrumentality, and for other purposes, makes it necessary to supplement the regulations (20 CFR Chapter 1) issued under the said Act, to define coverage, interpret the Act, establish compensation districts, authorize insurance carriers, and prescribe appropriate forms.

Therefore, under the authority of General Order No. 46 (15 F. R. 3290), Reorganization Plan No. 19 of 1950 (15 F. R. 3178, 39 Stat. 742), and section 39 of the Longshoremen's and Harbor Workers' Compensation Act (44 Stat. 1442; 33 U. S. C. 939) as applied by 72 Stat. 397, 5 U. S. C. 150k–1, notice is hereby given that I propose to supplement the regulations in this chapter as follows:

1. Chapter 1 of Title 20, Code of Federal Regulations is hereby amended by adding a new Subchapter I as follows:

SUBCHAPTER I—APPLICATION OF THE LONGSHOREMEN'S AND HARBOR WORKERS' COMPENSATION ACT TO CIVILIAN EMPLOYEES OF NONAPPROPRIATED FUND INSTRUMENTALITIES OF THE ARMED FORCES

Part
91 General Administrative Provisions.
92 Authorization of Insurance Carriers.
93 Authorization of Self-Insurers.
94 Issuance of Certificates of Compliance.

PART 91—GENERAL ADMINISTRATIVE PROVISIONS

Sec.
91.1 General administrative provisions; definitions; interpretation of statute.
91.2 Establishment of compensation districts.

AUTHORITY: §§ 91.1 and 91.2 issued under sec. 39, 44 Stat. 1442, as amended, 33 U. S. C. 939. Interpret or apply 72 Stat. 397, 5 U. S. C. 150k–1.

§ 91.1 *General administrative provisions; definitions; interpretation of statute*—(a) *General.* Section 2 of the Act of June 19, 1952 (66 Stat. 139, 5 U. S. C. 150k–1) as amended by the Act of July

18, 1958 (72 Stat. 397) extends the provisions of the Longshoremen's and Harbor Workers' Compensation Act (44 Stat. 1424, as amended; 33 U. S. C. 901, et seq.), the latter hereinafter referred to in this subchapter as "the Longshoremen's Act", to cases of disability or death of civilian employees, compensated from nonappropriated funds, employed by those instrumentalities of the United States under the jurisdiction of the Armed Forces which are conducted for the comfort, pleasure, contentment and mental and physical improvement of personnel of the Armed Forces as identified in section 1 of the Act of June 19, 1952 (66 Stat. 138; 5 U. S. C. 150k). The regulations in Subchapter C of this chapter governing the administration of the Longshoremen's Act, insofar as they are applicable and are not inconsistent with any provision of this subchapter, shall govern the administration of the Longshoremen's Act as extended by such Act of July 18, 1958 (72 Stat. 397, 5 U. S. C. 150k–1). Every person subject to, claiming benefits under, or acting under the Longshoremen's Act as thus extended, shall conform to the procedure prescribed in the Longshoremen's Act, as set out in the regulations in Subchapter C and in this subchapter. The term "Bureau" as used in this subchapter means the Bureau of Employees' Compensation, U. S. Department of Labor.

The said Bureau is the agency which was transferred from the Federal Security Agency to the U. S. Department of Labor by Reorganization Plan No. 19 of 1950 (15 F. R. 3178, 39 Stat. 742) effective May 24, 1950, the said Bureau having been established in the Federal Security Agency to perform the functions theretofore performed by the United States Employees' Compensation Commission, the latter having been abolished and its functions transferred to the Federal Security Agency by Reorganization Plan No. 2 of 1946 (11 F. R. 7873, 60 Stat. 1096), effective July 16, 1946.

(b) *Coverage.* The Act of July 18, 1958 (72 Stat. 397, 5 U. S. C. 150K–1) applies in respect to disability or death resulting from injury as defined in section 2 of the Longshoremen's Act (33 U. S. C. 902 (2)) occurring to a civilian employee of any nonappropriated fund instrumentality identified in section 1 of the Act of June 19, 1952 (66 Stat. 139; 5 U. S. C. 150K). The employees within the coverage of this extension of the Longshoremen's Act are (a) those employees of the identified nonappropriated fund instrumentalities who are employed within the continental United States, and (b) those United States citizens or permanent residents of the United States or a Territory who are employees of such instrumentalities outside the continental limits of the United States. An employee who is not a citizen or permanent resident of the United States or a Territory, employed outside the continental limits of the United States by any such nonappropriated fund instrumentality is not within the coverage of said Act of July 18, 1958, but is subject to such protections as may be provided for under regulations issued by the Secretary of the military department concerned and approved by the Secretary of Defense, or regulations prescribed by the Secretary of the Treasury, as the case may be. The coverage of such nonappropriated fund instrumentality employees under the Longshoremen's Act is made effective on the 120th day following the date of enactment of 72 Stat. 397.

(c) *Definitions and interpretations of the statute.* Except as expressly modified in this subchapter, terms used in the regulations promulgated in this subchapter shall be construed and applied as defined in the Longshoremen's Act (44 Stat. 1424, 33 U. S. C. 901 et seq.) and in decisions interpreting that act.,

(1) The term "employer" means each of the nonappropriated fund instrumentalities identified in section 1 of the act of June 19, 1952 (66 Stat. 139; 5 U. S. C. 150K).

(2) The term "employee" means an employee of any nonappropriated fund instrumentality, as so identified, employed within the continental United States and a person who is a United States citizen or permanent resident of the United States or a Territory employed by such an instrumentality outside the continental limits of the United States.

(3) The term "State" means any State of the Union.

(4) The term "Territory" means the Territories and Possessions of the United States, including the District of Columbia and the Commonwealth of Puerto Rico.

§ 91.2 *Establishment of compensation districts.* (a) Pursuant to the provisions of section 39 (b) of the Longshoremen's Act and section 2 (a) (4) of (66 Stat. 139, 5 U. S. C. 150k–1, as amended by sec. 1, 72 Stat. 397) there are established the following compensation districts for the administration of this subchapter:

District No. 1. Comprises the New England States of Maine, New Hampshire, Vermont, Massachusetts, Rhode Island, and Connecticut, with headquarters at Boston, Massachusetts.

District No. 2. Comprises the Port of New York, including that part of New Jersey legally included in the Port of New York, and the State of New York, except that part of New York State north and west of a line 30 miles from the shore of Lake Erie and Lake Ontario and the Niagara and St. Lawrence Rivers, with headquarters at New York, N. Y.

District No. 3. Comprises the State of New Jersey, except that part legally included in the Port of New York, and the States of Delaware and Pennsylvania, except that part of the State of Pennsylvania north and west of a line 30 miles from the shore of Lake Erie, with headquarters at Philadelphia, Pennsylvania.

District No. 4. Comprises the State of Maryland and District of Columbia, including the Potomac River, with headquarters at Baltimore, Maryland.

District No. 5. Comprises the State of Virginia, except the Potomac River, and the State of North Carolina, with headquarters at Norfolk, Virginia.

District No. 6. Comprises the States of South Carolina, Georgia and Florida, with headquarters at Jacksonville, Florida.

District No. 7. Comprises the States of Alabama, Mississippi, Louisiana, and Arkansas, excluding that part of the Mississippi River between Arkansas and Tennessee, with headquarters at New Orleans, Louisiana.

District No. 8. Comprises the State of Texas, including that part of the Red River between Texas and Oklahoma, with headquarters at Galveston, Texas.

District No. 9. Comprises that part of the lake district in the States of Pennsylvania and New York extending thirty miles inland from the shore of Lake Erie and Lake Ontario and the Niagara and St. Lawrence Rivers; the lower peninsula of the State of Michigan, except that part west and north of a line 30 miles from the shore of Lake Michigan and the Strait of Mackinac; the State of West Virginia, the State of Ohio, the State of Indiana, including the Wabash River between Indiana and Illinois, excluding the territory north of a line 30 miles from the shore of Lake Michigan; the State of Kentucky, including that part of the Ohio River between Kentucky and Illinois and that part of the Mississippi River between Kentucky and Missouri; the State of Tennessee, including that part of the Mississippi River between the States of Tennessee, Missouri, and Arkansas, with headquarters at Cleveland, Ohio.

District No. 10. Comprises the rest of the lake district, namely, an area thirty miles wide along the shore of Lake Michigan in the lower peninsula of Michigan, and in the State of Indiana; all of the northern peninsula of Michigan, and the States of Wisconsin, Minnesota, North and South Dakota, Nebraska, Iowa and Kansas; the State of Illinois, excluding that part of the Wabash River between Illinois and Indiana, and that part of the Ohio River between Illinois and Kentucky; the State of Missouri, excluding the Mississippi River between Missouri, Kentucky and Tennessee; the State of Oklahoma, excluding the Red River between Oklahoma and Texas, with headquarters at Chicago, Illinois.

District No. 13. Comprises the States of California, Arizona, New Mexico, Nevada, Utah, and Colorado, with headquarters at San Francisco, California.

District No. 14. Comprises the States of Washington, Oregon, Idaho, Montana, and Wyoming, and the Territory of Alaska, with headquarters at Seattle, Washington.

District No. 15. Comprises the Territory of Hawaii, with headquarters at Honolulu, T. H.

With respect to those United States citizens or permanent resident of the United States or a Territory who are employed outside the continental limits of the United States, the compensation districts as established under § 51.2, Part 51 of Subchapter E of this chapter are as follows:

Pacific District. This district comprises all land and water areas outside the continents of North and South America which are south of the 45th degree north latitude and westward from the 110th degree west longitude to the 60th degree east longitude, except areas in the North Atlantic Ocean and contiguous waters, with headquarters at Honolulu, T. H.

District No. 1. This district as established under the Longshoremen's and Harbor Workers' Compensation Act is extended to include Canada east of the 75th degree west longitude, Newfoundland and Greenland, with headquarters at Boston, Massachusetts.

District No. 2. This district as established under the Longshoremen's and Harbor Workers' Compensation Act is extended to include Bermuda, with headquarters at New York, N. Y.

District No. 10. This district as established under the Longshoremen's and Harbor Workers' Compensation Act is extended to include Canada west of the 75th degree and east of the 110th degree west longitude with headquarters at Chicago, Illinois.

District No. 14. This district as established under the Longshoremen's and Harbor Workers' Compensation Act is extended to include all land areas in the Pacific Ocean north of the 45th degree north latitude, Canada west of the 110th degree west lon-

gitude, and Alaska, with headquarters at Seattle, Washington.

Foreign District. This district comprises the areas outside continental United States not included in any compensation district established in this section, with headquarters at New York, N. Y.

PART 92—AUTHORIZATION OF INSURANCE CARRIERS

Sec.

92.1 Insurance carriers covering nonappropriated fund instrumentalities.
92.2 Applicants currently authorized to write insurance under other Federal workmen's compensation laws.
92.3 Non-appropriated fund instrumentality endorsement.
92.4 Report by carrier of issuance of policy or endorsement; form.
92.5 Report; by whom sent.
92.6 Agreement to be bound by card reports.
92.7 Name of one instrumentality only shall be reported on one card.

AUTHORITY: §§ 92.1 to 92.7 issued under section 39, 44 Stat. 1442, as amended, 33 U. S. C. 939. Interpret or apply 72 Stat. 397; 5 U. S. C. 150k–1.

§ 92.1 *Insurance carriers covering non-appropriated fund instrumentalities.* Except as modified by the provisions of this subchapter, the provisions of the regulations in Part 32, Subchapter C of this chapter, shall govern insurance carriers writing insurance under the extension of the Longshoremen's Act to employees of non-appropriated fund instrumentalities of the Armed Forces by the act of July 18, 1958 (72 Stat. 397; 5 U. S. C. 150k–1).

§ 92.2 *Applicants currently authorized to write insurance under other Federal workmen's compensation laws.* Any applicant currently authorized by the Bureau of Employees' Compensation to write insurance under the Longshoremen's Act (44 Stat. 1424, 33 U. S. C. 901 et seq.) or under the District of Columbia Workmen's Compensation Law (45 Stat. 600, 36 D. C. Code 501, 502) or under the Defense Bases Act (55 Stat. 622, 42 U. S. C. 1651), or under the extension of the Longshoremen's Act by the Outer Continental Shelf Lands Act (67 Stat. 462, 43 U. S. C. 1331), need not support its application with the evidence required by the regulations in Part 32, Subchapter C of this chapter, unless specifically requested by the Bureau, except the form of policy and endorsement which is proposes to use, but instead its application may refer to the fact that it has been so authorized.

§ 92.3 *Nonappropriated fund instrumentality endorsement.* (a) The following form of endorsement applicable to the standard workmen's compensation and employer's liability policy shall be used with the form of policy approved by the Bureau of Employees' Compensation for use by an authorized carrier.

For Attachment to Policy No. ------

(1) The obligations of paragraph one (a) of the Policy include the Longshoremen's and Harbor Workers' Compensation Act, being Public Law No. 803 of the 69th Congress, approved March 4, 1927, as extended to civilian employees of the nonappropriated fund instrumentalities of the United States under the jurisdiction of the Armed Forces by the Act of July 18, 1958 (72 Stat. 397, 5 U. S. C. 150k–1), and all the laws amendatory thereof or supplementary thereto which may be or become effective while this policy is in force.

(2) The Company will carry out the provisions of section 35 of the Longshoremen's and Harbor Workers' Compensation Act. Insolvency or bankruptcy of the employer and/or discharge therein shall not relieve the Company from payment of compensation and other benefits lawfully due for disability or death sustained by an employee during the life of the policy.

(3) The Company agrees to abide by all the provisions of the Longshoremen's and Harbor Workers' Compensation Act and all the lawful rules, regulations, orders and decisions of the Bureau of Employees' Compensation, Department of Labor, and of the Deputy Commissioner having jurisdiction, unless and until set aside, modified or reversed by a court having jurisdiction over the parties and the cause of action.

(4) This endorsement shall not be canceled prior to the date specified in this policy for its expiration until at least thirty days have elapsed after a notice of cancellation has been sent to the Bureau, to the Deputy Commissioner, and to the within named employer.

(5) All terms, conditions, requirements, and obligations expressed in this policy or in any other endorsement attached thereto which are not inconsistent with or inapplicable to the provisions of this endorsement are hereby made a part of this endorsement as fully and completely as if wholly written herein.

(6) References to the law of any State in Conditions B and D of this policy are hereby declared to include for the purpose of this endorsement only, the provisions of the Longshoremen's and Harbor Workers' Compensation Act, as amended, and of the said act of July 18, 1958, 5 U. S. C. 150k–1.

(b) The following paragraphs may at the option of the insurer be included in the form of endorsement which is provided in paragraph (a) of this section. No other provision, alteration of any prescribed provision, or alteration of any optional provision shall be made or used in any such endorsement except after submission to the Bureau and receipt of its written approval thereof:

If the within employer is a contractor the subject of whose contract includes operations covered by this policy and he shall subcontract all or any part of such contract to one or more subcontractors, the remuneration of all the direct employees of such subcontractors shall be included in the return of remuneration under the provisions of this policy upon which premium is computed. Such remuneration so reported shall be considered the remuneration of employees of the within named employer and shall in all instances be governed by the same terms, conditions, requirements, and obligations of the policy as the remuneration of the direct employees of the within named employer. The requirements of this paragraph shall not apply as respects any such subcontractor who has secured compensation for his direct employees as required by the Longshoremen's and Harbor Workers' Compensation Act, but the within named employer shall not claim the benefit of this exemption unless and until he shall satisfy the Company by certificate or otherwise that any such subcontractor has legally secured the payment of compensation to his own direct employees and then only respecting any subcontractor who has furnished such proof.

If the premium as determined in accordance with the provisions of the policy is less than $300, there shall be added thereto an expense constant of $10, unless such addition shall increase the premium to an amount in excess of $300, in which event only such part of the expense constant shall be added as will bring the amount of the premium up to $300. Inclusion of the expense constant or any part thereof in the estimated advance premium is subject to final adjustment upon audit, all in accordance with the provisions hereof. The minimum premium of the policy includes the expense constant.

(c) In applying the regulations in Part 32, Subchapter C of this chapter insofar as they are incorporated in this subchapter, all references to the Longshoremen's endorsement shall be construed as having reference to the nonappropriated fund instrumentality.

§ 92.4 *Report by carrier of issuance of policy or endorsement; form.* (a) A carrier which has executed the agreement provided for in § 92.6 shall report to the deputy commissioner assigned to a compensation district each policy and endorsement issued by it to a nonappropriated fund instrumentality which carries on operations in such compensation district. The report shall be made upon a printed card to be provided by such carrier. Such card shall be 50 per cent rag, salmon pink, light weight, 3 x 5 inches. The printing thereon shall be as follows:

Nonappropriated fund instrumentality -----
Address -----
Policy No. -----
Dates of beginning and expiration -----

Report is made of the issue of approved form of policy and endorsement under the Longshoremen's and Harbor Workers' Compensation Act, as amended and as extended by the Act of July 18, 1958 (72 Stat. 397, 5 U. S. C. 150k–1) to employees of nonappropriated fund instrumentalities of the United States under the jurisdiction of the Armed Forces.

(Name of insurance carrier)
By -----
Cancellation -----
(Effective date)

(Date notice received by deputy)

This card shall be sent to the Deputy Commissioner of the Bureau of Employees' Compensation, U. S. Department of Labor, for the compensation district indicated by the address of the employing instrumentality.

(b) Each such carrier will print its name at the place indicated. The note at the bottom designating the place to which the card shall be sent should be in small type, about 6 point, and if desired this note may be printed on the reverse side of the card. Spaces below the line for the employer's name and the line for his address should each be sufficient to permit two additional lines of typewriting. The term "nonappropriated fund instrumentality" should be about ¾ inch from the top of the card. The line for cancellation date will be filled in only by the office of the deputy commissioner.

§ 92.5 *Report; by whom sent.* The report of issuance of a policy and endorsement provided for in § 92.4 shall be sent by the home office of the carrier to the deputy commissioner at his headquarters, except that any carrier may authorize its agency or agencies in any compensation district to make such reports to the deputy commissioner, provided the carrier shall notify the deputy commissioner in such district of the agent or agencies so duly authorized.

The deputy commissioner in turn shall supply to his sub-offices, if any, current lists showing the policies so reported, giving the names and addresses of the employers, with the names of their respective carriers, the policy numbers and the dates of beginning and expiration of the policies. Similar current lists of cancellation shall also be furnished to sub-offices.

§ 92.6 *Agreement to be bound by card reports.* (a) Except as provided in this section, each covered instrumentality shall present to the deputy commissioner in the compensation district in which it has operations, the policy covering its operations in such district, which it has procured in compliance with section 32 of the Longshoremen's and Harbor Workers' Compensation Act (44 Stat. 1439; 33 U. S. C. 932) as extended by the Act of July 18, 1958 (72 Stat. 397; 5 U. S. C. 150k–1). Any carrier desiring to do so may make such presentation of such policy unnecessary in any particular case by transmitting to the Bureau an agreement signed by its president and secretary (or other authorized officers in cases of foreign or mutual companies or State funds), in the following form, and making reports accordingly, of the issuance of a policy in such particular case.

The (insert name of insurance carrier) hereby agrees, in consideration of the acceptance by the Bureau of Employees' Compensation, Department of Labor and its deputy commissioners of reports of issue of approved form of policy and endorsement under the Longshoremen's and Harbor Workers' Compensation Act as amended and as extended to employers of nonappropriated fund instrumentalities by the Act of July 18, 1958 (72 Stat. 397; 5 U. S. C. 150k-1) in the form prescribed by the Bureau in § 92.4 of its regulations, that it will be liable and hereby accepts the full liability expressed in the approved form of endorsement, under said laws in all cases in which it has heretofore and may hereafter use the prescribed form of report to deputy commissioners and transmit the same to the proper deputy commissioner; the sending of such report of issue of policy to the deputy commissioner shall be accepted by the Bureau and its deputy commissioners as conclusive evidence (1) of the issuance of a policy to the employer, named in such report, in approved form and having attached an approved form of endorsement under applicable regulations of the Bureau and (2) of the effectiveness of such policy during the period as stated in such report; and it further agrees that such liability shall not be terminated prior to the expiration of the policy, except in case of cancellation, and then at the time in the manner which is prescribed in the Longshoremen's and Harbor Workers' Compensation Act, in the regulations of said Bureau, and in the endorsement referred to.

(b) An insurance carrier desiring to withdraw from such agreement may do so upon giving thirty days notice to the Bureau by registered mail.

§ 92.7 *Name of one employer only shall be reported on one card.* (a) A separate report of the issuance of a policy and endorsement, provided for by § 92.4, shall be made for each employer covered by a policy. If a policy is issued insuring more than one employer, a separate card report for each employer so covered shall be sent to the deputy commissioner concerned, with the name of only one employer on each such report. Unless a card report is received by the deputy commissioner for a compensation district, the deputy commissioner shall regard an employer as an uninsured employer in the particular compensation district (except in cases where such employer is a duly authorized self-insurer, or the employer himself has presented a policy for inspection by the deputy commissioner).

(b) Where a nonappropriated fund instrumentality has operations in more than one compensation district the report by the carrier should be sent to each compensation district established in section 91.2 of this chapter, in which such operations are carried on, so that the deputy commissioner for that compensation district may have a record of the coverage and may issue the certificate of compliance authorized under Part 94. Unless a card report is received by the deputy commissioner for a compensation district in which the nonappropriated fund instrumentality is engaged in activities the deputy commissioner shall regard the instrumentality as uninsured until proper report of the issuance of an insurance policy has been made to him.

PART 93—AUTHORIZATION OF SELF-INSURERS

Sec.
93.1 Authorization of self-insurers.
93.2 Reports required.

AUTHORITY: §§ 93.1 and 93.2 issued under section 39, 44 Stat. 1442, as amended, 33 U. S. C. 939. Interpret or apply 72 Stat. 397; 5 U. S. C. 150k–1.

§ 93.1 *Authorization of self-insurers.* The provisions of the regulations in Part 33, Subchapter C of this chapter, shall govern the authorization of the self-insurance privilege under the Longshoremen's Act as made applicable to nonappropriated fund instrumentalities by the act of July 18, 1958 (72 Stat. 397, 5 U. S. C. 150k–1). Applications will be considered if submitted through the head of the military department concerned, or his delegate, and with his approval.

§ 93.2 *Reports required.* (a) At such time as the Bureau of Employees' Compensation may require or prescribe, the self-insurer shall submit such of the following reports as may be requested:

(1) Statement of assets and liabilities, or balance sheet.

(2) Statement showing by classification, the payroll of the employees of the self-insured subject to the said act of July 18, 1958, with respect to whom the securing of compensation is accomplished by self-insurance.

(3) Statement showing payments of compensation of current cases during any specified quarter, with an indication of the nature of the injury or death in each case.

(4) Statement by compensation district of outstanding injury and death cases during such period as may be called for, together with the particulars of each case.

(5) Details of coverage as to any stop-loss or excess-loss insurance in effect in respect to obligations under said Act.

(b) Any statement requested under the provisions of this section will be accepted if submitted by the head of the military department concerned or by his delegate authorized to submit such statement.

PART 94—ISSUANCE OF CERTIFICATES OF COMPLIANCE

Sec.
94.1 Issue of certificate of compliance.
94.2 Return of certificate of compliance.

AUTHORITY: §§ 94.1 and 94.2 issued under section 39, 44 Stat. 1442, as amended, 33 U. S. C. 939. Interpret or apply, 72 Stat. 397; 5 U. S. C. 150k–1.

§ 94.1 *Issue of certificate of compliance.* (a) Every nonappropriated fund instrumentality which has secured the payment of compensation by obtaining a policy of insurance under section 32 of the Longshoremen's Act (44 Stat. 1426; 33 U. S. C. 901) and by Part 92 in the regulations of this subchapter will receive from the deputy commissioner in the compensation district in which the instrumentality has operations (or for the jurisdiction area of such compensation district) and to whom such insurance has been reported as provided by these regulations, a certificate that such nonappropriated fund instrumentality has secured the payment of such compensation. Only one certificate will be issued to the insured instrumentality in a compensation district, and it will be valid only during the period for which compensation has been secured by the insured. An instrumentality so desiring may have photostatic copies (or other facsimile copies) of such a certificate made for use in different places within the compensation district or jurisdictional area thereof. A certificate of compliance will be issued by the deputy commissioner for his district (1) upon receipt by him and his acceptance of a card report of issuance of a policy of insurance to the instrumentality as provided by § 92.4 of this subchapter, by an authorized insurance carrier which has filed an agreement to be bound by a card report in conformity with § 92.6 of this subchapter, or (2) upon presentation to the deputy commissioner by the authorized administrative officer of the instrumentality (and not by an insurance carrier, insurance agency, or broker) of the applicable policy of insurance then in force, and endorsement thereon, issued to the instrumentality in conformity with Part 92 of this subchapter by an authorized insurance carrier which has not filed the agreement provided for by § 92.6 of this subchapter.

(b) Each instrumentality granted the privilege of self-insurance as provided by section 32 of the Longshoremen's Act and by Part 93 of this subchapter will receive from the deputy commissioner a certificate that it has complied with the said law with respect to the securing of the payment of compensation. Only one such certificate will be issued to the instrumentality by a deputy commissioner in a compensation district and it will be valid only during the period stated in such certificate. An instrumentality so desiring may have photostatic copies (or other facsimile copies) of such certificates made for use in different places

within a compensation district or jurisdictional area thereof.

(c) Two forms of the certificate of compliance have been provided for by the Bureau of Employees' Compensation: (1) The form used where the instrumentality has obtained insurance generally under the regulations in this subchapter, and (2) the form used where the instrumentality has been authorized to secure compensation as a self-insurer.

§ 94.2 *Return of certificate of compliance.* Upon the termination by expiration, cancellation or otherwise, of a policy of insurance issued under the provisions of the Longshoremen's Act and the regulations in this subchapter, or the revocation or termination of the privilege of self-insurance, all certificates of compliance issued on the basis of such insurance or self-insurance shall be void and unless the period shall have expired for which issued, shall be returned by the instrumentality to the deputy commissioner issuing them, with a statement of the reason for such return. An instrumentality currently holding a certificate of compliance under an insurance policy which has expired, pending the renewal of such insurance, need not return such certificate of compliance if such expired insurance is promptly replaced, but where the insurance or self-insurance is not renewed or replaced, the certificate of compliance should be returned.

Prior to any final action on this proposal, consideration will be given to any data, views, or arguments pertaining thereto which are submitted in writing to the Director, Bureau of Employees' Compensation, United States Department of Labor, Washington 25, D. C., within 15 days from publication of this notice in the FEDERAL REGISTER.

Signed at Washington, D. C., this 15th day of October 1958.

WM. MCCAULEY,
Director,
Bureau of Employees' Compensation.

[F. R. Doc. 58-8710; Filed, Oct. 20, 1958; 8:48 a. m.]

Wage and Hour Division

[29 CFR Part 545]

CERTAIN INDUSTRIES IN PUERTO RICO

NOTICE OF PROPOSED RULE MAKING

In the matter of homeworkers in the fabric and leather glove industry; the handkerchief, square scarf, and art linen industry; the children's dress and related products industry; the women's and children's underwear and women's blouse and neckwear industry; the needlework and fabricated textile products industry; and the sweater and knit swimwear industry in Puerto Rico.

In accordance with section 4 of the Administrative Procedure Act (60 Stat. 238, 5 U. S. C. 1003), and pursuant to the Fair Labor Standards Act of 1938 (52 Stat. 1062, as amended; 29 U. S. C. 206), Reorganization Plan No. 6 of 1950 (3 CFR, 1950 Supp., p. 165), and General Order No. 45–A of the Secretary of Labor (15 F. R. 3290), notice is hereby given that I propose to amend Part 545 of Title 29, Code of Federal Regulations.

The proposed amendment is based on section 6 (a) (2) of the Fair Labor Standards Act of 1938 (52 Stat. 1062, as amended, 29 U. S. C. 206) which requires in part that homeworkers in Puerto Rico be paid not less than the minimum piece rate prescribed by regulation or order. Such minimum piece rates are required to be commensurate with, and to be paid in lieu of, the minimum hourly wage rate applicable under the provisions of section 6 (minimum hourly rates to be paid under section 6 to employees in Puerto Rico who are engaged in commerce or in the production of goods for commerce are established by Industry Committees pursuant to section 8 of the act).

Accordingly, and inasmuch as the minimum hourly wage rates have recently been increased by minimum wage orders for the Women's and Children's Underwear and Women's Blouse and Neckwear Industry in Puerto Rico (23 F. R. 5957), the Children's Dress and Related Products Industry in Puerto Rico (23 F. R. 6627), and the Handkerchief, Square Scarf, and Art Linen Industry in Puerto Rico (23 F. R. 6031), respectively, I propose to increase the existing minimum piece rates for homeworkers in each of these industries commensurate with the increase in the minimum hourly wage rates established by such orders, as hereinafter set forth.

1. Section 545.13 of Title 29 Code of Federal Regulations will be amended in substance as follows:

In § 545.13 *Piece rates established in accordance with § 545.9,* Schedule A, the Women's and Children's Underwear, and Women's Blouse and Neckwear Industry, columns (1) and (2), the piece rates required per unit of payment for operations numbered 1 through 93 are each increased by 6.67 percent, and operations numbered 94 through 97 are each increased by 6.06 percent.

In the Children's Dress and Related Products Industry, column 3, the piece rates required per unit of payment for operations numbered 1 through 93 are each increased by 11.90 percent, and operations numbered 94 through 97 are each increased by 14.04 percent.

In Schedule B, the Handkerchief, Square Scarf, and Art Linen Industry, the piece rates required per unit of payment for operations numbered 99 through 178, 200 through 205, and the basic piece rates for operations numbered 179 through 186 are each increased by 3.85 percent. Piece rates required per unit of payment for operations numbered 187.4 through 187.6 are each increased by 3.92 percent.

Computations for all piece rates will be rounded to the nearest one-hundredth of a cent. Computations for various size doilies, napkins, table scarves, squares, and tablecloths in operations numbered 179 through 186 are multiples of the basic rate and will be rounded to the nearest cent.

Prior to any final action on this proposal, consideration will be given to any data, views, or arguments pertaining thereto which are submitted in writing to the Administrator, Wage and Hour and Public Contracts Divisions, United States Department of Labor, Washington 25, D. C. within fifteen days from publication of this notice in the FEDERAL REGISTER.

Signed at Washington, D. C., this 14th day of October 1958.

CLARENCE T. LUNDQUIST,
Administrator.

[F. R. Doc. 58-8711; Filed, Oct. 20, 1958; 8:48 a. m.]

NOTICES

DEPARTMENT OF THE INTERIOR

Bureau of Land Management

[Classification Order 14]

WYOMING

SMALL TRACT OPENING

OCTOBER 14, 1958.

1. Pursuant to authority delegated to me by the Wyoming State Supervisor, Bureau of Land Management, under Part II of Order of Delegation filed November 21, 1956 (21 F. R. 9147), I hereby open the following described lands which were classified by Classification Order No. 14 dated February 23, 1954 (19 F. R. 1224) to application under the Small Tract Act of June 1, 1938 (52 Stat. 609; 43 U. S. C. 682a) as amended:

SIXTH PRINCIPAL MERIDIAN

T. 21 N., R. 88 W.,
Sec. 24, Lots 2–6, 8, 11, 12, 14, 18, 19, 21.

Containing 29.92 acres and comprising 12 small tracts.

2. The lands are segregated from all appropriations, including locations under the mining laws, except as to applications under the Small Tract Act and applications under the mineral leasing laws.

3. The land lies approximately 1½ miles west of Rawlins, along U. S. Highway 30 in Carbon County, Wyoming. It is nearly level, with sandy loam soil. Vegetation consists of short and medium grasses and saltbush. There is no timber, nor evidence of metallic or nonmetallic minerals.

4. The lots vary in size from 2.00 to 2.92 acres. An official plat of survey showing location of each lot can be secured for $1.00 from the Manager, Land Office, Box 929, Cheyenne, Wyoming.

The appraised value of the lots is as follows:

Lots 2–6, 8, 11, 12, 18, 19	$100.00 each.
Lot 14	$200.00
Lot 21	$250.00

The annual rental for business sites shall be in accordance with paragraph 2 as printed on the reverse of lease form 4–776, with a minimum of $20 per year. The annual rental for homesites shall

be one-twentieth of the appraised value of the tract, with a minimum of $10 per annum. All rentals shall be payable in advance for the full lease period.

The leases shall be subject to all existing rights-of-way and to rights-of-way for street and road purposes and public utilities as follows:

50 feet along the south boundary of lot 14.
50 feet along the north boundary of lot 21.
30 feet along the south boundaries of lots 2, 3, 4, 5, 6, 8, 11, 12.
30 feet along the north boundaries of lots 5, 6, 8, 11, 12, 14, 18, 19.
30 feet along the east boundaries of lots 3, 6, 11, 14.
30 feet along the west boundaries of lots 2, 19.

NOTE: Since publication of order No. 14 in 1954, the Wyoming Highway Department, under serial No. W-038295, approved January 3, 1956, obtained an additional right-of-way extending 100 feet south from the north boundary of Lot 21.

5. Leases will issue for a term of three years and will contain an option to purchase in accordance with 43 CFR 257.13. Lessees who comply with the general terms and conditions of their leases will be permitted to purchase their tracts at the prices listed above, providing that during the period of lease they either (a) construct the improvements specified in Paragraph 7, or (b) file a copy of an agreement in accordance with 43 CFR 257.13 (d). Lease will be renewable at the discretion of the Bureau of Land Management and the renewal lease will be subject to such terms and conditions as are deemed necessary in light of the circumstances and regulations existing at the time of renewal. However, a lease will not be renewable unless failure to construct the required improvements is justified under the circumstances and non-renewal would work an extreme hardship on the lessee.

Disposal of the lands will be subject to reservation of all minerals to the United States.

6. Persons who have previously acquired a tract under the Small Tract Act are not qualified to secure a tract at the drawing unless they can make a showing satisfactory to the Bureau of Land Management that the acquisition of another is warranted in the circumstances.

7. The improvements referred to in Paragraph 5 above, must conform with health, sanitation and construction requirements of local laws and regulations, and must, in addition, meet the following standards. All buildings are to be constructed in a workmanlike manner out of substantial materials suitable to the surroundings, and affixed to a permanent foundation. Concrete piers are not acceptable as foundations. All external surfaces shall be properly finished. Business establishment structures shall contain not less than 400 square feet of floor space, and residences shall have not less than 400 square feet. Suitable sanitation facilities are required in every case.

8. Beginning at 10:00 a. m. on October 21, 1958, the lands will be open to filing of drawing-entry cards (Form 4–775) only, by persons entitled to Veterans Preference. In brief, persons entitled to such preference are (a) honorably discharged veterans who served in the armed forces of the United States for a period of at least 90 days after September 15, 1940, (b) surviving spouse or minor orphan children of such veterans, and (c) with the consent of the veterans, the spouse of living veterans. The 90 day requirement does not apply to veterans who were discharged on account of wounds or disability incurred in the line of duty or the surviving spouse or minor children of veterans killed in the line of duty. Drawing entry cards (Form 4–775) are available upon request from the Manager, Land Office, Bureau of Land Management, Box 929, Cheyenne, Wyoming.

Drawing entry cards will be accepted if filled out in compliance with the instructions on the form and filed with the above named official prior to the close of business on January 19, 1959. A drawing will be held shortly thereafter. Any person who submits more than one card will be declared ineligible to participate in the drawing. Tracts will be assigned to entrants in the order that their names are drawn. All entrants will be notified of the results of the drawing. Successful entrants will be sent copies of the lease forms (Form 4–776), with instructions as to their execution and return and as to payment of fees and rentals.

9. Inquiries concerning these lands shall be addressed to the Manager, Land Office, Bureau of Land Management, P. O. Box 929, Cheyenne, Wyoming.

EUGENE L. SCHMIDT,
Lands and Minerals Officer.

[F. R. Doc. 58-8686; Filed, Oct. 20, 1958; 8:45 a. m.]

DEPARTMENT OF DEFENSE

Department of the Army

WILLIAM J. RUSHTON

REPORT OF APPOINTMENT AND STATEMENT OF FINANCIAL INTERESTS

Pursuant to section 101 (a) of Executive Order 10647 (section 710 (b) of the Defense Production Act of 1950 as amended) notice is hereby given of the appointment of Mr. William J. Rushton on September 29, 1958 in the Department of the Army. Mr. Rushton is serving as Chief of the Birmingham Ordnance District.

Mr. Rushton is presently employed by the Protective Life Insurance Company, Birmingham, Alabama.

Mr. Rushton's statement of his personal business interests is set forth below.

Dated: October 15, 1958.

JOHN W. MARTYN,
Administrative Assistant.

Statement of Personal Business Interests

The following statement lists the names of concerns required by section 302 (b) of Executive Order 10647, dated 28 November 1955 (subsection 710 (b) (6) of the Defense Production Act of 1950, as amended).

1. The names of any corporation of which I am, or within 60 days preceding this appointment have been, an officer or director:

First National Bank of Birmingham, Birmingham, Alabama.
Gulf, Mobile & Ohio Railroad.
Alabama Power Company.
Moore Handley Hardware.
Protective Life Insurance Company.

2. The names of any corporation in which I own, or within 60 days preceding this appointment have owned, any stocks, bonds, or other financial interests:

First National Bank of Birmingham, Birmingham, Alabama.
Gulf, Mobile & Ohio Railroad.
Alabama Power Company.
Moore Handley Hardware.
Protective Life Insurance Company.
South Georgia Gas Company.
Southern Company.
Chattanooga Coca Cola Bottling Company.
Darlington-Hartsville Coca Cola Company.
Coca Cola Bottling Company of Lake Charles.
Hayes Aircraft Corporation (Disposed of July 14, 1958).

3. The names of any partnerships in which I am, or within 60 days preceding this appointment have been, a partner:

None.

4. The names of any other businesses in which I own, or within 60 days preceding this appointment have owned, any similar interest:

None.

Dated: September 29, 1958.

WILLIAM J. RUSHTON.

[F. R. Doc. 58-8681; Filed, Oct. 20, 1958; 8:45 a. m.]

DEPARTMENT OF COMMERCE

Business and Defense Services Administration

DEPUTY FOREIGN EXCESS PROPERTY OFFICER

DELEGATION OF AUTHORITY

OCTOBER 7, 1958.

Pursuant to the Authority contained in Department Order No. 152 (Revised) dated September 22, 1958, 23 F. R. 7951, I hereby appoint Howard R. Gaetz as Deputy Foreign Excess Property Officer, with power to make determinations as to whether importations of foreign excess property would relieve domestic shortages or would otherwise be beneficial to the economy of this country. The authority hereby delegated shall be exercised in conformity with the provisions of Foreign Excess Property Order No. 1, 44 CFR Part 401.

All official actions taken on and after September 22, 1958, and prior to October 7, 1958 (the effective date of this delegation), by the Foreign Excess Property Officer and Deputy Foreign Excess Property Officer designated in Delegation of Authority dated July 8, 1957, are ratified, approved, adopted and confirmed.

H. B. MCCOY,
Administrator.

[F. R. Doc. 58-8682; Filed, Oct. 20, 1958; 8:45 a. m.]

ATOMIC ENERGY COMMISSION

[Docket No. 50-18]

GENERAL ELECTRIC CO.

NOTICE OF ISSUANCE OF FACILITY LICENSE AMENDMENT

Please take notice that the Atomic Energy Commission has issued the following Amendment (No. 7) to License DPR-1 which (a) authorizes the General Electric Company to conduct tests in its Vallecitos Boiling Water Reactor described by the applicant as "Additional Operation With Geneva Conference Fuel" and "Operation With Swaged Fuel" and (b) adds an additional operating restriction limiting the number of rod-type elements which may be present in the core at any one time.

The Commission has found that operation of the facility in accordance with the terms and conditions of the license as amended will not present any undue hazard to the health and safety of the public and will not be inimical to the common defense and security.

The Commission has found that prior public notice of proposed issuance of this amendment is not necessary in the public interest since the conduct of the proposed additional experiments does not present any substantial changes in the hazards to the health and safety of the public from those presented by the previously approved operation of the Vallecitos Boiling Water Reactor.

In accordance with the Commission's rules of practice (10 CFR Part 2) the Commission will direct the holding of a formal hearing on the matter of the issuance of the license amendment upon receipt of a request therefor from the licensee or an intervener within thirty days after the license amendment. For further details, see (1) the application for license amendment submitted by General Electric Company and (2) a hazards analysis of the proposed experiments prepared by the Division of Licensing and Regulation, both on file at the Commission's Public Document Room, 1717 H Street NW., Washington, D. C. A copy of item (2) above may be obtained at the Commission's Public Document Room or upon request addressed to the Atomic Energy Commission, Washington 25, D. C., Attention: Director, Division of Licensing and Regulation.

Dated at Germantown, Md., this 13th day of October 1958.

For the Atomic Energy Commission.

EBER R. PRICE,
Acting Director, Division of Licensing and Regulation.

[License No. DPR-1; Amdt. No. 7]

AMENDMENT OF UTILIZATION FACILITY LICENSE

1. A new paragraph 4.a.5 is hereby added to License No. DPR-1, as amended, as follows:

4.a.5. The number of rod-type elements present in the core at any one time shall not exceed either 25 or one-fourth of the total number of elements present in the core, whichever is the lesser.

2. In addition to the activities previously authorized by the Commission under License No. DPR-1, as amended, the General Electric Company (hereinafter referred to as the "licensee"), is authorized to perform the tests described as "Additional Operation With Geneva Conference Fuel", and "Operation With Swaged Fuel", in the application Amendment No. 28 dated August 25, 1958, in accordance with the procedures and subject to the limitations stated therein.

In performing these tests, the licensee shall comply with the conditions and requirements contained or incorporated in paragraph 4 of License No. DPR-1, as amended, and with the following requirement:

In performing the "Operation With Swaged Fuel" tests the licensee shall, at reasonable intervals, remove the test elements for examination of the fission product pressure generated inside the swaged fuel rods.

This amendment is effective as of the date of issuance.

Date of issuance: October 13, 1958.

For the Atomic Energy Commission.

EBER R. PRICE,
Acting Director, Division of Licensing and Regulation.

[F. R. Doc. 58-8620; Filed, Oct. 20, 1958; 8:45 a. m.]

FEDERAL POWER COMMISSION

[Docket No. G-16492]

T. L. JAMES AND CO. ET AL.

ORDER FOR HEARING AND SUSPENDING PROPOSED CHANGE IN RATE

OCTOBER 14, 1958.

T. L. James and Company et al. (James) on September 16, 1958, tendered for filing a proposed change in its presently effective rate schedule [1] for the sale of natural gas subject to the jurisdiction of the Commission. The proposed change, which constitutes an increased rate and charge, is contained in the following designated filing:

Description: Notice of Change, undated.
Purchaser: Arkansas Louisiana Gas Company.
Rate schedule designation: Supplement No. 4 to James' FPC Gas Rate Schedule No. 1.
Effective date: October 17, 1958 (effective date is the first day after expiration of the required 30-day's notice).

James proposes a contractually provided periodic increase in price of 4.5 mills from 12.913 cents per Mcf to 13.363 cents for gas produced in East Haynesville Field, Clairborne Parish, Louisiana.

In addition, the increased rate and charge here proposed is intended to reflect (in whole or in part) the additional "excise, license, or privilege tax" of one cent per Mcf levied by the State of Louisiana pursuant to Act No. 8 of 1958 (House Bill No. 303), as approved on June 16, 1958, amending Title 47 of the Louisiana Revised Statutes of 1950 which is reflected in Supplement No. 3 to James' FPC Gas Rate Schedule No. 3. The Commission is advised that litigation is being instituted to challenge the constitutionality of the said Act No. 8 of 1958.

In consideration of this fact, and in order to assure appropriate refund in the event said Act No. 8 of 1958 should be declared unconstitutional or otherwise held invalid by final judicial decision, it is deemed advisable to suspend the said proposed increased rate and charge. This suspension, however, is based on the possibility of the additional tax being invalidated and only such tax increment of the proposed increased rate shall be subject to refund.

The Commission finds: It is necessary and proper in the public interest and to aid in the enforcement of the provisions of the Natural Gas Act that the Commission enter upon a hearing concerning the lawfulness of the said proposed change, and that Supplement No. 4 to James' FPC Gas Rate Schedule No. 1 be suspended and the use thereof deferred as hereinafter ordered.

The Commission orders:

(A) Pursuant to the authority of the Natural Gas Act, particularly sections 4 and 15 thereof, the Commission's rules of practice and procedure, and the regulations under the Natural Gas Act (18 CFR Ch. I), a public hearing be held upon a date to be fixed by notice from the Secretary concerning the lawfulness of the proposed increased rate and charge contained in Supplement No. 4 to James' FPC Gas Rate Schedule No. 1.

(B) Pending such hearing and decision thereon, said supplement be and it is hereby suspended and the use thereof deferred until October 18, 1958, and thereafter until such further time as it is made effective in the manner prescribed by the Natural Gas Act.

(C) Neither the supplement hereby suspended nor the rate schedule sought to be altered thereby shall be changed until this proceeding has been disposed of or until the period of suspension has expired, unless otherwise ordered by the Commission.

(D) Interested State commissions may participate as provided by §§ 1.8 and 1.37 (f) of the Commission's rules of practice and procedure (18 CFR 1.8 and 1.37 (f)).

By the Commission.

[SEAL] JOSEPH H. GUTRIDE,
Secretary.

[F. R. Doc. 58-8688; Filed, Oct. 20, 1958; 8:45 a. m.]

[1] Supplement No. 3 to James' FPC Gas Rate Schedule No. 1 (Louisiana gas gathering tax), was suspended until August 2, 1958, in Docket No. G-15874, and is now in effect subject to refund.

[Docket No. G-14857 etc.]

ILLINOIS POWER CO. ET AL.

NOTICE OF APPLICATION IN DOCKET NO. G-16398 CONSOLIDATION AND DATE OF HEARING

OCTOBER 15, 1958.

In the matters of Illinois Power Company, Docket No. G-14857; St. Charles Gas Corp., Docket No. G-15189; City of Chester, Illinois, Docket No. G-16398.

Take notice that the City of Chester, Illinois (Chester), applicant in Docket No. G-16398, a municipality organized under the laws of the State of Illinois, filed on September 24, 1958, an application and on October 9, 1958, a supplement thereto, pursuant to section 7 (a) of the Natural Gas Act for an order directing Mississippi River Fuel Corporation (Mississippi) to establish physical

connection of its transportation facilities with the facilities of Chester, as hereinafter described, and to sell natural gas to Chester for distribution to the public in the said City of Chester and its environs, which is without gas distribution service, all as more fully represented in the application, which is on file with the Commission and open for public inspection.

Chester alleges that Mississippi's 24-inch Line 2, which extends northward from its Twelve Mile Station via St. Genevieve, Missouri, to Mississippi's Alton Line, passes a distance of only approximately 18.75 miles from Chester.

Chester proposes to construct and operate the following facilities in connection with its proposed service:

(1) A transmission main commencing at a point where Mississippi's Line 2 intersects the Modoc Highway, approximately one mile southeast of the Village of Prairie du Rocher, Randolph County, Illinois, thence southeasterly along the right-of-way of said highway to a Town Border Station near the Chester corporate limits, consisting of approximately 49,500 feet of 6-inch and 49,500 feet of 4-inch pipe, together with appurtenant facilities;

(2) A distribution system serving all prospective customers within and adjacent to the City, and consisting of approximately 106,590 feet of 4-inch, 3-inch and 2-inch pipe, together with service connections and other appurtenant facilities.

The estimated total overall capital cost of the proposed facilities is approximately $1,000,000 which Applicant proposes to pay by the issuance of 6 percent Gas Public Utility Certificates of the City of Chester.

The estimated gas requirements for the proposed service will be as follows:

Year	Mcf peak day	Mcf annual
1	648	108,872
2	1,080	188,824
3	1,518	247,241

Notices of the Applications in Docket Nos. G-14857 and G-15189 were given on September 3, 1958 and published in the FEDERAL REGISTER on September 9, 1958 (23 F. R. p. 6965 and 23 F. R. p. 6966 respectively).

These related matters should be heard on a consolidated record and disposed of as promptly as possible under the applicable rules and regulations, and to that end, the applications in Docket Nos. G-14857 and G-15189 are hereby consolidated for hearing with Docket No. G-16398.

Take further notice that, pursuant to the authority contained in and subject to the jurisdiction conferred upon the Federal Power Commission by sections 7 and 15 of the Natural Gas Act, and the Commission's rules of practice and procedure, a hearing will be held on November 12, 1958, at 10:00 a. m., e. s. t., in a hearing room of the Federal Power Commission, 441 G Street NW., Washington, D. C., concerning the matters involved in and the issues presented by said applications.

Protests or petitions to intervene in Docket No. G-16398 may be filed with the Federal Power Commission, Washington, 25, D. C., in accordance with the rules of practice and procedure (18 CFR 1.8 or 1.10) on or before November 7, 1958.

By the Commission.

[SEAL] JOSEPH H. GUTRIDE, *Secretary.*

[F. R. Doc. 58-8689; Filed, Oct. 20, 1958; 8:46 a. m.]

INTERSTATE COMMERCE COMMISSION

[No. 32525]

IDAHO INTRASTATE FREIGHT RATES AND CHARGES

NOTICE OF INVESTIGATION AND HEARING

At a session of the Interstate Commerce Commission, Division 2, held at its office in Washington, D. C., on the 6th day of October A. D 1958.

It appearing that in Ex Parte No. 206, Increased Freight Rates and Charges, Eastern, Western and Southern Territories, 1956-1957, 299 I. C. C. 429, 299 I. C. C. 557, and 300 I. C. C. 633, the Commission authorized carriers subject to the Interstate Commerce Act, parties thereto, to make certain increases in their freight rates and charges for interstate application throughout the United States, and that increases under such authorization have been made;

It further appearing that a petition dated September 5, 1958, has been filed on behalf of the Camas Prairie Railroad Company and other common carriers by railroad operating to, from, and between points in the State of Idaho, in interstate and intrastate commerce, alleging that the Idaho Public Utilities Commission has refused to authorize or permit them to apply to the transportation of the following commodities moving intrastate by railroad in Idaho increases in freight rates and charges thereon corresponding to those approved for interstate application in Ex Parte No. 206, supra, and that such refusal causes and results in undue and unreasonable advantage, preference, and prejudice as between persons and localities in intrastate commerce, on the one hand, and in undue, unreasonable, and unjust discrimination against interstate commerce in violation of section 13 of the Interstate Commerce Act:

Sugar beets.
Sugar beet final molasses.
Saw logs.
Ores.
Concentrates.
Residues.
Fumes and slags.
Seed potatoes.

It further appearing that the said petition brings in issue freight rates and charges made or imposed by the authority of the State of Idaho; and that the Idaho Public Utilities Commission on September 16, 1958, filed an answer to the petition:

It is ordered, That in response to the said petition, an investigation be, and it is hereby, instituted, and that a hearing be held therein for the purpose of receiving evidence from the respondents hereinafter designated and any other interested parties to determine whether the aforesaid rates and charges of the common carriers by railroad, or any of them, operating in the State of Idaho, for the intrastate transportation of certain commodities, referred to in the second paragraph of this order, made or imposed by authority of the State of Idaho, cause or will cause, by reason of the failure of such rates and charges to include increases corresponding to those permitted by this Commission for interstate traffic in Ex Parte No. 206, supra, any undue or unreasonable advantage, preference or prejudice, as between persons or localities in intrastate commerce, on the one hand, and interstate or foreign commerce, on the other hand, or any undue unreasonable, or unjust discrimination against interstate or foreign commerce in violation of section 13 of the Interstate Commerce Act, and to determine what rates and charges, if any, or what maximum or minimum, or maximum and minimum, rates and charges shall be prescribed to remove the unlawful advantage, preference, prejudice, or discrimination, if any, that may be found to exist;

It is further ordered, That all common carriers by railroad operating within the State of Idaho, which are subject to the jurisdiction of this Commission, be, and they are hereby, made respondents to this proceeding; that a copy of this order be served upon each of the said respondents, and that the State of Idaho be notified of the proceeding by sending copies of this order and of said petition by registered mail to the Governor of the said State, and to the Idaho Public Utilities Commission at Boise, Idaho;

It is further ordered, That notice of this proceeding be given to the public by depositing a copy of this order in the office of the Secretary of the Commission at Washington, D. C., for public inspection, and by filing a copy with the Director, Division of the Federal Register, Washington, D. C.;

And it is further ordered, That this proceeding be assigned for hearing at such time and place as the Commission may hereafter designate.

By the Commission, Division 2.

[SEAL] HAROLD D. MCCOY, *Secretary.*

[F. R. Doc. 58-8691; Filed, Oct. 20, 1958; 8:46 a. m.]